

Asia's El Niño playbook: Eight lessons from 25 years of shocks

Why oil prices, irrigation and policy can sometimes matter more than rainfall.

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Has Asia's chip export cycle peaked?

• Yes • No • Can't say

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Asia dashboard

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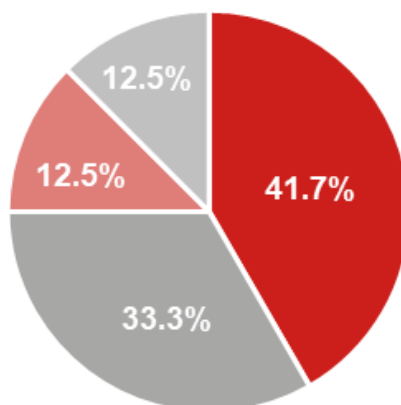
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Results from last month's survey

In the coming months, which Asian central bank do you expect will be most aggressive in defending the currency?



■ RBI ■ BI ■ BSP ■ BOK

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Forecast table

Fig. 1: Forecast summary

	Real GDP			Consumer Prices		
	2025	2026	2027	2025	2026	2027
Japan	1.1	0.6	0.9 ↓ 0.7	3.2	2.0 ↓ 1.9	1.6 ↓ 1.5
Australia	2.0	1.8	1.7 ↓ 1.6	2.8	4.4 ↓ 3.9	3.0 ↓ 2.9
China	5.0	4.5	4.0	0.0	0.6 ↑ 0.9	0.4
Hong Kong	3.6	4.8	2.9	1.4	1.9 ↓ 1.7	1.7
India	7.5	6.8 ↑ 6.9	7.3 ↑ 7.4	2.2	4.4 ↓ 4.1	5.3 ↓ 4.8
Indonesia	5.1	5.2	5.2	1.9	3.1	2.5
Malaysia	5.2	5.2	5.0	1.4	2.3 ↓ 2.0	1.9
Philippines	4.4	4.6	5.6	1.7	6.1 ↓ 5.1	3.2 ↓ 3.1
Singapore	5.0	4.6	3.0	0.9	2.4 ↓ 2.0	1.8 ↓ 1.7
South Korea	1.1	2.4 ↑ 2.5	2.1	2.1	2.7 ↓ 2.6	2.1 ↓ 2.0
Taiwan	8.8	9.9 ↑ 11.6	4.5 ↑ 7.0	1.7	1.9 ↑ 2.0	1.7
Thailand	2.4	1.8	2.0	-0.1	1.5	0.8
Asia ex-Japan, Aus.	5.4	5.1 ↑ 5.2	4.8 ↑ 4.9	0.9	2.0	1.9 ↓ 1.8
Asia	5.0	4.7	4.4 ↑ 4.5	1.1	2.0 ↑ 2.1	1.9 ↓ 1.8
	Current Account (% of GDP)			Fiscal Balance (% of GDP)		
	2025	2026	2027	2025	2026	2027
Japan	4.9	3.7 ↑ 4.2	4.0 ↑ 4.1	-3.3	-3.5 ↑ -3.3	-3.2 ↓ -3.3
Australia	-2.7	-2.8 ↓ -3.0	-2.9 ↓ -3.0	-0.4	-0.7 ↑ -0.5	-0.8 ↓ -1.0
China	3.7	3.4 ↑ 3.5	3.8	-5.1	-5.4	-5.4
Hong Kong	12.2	7.5 ↑ 7.8	6.8 ↓ 6.7	-2.0	-1.2	-1.2
India	-0.6	-1.9 ↑ -1.3	-1.8 ↑ -1.4	-4.9	-4.4	-4.6 ↑ -4.5
Indonesia	-0.1	-2.0 ↑ -1.7	-2.1 ↑ -1.6	-2.9	-3.0	-2.9
Malaysia	1.6	2.0	2.1	-3.7	-3.5	-3.3
Philippines	-3.3	-4.8 ↑ -4.4	-3.9	-5.6	-5.1	-5.0
Singapore	16.7	16.9	16.8	1.9	0.5	-0.5
South Korea	6.5	15.5 ↑ 15.7	16.4 ↑ 16.6	-1.8	-2.0	-2.1
Taiwan	19.2	21.4 ↓ 19.8	21.4 ↓ 21.3	-0.9	-1.4 ↑ -1.3	-0.9 ↑ -0.8
Thailand	2.8	1.4 ↓ -0.8	1.9 ↓ 1.2	-4.5	-5.8	-4.7
Asia ex-Japan, Aus.	3.1	2.8 ↑ 2.9	3.1 ↑ 3.2	-4.5	-4.6	-4.6
Asia	3.1	2.8 ↑ 2.9	3.0 ↑ 3.1	-4.3	-4.4	-4.4
	Official Policy Rate			Currency per US Dollar		
	2025	2026	2027	2025	2026	2027
Japan	0.75	1.25	1.50	156.7	152.5 ↑ 154.0	145.0
Australia	3.60	4.35	4.10	0.67	0.73	0.75
China	1.40	1.40	1.30	6.99	6.50	6.30
Hong Kong	4.00	4.00	4.00	7.78	7.80	7.79
India	5.25	5.25	5.25	89.9	93.5 ↓ 93.0	92.0
Indonesia	4.75	5.50 ↑ 6.25	5.50 ↑ 6.25	16782	16900 ↑ 17800	16600 ↑ 17500
Malaysia	2.75	3.00	3.00	4.06	4.04 ↑ 4.13	3.99 ↑ 4.10
Philippines	4.50	5.25	4.50	58.8	59.7 ↑ 60.3	59.0 ↑ 59.5
Singapore	1.19	1.75 ↓ 1.25	1.75 ↓ 1.25	1.28	1.24 ↑ 1.26	1.22 ↑ 1.23
South Korea	2.50	3.00	3.25	1440	1470 ↑ 1495	1420 ↑ 1440
Taiwan	2.000	2.000 ↑ 2.125	2.000 ↑ 2.250	31.4	30.8	30.0
Thailand	1.25	1.00	1.00	31.5	32.0 ↑ 32.3	31.3

Note: All figures relate to the modal forecast, ie, the "most likely" outcome. The policy rate for Singapore refers to the SORA 3-month compounded average, for China the 7-day reverse repo rate, and for Hong Kong the discount rate. Fiscal balances are for the central government and do not include off-budget except for China, where it refers to the general government. They are calculated for fiscal years for Australia (Jul-Jun), Hong Kong, India, Singapore (Apr-Mar) and Thailand (Oct-Sep). For India's fiscal balance (% GDP), calendar year values refer to forthcoming fiscal year. Currently assumed Brent oil prices for 2026 and 2027 are \$82.1 and \$70.9, respectively. Bolded values are actual. Source: IMF, CEIC, Bloomberg and Nomura Global Economics.

Asia letter

Asia's El Niño playbook: Eight lessons from 25 years of shocks

Why oil prices, irrigation and policy can sometimes matter more than rainfall.

- El Niño has officially formed, with the potential to morph into a “super El Niño” later this year. Looking at past severe El Niño episodes, we find that there is a significant impact on agricultural output (-2.4pp) but a surprisingly limited impact on food inflation.
- We believe the relationship between El Niño and food prices is mixed because of three factors: 1) the role of oil prices; 2) an improvement in structural resilience (expanded irrigation, better quality seeds); and 3) aggressive/proactive government policies.
- Despite El Niño, we expect food inflation in 2026 to be contained amid buffer stocks and moderate oil prices, but we see risks of higher food inflation in 2027. For EM Asian economies, the supply-side inflation shock is often discussed, but we believe the demand-side growth shock is widely underappreciated.
- The Philippines and India are most exposed to an El Niño shock, followed by Indonesia and Thailand. Philippines is particularly vulnerable to higher rice prices: it is a net food importer (2% of GDP), and rice accounts for 8.9% of its CPI basket.
- Policymakers are likely to tap fiscal and supply-side policies as the first line of defense, and EM central bank responses may not necessarily be hawkish. We see trade protectionism as a major risk in coming months.

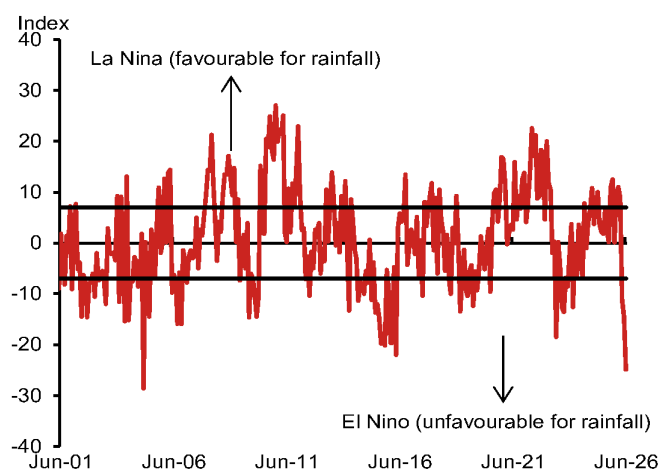
God created economists to make weather forecasters look good ~ Anonymous

Introduction

El Niño has officially formed, and is projected to be a strong-to-very-strong episode, with the potential to morph into a “super El Niño” later this year. For most Asian economies, El Niño results in below-normal rainfall and heatwaves. This can hurt food production and trigger food price inflation. Will this time be different?

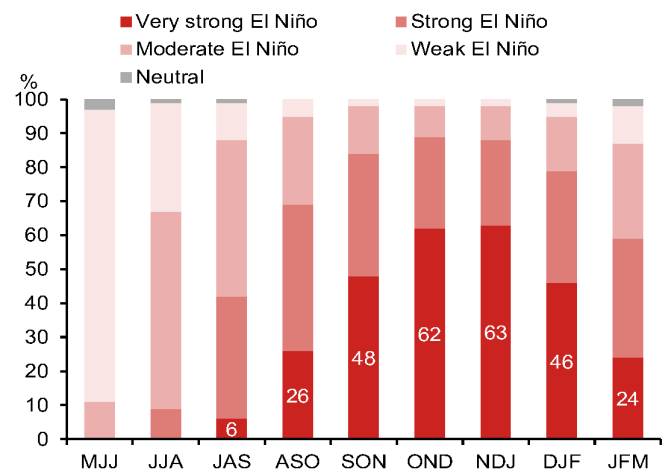
The southern oscillation index (SOI) fell to -24.9 in June, well below the -7 threshold that indicates El Niño conditions and among the lowest readings in over 20 years (Figure 2). The US National Oceanic and Atmospheric Administration (NOAA) predicts weather conditions will transition from moderate to strong-to-very-strong El Niño (i.e., a “super El Niño”) starting in August, with a peak likely only later this year (Figure 3). Although a positive Indian Ocean Dipole (IOD) could still emerge as a potential offset, its timing and strength is uncertain, and El Niño conditions are likely to prevail.

Fig. 2: Southern Oscillation Index



Note: Sustained negative values of the SOI below -7 often indicate El Niño episodes, while sustained positive values of the SOI above +7 often indicate La Niña episodes.
Source: Bloomberg and Nomura Global Economics.

Fig. 3: ENSO strength probabilities (%)

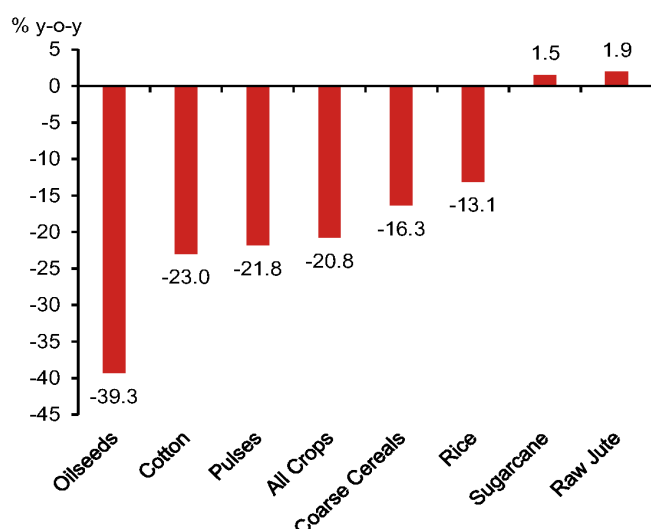


Note: Forecasts were issued in June 2026 and provided for 9 upcoming, overlapping 3-month seasons (each letter represents a month, for example, F = February). Probabilities are verified using the Relative Oceanic Niño Index (RONI), using incremental +/- 0.5 degree Celsius thresholds in sea surface temperature departures averaged in the Niño-3.4 region of the east-central equatorial Pacific Ocean.
Source: NOAA Climate Prediction Center and Nomura Global Economics.

Impact so far in Asia

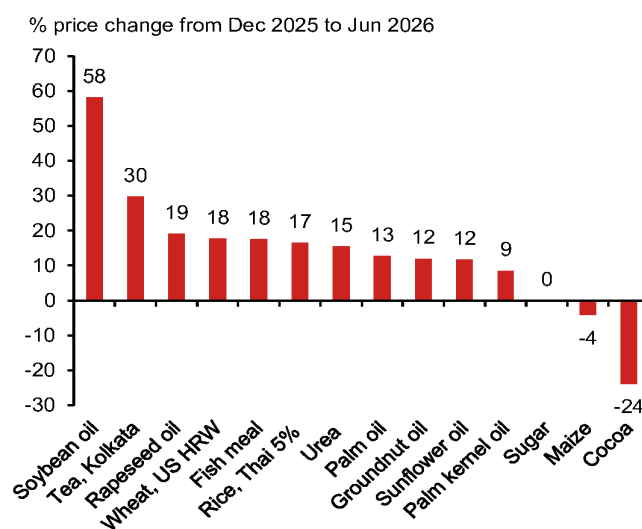
We are still in the early months, but some initial effects of El Niño conditions are visible. In India, monsoon season rainfall so far (1 June until 8 July) was 15% below normal, and crop sowing data show summer crop plantations are 20.8% below year-ago levels, led by rice (-13.1%) and oilseeds (-39.3%; Figure 4). Malaysia's Economy Minister said rainfall could be 40-60% lower in several states, and that yields in key commodity sectors (such as palm oil) could fall by 8-10% during an El Niño event (source: *Malay Mail*). The impact is also seen in food prices so far in 2026, with increases in the prices of rice (Thai 5% broken: 16.5%), wheat (US HRW: 17.8%), soybean oil (58%) and palm oil (12.8%), while maize and sugar price changes have been more muted (Figure 5).

Fig. 4: India: Kharif (summer) crop area sown as of 5 July



Source: CEIC and Nomura Global Economics.

Fig. 5: Change in various food and fertilizer prices in 2026



Source: World Bank and Nomura Global Economics.

Past El Niño cycles

Over the last 25 years, Asia has experienced seven El Niño episodes, including years of mild, moderate and strong El Niño conditions:

- **Mild:** 2002–03, 2004–05, 2006–07, 2018–19
- **Moderate:** 2009–10
- **Severe** (Strong to very strong): 2015–16, 2023–24

Figure 6 summarizes the impact of El Niño conditions on inflation (food and headline) and growth (agriculture and overall), looking at past mild/moderate and severe El Niño episodes. The detailed country-wise impact for each El Niño episode is given in the Appendix (Figure 14).

During the past mild to moderate El Niño years, we find that the impact on agricultural output has been somewhat negative (-0.2pp), and food inflation picked up by 0.6pp, on average. During the severe El Niño years, there has been a more significant impact on agricultural output (-2.4pp), although food inflation surprisingly declined, a counterintuitive result explained by three key factors.

Fig. 6: Change in food and headline CPI inflation, agricultural and overall GDP during El Nino periods

	El Nino	Change in y-o-y food CPI inflation (pp)	Change in y-o-y headline CPI inflation (pp)	Change in y-o-y agricultural real GDP (pp)	Change in y-o-y overall real GDP (pp)
China	Average	2.1	0.8	-0.2	-0.4
	Severe	-1.8	-0.4	0.1	-0.6
	Mild/Moderate	3.6	1.3	-0.3	-0.3
Hong Kong	Average	2.2	0.6	0.3	0.6
	Severe	0.4	-0.2	-1.0	0.5
	Mild/Moderate	2.9	0.9	0.9	0.6
India	Average	1.9	0.7	-2.5	0.6
	Severe	-0.4	-1.6	-4.1	1.1
	Mild/Moderate	2.9	1.7	-1.9	0.4
Indonesia	Average	-0.6	-1.9	-0.9	1.0
	Severe	1.7	-1.2	-1.3	-0.1
	Mild/Moderate	-1.6	-2.2	-0.7	1.4
Malaysia	Average	-0.2	0.0	1.4	1.4
	Severe	-1.5	-1.1	-1.0	-0.7
	Mild/Moderate	0.4	0.5	2.3	2.3
Philippines	Average	-1.4	-1.1	-2.0	0.7
	Severe	-3.1	-2.5	-1.9	0.5
	Mild/Moderate	-0.8	-0.5	-2.1	0.8
Singapore	Average	-0.5	-0.4	-	3.0
	Severe	-2.8	-2.0	-	1.5
	Mild/Moderate	0.4	0.2	-	3.6
South Korea	Average	-1.1	-0.2	-3.2	0.6
	Severe	1.1	-0.6	-5.5	0.7
	Mild/Moderate	-2.0	0.0	-2.3	0.6
Taiwan	Average	-0.5	0.1	0.4	2.7
	Severe	0.9	-0.4	-5.8	1.9
	Mild/Moderate	-1.0	0.3	2.8	3.0
Thailand	Average	-0.1	-0.1	-2.0	2.0
	Severe	-4.0	-2.1	-6.1	1.3
	Mild/Moderate	1.4	0.7	-0.3	2.3
AEJ (average)	Average	0.2	-0.2	-1.0	1.2
	Severe	-0.9	-1.2	-3.0	0.6
	Mild/Moderate	0.6	0.3	-0.2	1.5
EM Asia (average)	Average	0.3	-0.3	-1.0	0.9
	Severe	-1.5	-1.5	-2.4	0.3
	Mild/Moderate	1.0	0.2	-0.5	1.1

Note: Mild El Nino years = 2002-03, 2004-05, 2006-07, 2019. Moderate El Nino years = 2009-10. Strong El Nino years = 2014-16, 2023-24. Change in food/headline inflation is calculated by subtracting the average food/headline CPI (% y-o-y) during the El Nino period + the 6-month period after El Nino ends from the average food/headline CPI during the 6-month period before El Nino started. Change in agricultural/overall real GDP is calculated by subtracting average agricultural/overall real GDP growth during the period between one quarter after El Nino started to one quarter after El Nino ended from the average agricultural/overall real GDP growth during the 2-quarter period before El Nino started. EM Asia includes China, India, Indonesia, Malaysia, the Philippines and Thailand.

Source: CEIC and Nomura Global Economics.

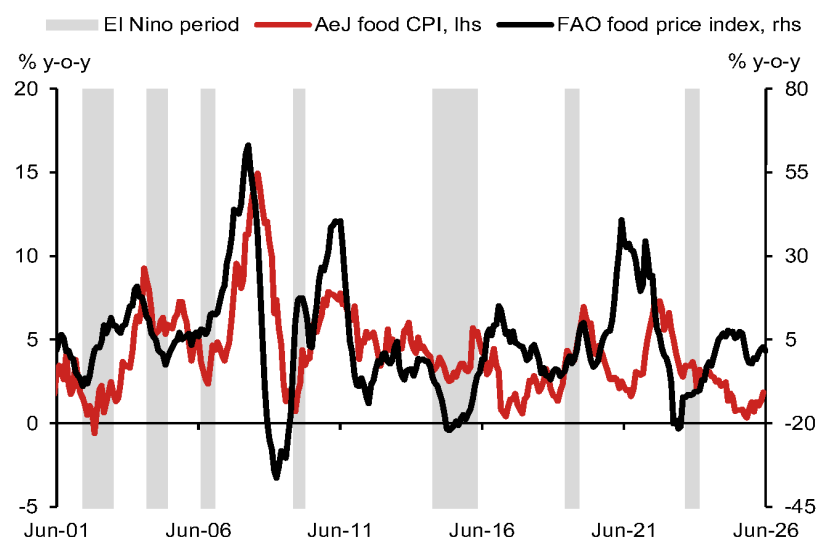
Why the relationship between El Niño and food prices is mixed

The linkage from El Niño to rainfall, from rainfall to food output and from food output to food price inflation is not linear (Figure 7), with several other factors equally important in determining the ultimate impact.

First, oil prices matter since they also drive fertilizer and transportation costs. During El Niño years, food inflation has been relatively contained when oil prices are moderate, as was the case during the last two severe episodes: 2015-16 and 2023-24.

Second, the sensitivity of agricultural output to rainfall has moderated over time, due to increased irrigation (use of reservoir water), the use of better-quality drought-resistant seeds and a rising share of non-crop activities. In India, for instance, the share of crops in agricultural gross value output fell to 54.1% in 2023-24 (from 62.4% in 2011-12), while the share of non-crop sectors (livestock, forestry, fishing) now accounts for the remaining 46% of agricultural output.

Third, governments are more proactive with trade and supply-side policies since food drives the cost of living. Most EM Asian countries maintain strategic reserves of staple crops, and these buffer stocks are released to manage price fluctuations. Additionally, crackdowns on hoarding, imports, export controls and price regulation, among others, are actively deployed to keep food price inflation in check.

Fig. 7: AeJ food CPI inflation versus FAO food price index

Note: To ensure consistency across AeJ economies, we define food CPI as food excluding beverages and dining-out food/meals away from home. AeJ food CPI inflation refers to the simple average of food CPI inflation across 10 AeJ economies.

Source: CEIC and Nomura Global Economics.

Eight lessons from 25 years of shocks

With history as a guide, and keeping current starting conditions in mind, we see eight key implications for the region this time around.

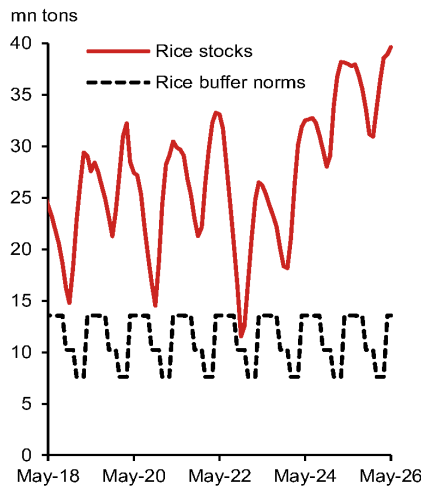
- 2026 food inflation contained by buffers:** Despite strengthening El Niño conditions, food price inflation in Asia may stay relatively contained this year. Input costs – crude oil and urea prices – have moderated from their April peaks. Buffer stocks across key agricultural products are elevated, with stocks-to-use ratios for rice at 44.8%, wheat at 51.6% and palm oil at 11.9% (Figure 8). India's stock of rice and wheat are 3 times and 2 times buffer norms, respectively, which can be used to smooth price fluctuations (Figures 9 and 10). Water levels across Thailand's major reservoirs are starting off at much higher levels than during the previous two severe El Niño episodes (Figure 11).

Fig. 8: Initial stocks-to-use ratio (%) at the start of past El Niño periods versus now

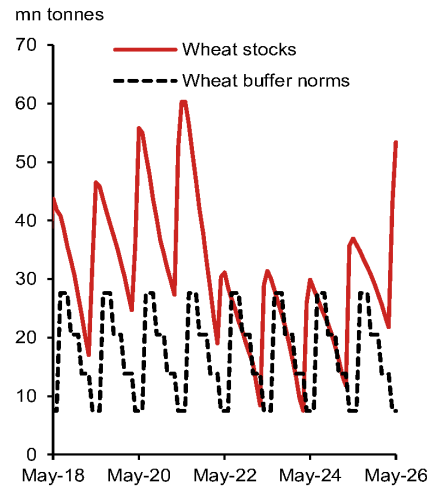
Category	Agricultural product	Initial stocks-to-use ratio (%) for Asia ex-Japan							
		El Nino period							Current
		May 2002 - Jun 2003	Aug 2004 - May 2005	Jul 2006 - Jan 2007	Oct 2009 - Mar 2010	Sep 2014 - Apr 2016	May 2019 - Nov 2019	Aug 2023 - Feb 2024	
Cereals	Corn	50.4	26.6	20.7	23.0	46.9	62.1	55.3	44.8
	Rice (milled)	38.5	22.2	20.9	25.3	33.1	47.0	41.8	44.8
	Wheat	53.1	27.2	21.1	33.2	37.2	64.4	52.6	51.6
Cotton		54.8	46.0	43.6	45.8	97.7	59.0	67.6	68.8
Sugar		34.7	30.8	18.1	24.5	38.9	46.3	32.5	32.2
Coffee		10.3	6.3	7.8	18.1	6.6	11.2	4.3	3.6
Edible oil	Coconut oil	9.1	12.4	7.3	23.8	6.3	11.4	18.1	14.7
	Palm oil	7.2	8.8	7.7	7.5	9.0	10.4	13.5	11.9
	Soybean oil	7.5	5.8	4.6	6.3	9.0	4.0	6.8	7.3
	Sunflower seed oil	6.8	6.9	4.9	13.4	13.6	9.7	11.6	12.3
Meal	Copra meal	9.1	3.6	5.1	16.7	4.7	4.4	1.1	1.3
	Fish meal	0.3	0.3	0.4	3.8	1.2	1.3	1.9	1.3
	Palm kernel meal	5.1	5.5	6.8	5.8	6.3	4.9	4.5	5.9
	Soybean meal	3.7	2.0	1.9	2.4	2.5	1.9	2.0	2.3

Note: Stocks-to-use ratio is calculated by dividing ending stock by total use (i.e., exports + domestic consumption) in the marketing year prior to each El Niño episode. Conditional formatting (i.e., colour shading) is applied to each row to identify periods where the initial stocks-to-use ratio is highest (green) and lowest (red) for each product.

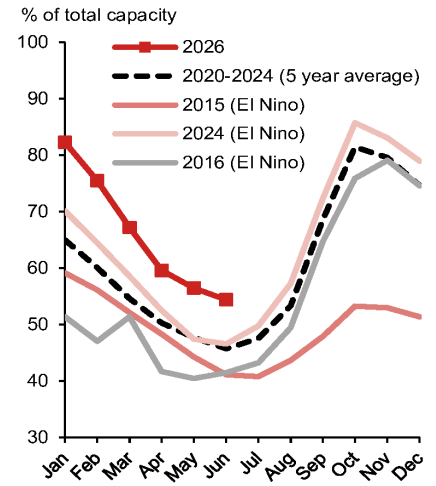
Source: USDA and Nomura Global Economics.

Fig. 9: India: Rice stocks versus buffer norms

Source: CEIC and Nomura Global Economics.

Fig. 10: India: Wheat stocks versus buffer norms

Source: CEIC and Nomura Global Economics.

Fig. 11: Thailand: Water level in major reservoirs (% of total capacity)

Note: Major reservoirs include Bhumibol, Sirikit, Srinakharin, Ubonrat, and Sirindhorn.
Source: Hydro-Informatics Institute, Electricity Generating Authority of Thailand and Nomura Global Economics.

2. **2027 inflation risks rise as buffers deplete:** However, the 2026 stability comes at a cost. Once existing buffer stocks are depleted to stabilize prices this year, the vulnerability will be higher next season. Drought-like conditions would make refilling of water reservoirs difficult, weighing on production of irrigation-dependent crops, such as wheat sowing in India (October-December) and second rice plantings in Thailand (January-April). In the case of palm oil, which has a higher water intensity for irrigation, the impact on prices shows up with a lag because of the biological cycle, as water stress has an immediate impact on flower development, but the resulting decline in fresh fruit bunch (FFB) yields won't materialize until the following year (i.e., with an 8+ month lag). The likelihood of governments imposing export restrictions later this year is also much higher, in our view, which would lower global food supply.
3. **Rice, palm oil, sugar and pulses face the highest price risk:** The crops most at risk of higher prices next year include rice, palm oil and sugar. Rice is a staple in Asia and a rainfed crop, and only 11.3% of global production traded in 2025/26, so domestic shortfalls can have regional spillovers (see *Asia: What if rice prices rise sharply?*, 30 August 2022). Risks to palm oil production emanate from the lagged biological response discussed earlier, with lower output likely in Malaysia and Indonesia. Pulses (lentil) prices are also likely to rise in India amid lower buffer stocks and as it emerges from a year-long period of deflation (see *India: El Niño El Nino may not scorch the economy*, 19 May 2026). Heatwaves might also raise vegetable prices due to spoilage.
4. **Philippines and India are most exposed:** By country, the Philippines and India are most exposed to an El Niño shock, followed by Indonesia and Thailand (Figure 12). This reflects the larger share of food in their CPI baskets (19.3-34.8%). The Philippines is particularly vulnerable to higher rice prices: it is a net food importer (2% of GDP), and rice accounts for 8.9% of its CPI basket. These aggregates do not capture the true vulnerability. For instance, while both India and Thailand are net food exporters, India imports edible oil and Thailand imports wheat (Figure 7 in *Asia: Food inflation – who is most at risk?*, 20 June 2022).

Fig. 12: Scorecard: Economic exposure to El Niño shocks

	Net food imports (% of GDP)	Share in CPI basket (%)			Share of agriculture in GDP (%)	Share of agricultural workforce (%)	Aggregate z-score (Higher = More vulnerable)
		Food	Rice	Energy			
China	0.2	18.2	0.6	7.0	6.7	21.7	100.2
Hong Kong	2.6	8.5	0.2	3.2	0.04	0.2	97.9
India	-0.3	34.8	2.0	10.2	16.2	41.6	104.7
Indonesia	-0.2	22.5	3.4	11.5	13.1	27.3	102.0
Malaysia	1.7	15.6	0.8	9.0	8.2	9.2	100.2
Philippines	2.0	34.8	8.9	9.1	8.6	20.5	103.2
Singapore	0.6	6.1	0.1	3.7	0.0	0.1	96.5
South Korea	1.4	13.2	0.5	7.6	1.5	5.1	98.3
Taiwan	1.0	13.2	0.4	3.7	1.5	4.1	98.0
Thailand	-3.9	19.3	3.4	11.8	8.7	28.6	99.0

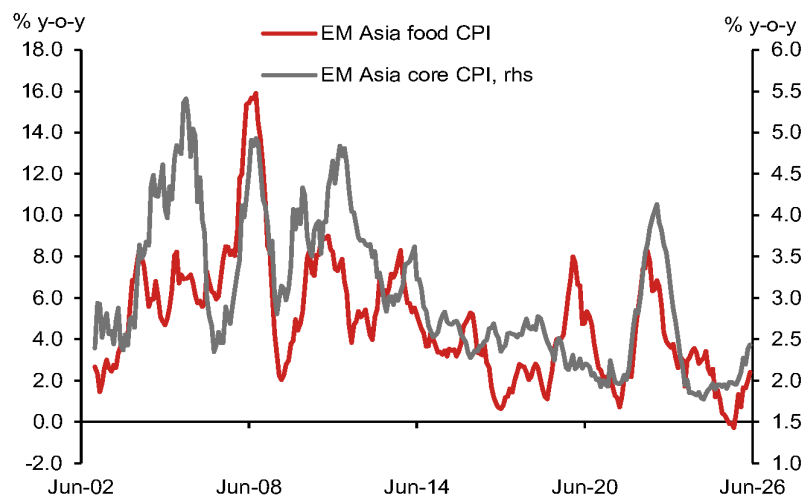
Note: For net food imports, food refers to food and live animals under SITC Rev. 3 for most countries. CPI weights for China are estimated by our China economics team. For share of food in CPI basket, food refers to food excluding beverages and dining-out food/meals away from home. For share of rice in CPI basket, we use share of cereals in CPI basket for Malaysia and share of rice, flour & cereals in CPI basket for Thailand as proxies, as they do not have separate weights for rice. Data on net food imports (% of GDP), share of agriculture in GDP and employment in agriculture (% of total employment) are as of 2025 for all countries, except for Hong Kong's share of agriculture in GDP which is as of 2024. Data on share in CPI basket are as of the latest for all countries. Aggregate z-scores are calculated by adding to 100 the sum of z-scores of four variables, namely: 1) net food imports (% of GDP), 2) share of food in CPI basket, 3) share of agriculture in GDP and 4) share of agricultural workforce. The higher the aggregate z-score, the higher the economic vulnerability to El Niño.

Source: CEIC, World Bank, International Labour Organization and Nomura Global Economics.

5. **Stagflation threat (inflation up, rural demand down):** For advanced Asian economies (Singapore, Korea and Taiwan), the growth impact is insignificant, and food has a smaller share in their CPI baskets, although all three economies are net importers of cereals and meat, and so the costs of these imports could rise. For EM Asian economies (especially the Philippines, India, Indonesia and Thailand), El Niño poses a dual threat: a supply-side inflation shock (widely discussed) *and* a demand-side growth shock (widely underappreciated). The growth channel operates through two mechanisms. The agriculture sector still accounts for 42% of total employment in India, 29% in Thailand, 27% in Indonesia, and 20% in the Philippines, so weaker agriculture output translates into weaker farm incomes, and hurts rural consumption demand. If food price inflation picks up next year, lower real disposable incomes could weaken consumer demand from low- and middle-income households.
6. **Fiscal policy and supply measures as a first defense:** Fiscal and supply-side policies are likely to be Asia's first line of defense. Governments in India and Southeast Asia have already begun to take action (see Appendix, Figure 15). Their focus is on drought mitigation, cloud seeding, promotion of less water-intensive crops, expanding crop insurance, establishing seed reserves, promotion of solar pumps etc. If necessary, fiscal support via increased subsidies or income support to farmers could be announced. Food price controls could also be implemented.
7. **Trade protectionism is a major risk in coming months:** In the past, Asia has often resorted to the imposition of export restrictions or outright export bans to prevent domestic food prices from rising. While this helps contain local prices, it has ripple effects, as prices surge for food importers in the region, amplifying the food price shock (see *Special Report: Gauging who is most exposed if food prices surge*, 15 May 2026). India has been at the forefront of these restrictions, previously imposed on rice, wheat and sugar. Vietnam banned rice exports in 2008, and Indonesia temporarily banned palm oil exports in 2022 to ease domestic shortages. There are early signs of similar policies being imposed: in mid-May, India banned exports of sugar until 30 September 2026 to protect domestic supplies. Watch for potential rice export restrictions from India (if monsoon shortfalls persist), and palm oil export curbs or duties from Indonesia/Malaysia, if yields decline.
8. **A dilemma for central banks:** The monetary policy response may not necessarily be hawkish. Food prices (along with fuel prices) are an important driver of inflation expectations. However, for EM Asian economies that are more vulnerable, growth could weaken below the baseline and weak domestic demand should limit second-round effects on core inflation, similar to 2019 (Figure 13). This is particularly the case for Thailand, and to some extent, even India. However, in the Philippines, the BSP is an orthodox inflation targeting central bank and will likely respond to any uptick in headline inflation with policy tightening.

For most of Asia, the El Niño playbook in 2026-27 will prioritize fiscal buffers and trade policy over monetary tightening, but by 2027, as those buffers run dry, the policy calculus may shift.

Fig. 13: EM Asia: Food versus core CPI inflation



Note: EM Asia includes China, India, Indonesia, Malaysia, the Philippines and Thailand.

Source: CEIC and Nomura Global Economics

Appendix: El Niño impact by country and government response

Fig. 14: Change in food and headline CPI inflation, agricultural and overall GDP during El Niño periods

Country	El Niño period	Change in y-o-y food CPI inflation (pp)	Change in y-o-y headline CPI inflation (pp)	Change in y-o-y agricultural real GDP (pp)	Change in y-o-y overall real GDP (pp)
China	May 2002 - Jun 2003	2.8	1.0	0.1	1.6
	Aug 2004 - May 2005	(5.7)	(1.4)	0.9	(0.6)
	Jul 2006 - Jan 2007	4.1	1.4	(0.3)	0.1
	Oct 2009 - Mar 2010	5.8	3.7	(0.4)	2.1
	Sep 2014 - Apr 2016	(0.1)	(0.6)	(0.0)	(0.7)
	May 2019 - Nov 2019	11.2	1.6	(2.0)	(4.8)
	Aug 2023 - Feb 2024	(3.5)	(0.2)	0.2	(0.5)
Hong Kong	May 2002 - Jun 2003	(0.0)	(0.2)	(6.1)	3.5
	Aug 2004 - May 2005	1.1	1.8	2.7	(2.5)
	Jul 2006 - Jan 2007	2.4	0.0	0.0	(1.2)
	Oct 2009 - Mar 2010	2.4	2.5	9.4	9.5
	Sep 2014 - Apr 2016	0.1	(0.6)	2.0	(0.4)
	May 2019 - Nov 2019	8.8	0.2	(1.7)	(6.1)
	Aug 2023 - Feb 2024	0.8	0.1	(4.1)	1.3
India	May 2002 - Jun 2003	(0.6)	0.0	(11.5)	(1.5)
	Aug 2004 - May 2005	1.0	1.0	(6.9)	(0.7)
	Jul 2006 - Jan 2007	3.1	2.0	(0.0)	0.8
	Oct 2009 - Mar 2010	2.1	2.6	2.4	5.8
	Sep 2014 - Apr 2016	(3.3)	(2.7)	(3.4)	1.0
	May 2019 - Nov 2019	8.9	2.8	6.4	(2.5)
	Aug 2023 - Feb 2024	2.5	(0.5)	(4.9)	1.1
Indonesia	May 2002 - Jun 2003	(9.7)	(5.3)	1.7	2.4
	Aug 2004 - May 2005	2.6	2.7	(2.4)	2.0
	Jul 2006 - Jan 2007	(5.0)	(8.1)	(3.9)	1.0
	Oct 2009 - Mar 2010	1.6	(0.0)	1.2	2.7
	Sep 2014 - Apr 2016	1.7	(0.9)	(1.7)	(0.1)
	May 2019 - Nov 2019	2.7	(0.1)	(0.4)	(0.8)
	Aug 2023 - Feb 2024	1.7	(1.5)	(1.0)	(0.0)
Malaysia	May 2002 - Jun 2003	0.8	(0.1)	13.8	4.7
	Aug 2004 - May 2005	1.5	1.6	(0.8)	(3.3)
	Jul 2006 - Jan 2007	(0.6)	(1.3)	(0.0)	(0.4)
	Oct 2009 - Mar 2010	(1.0)	1.6	5.2	12.1
	Sep 2014 - Apr 2016	0.3	(1.1)	(5.7)	(1.5)
	May 2019 - Nov 2019	1.3	0.5	(6.5)	(1.8)
	Aug 2023 - Feb 2024	(3.4)	(1.1)	3.7	0.2
Philippines	May 2002 - Jun 2003	(0.8)	(1.1)	(0.2)	0.7
	Aug 2004 - May 2005	1.9	2.9	(3.0)	(2.2)
	Jul 2006 - Jan 2007	(1.7)	(2.4)	(5.6)	0.9
	Oct 2009 - Mar 2010	0.0	0.6	(1.8)	6.6
	Sep 2014 - Apr 2016	(4.2)	(2.7)	(2.5)	0.3
	May 2019 - Nov 2019	(3.4)	(2.4)	0.1	(2.0)
	Aug 2023 - Feb 2024	(2.0)	(2.4)	(1.4)	0.6
Singapore	May 2002 - Jun 2003	1.3	1.0	-	7.3
	Aug 2004 - May 2005	0.2	(1.0)	-	(4.9)
	Jul 2006 - Jan 2007	0.4	(0.5)	-	(0.9)
	Oct 2009 - Mar 2010	(0.3)	1.7	-	16.6
	Sep 2014 - Apr 2016	(1.2)	(2.1)	-	(0.5)
	May 2019 - Nov 2019	0.3	(0.2)	-	(0.0)
	Aug 2023 - Feb 2024	(4.4)	(1.9)	-	3.5
South Korea	May 2002 - Jun 2003	(1.8)	0.5	(4.6)	(1.6)
	Aug 2004 - May 2005	(4.4)	(0.4)	(2.6)	(2.3)
	Jul 2006 - Jan 2007	1.9	0.1	1.7	(0.7)
	Oct 2009 - Mar 2010	(3.4)	0.4	(4.4)	8.1
	Sep 2014 - Apr 2016	1.3	(0.7)	(7.1)	(0.7)
	May 2019 - Nov 2019	(2.3)	(0.5)	(1.4)	(0.7)
	Aug 2023 - Feb 2024	0.9	(0.5)	(3.8)	2.0
Taiwan	May 2002 - Jun 2003	0.6	0.2	4.4	3.8
	Aug 2004 - May 2005	4.2	0.9	5.2	(4.6)
	Jul 2006 - Jan 2007	(11.2)	(1.3)	(0.6)	(0.9)
	Oct 2009 - Mar 2010	(1.7)	1.5	5.0	15.3
	Sep 2014 - Apr 2016	(0.8)	(1.2)	(9.3)	(3.1)
	May 2019 - Nov 2019	3.1	0.0	0.2	1.2
	Aug 2023 - Feb 2024	2.6	0.4	(2.2)	6.8
Thailand	May 2002 - Jun 2003	5.5	0.8	(0.8)	2.5
	Aug 2004 - May 2005	(3.6)	1.2	2.3	(1.5)
	Jul 2006 - Jan 2007	(0.4)	(3.1)	(1.9)	1.0
	Oct 2009 - Mar 2010	4.1	5.5	2.8	12.4
	Sep 2014 - Apr 2016	(2.5)	(2.5)	(8.1)	2.9
	May 2019 - Nov 2019	1.4	(0.8)	(4.0)	(2.8)
	Aug 2023 - Feb 2024	(5.4)	(1.7)	(4.1)	(0.3)

Note: Change in food/headline inflation is calculated by subtracting the average food/headline CPI (% y-o-y) during the El Niño period + the 6-month period after El Niño ends from the average food/headline CPI during the 6-month period before El Niño started. Change in agricultural/overall real GDP is calculated by subtracting average agricultural/overall real GDP growth during the period between one quarter after El Niño started to one quarter after El Niño ended from the average agricultural/overall real GDP growth during the 2-quarter period before El Niño started.

Source: CEIC and Nomura Global Economics.

Fig. 15: Government measures to ease the potential adverse effects of El Nino

Country	Impact	Current/Upcoming Measures
China	Drought, Energy	Amassed 30-day coal supply for any El-Nino energy shock. Meteorological authorities are expanding their role beyond forecasting and warning services. Officials are strengthening sector-specific climate risk assessments and providing quantitative analyses to support decision-making in relevant industries.
India	Drought, Food, Heat	Emphasis on less water-intensive crops. Banning exports of sugar (until 30th September 2026). The Centre has also set up an El Nino Monitoring Cell and a Crop Weather Monitoring Group in Delhi to continuously track the progress of the monsoon, sowing patterns, crop conditions, and the availability of agricultural inputs.
Indonesia	Drought, Food	Optimizing the use of available water sources, repairing retention basins, normalizing irrigation networks, accelerating agricultural infrastructure projects, and deploying water pumps in productive areas located near surface water sources.
Malaysia	Drought, Food	Cloud seeding is being done in low dams. Malaysian Meteorological Department has ran 70+ briefings for ministries and disaster committees and also publishes a 7-day fire and haze forecasts daily.
Philippines	Drought, Food	Irrigate 530 hectares of agricultural land in the towns of Mabini and Alicia. Called a Cabinet meeting to review the national El Nino plan covering food, water, energy, health, and disasters, and reactivated the Department of Agriculture's National El Nino Team. Promoting modern farming methods that are suited to the climate, such as the use of solar pumps and water reuse or recycling in areas that are frequently affected by drought.
Singapore	Haze, Heat	28 government agencies under the Haze Task Force, chaired by the National Environment Agency (NEA), are prepared to activate response plans if air quality deteriorates. A national heatwave response plan was rolled out to help Singapore prepare for extreme heat.
South Korea	Heat, Typhoon	Korea Meteorological Administration issued new heatwave alert categories.
Taiwan	Heat, Typhoon	Ministry of Environment (MOENV) is developing a tiered national heat response framework that will activate protective measures at different temperature thresholds for different groups. Government agency will also be required to specify what actions it should take at different heat levels, including when emergency measures should be activated.
Thailand	Drought, Food, Heat	Relevant agencies were instructed to urgently survey drought-prone areas outside irrigation networks to enable timely warnings and support for affected communities. Speed up the rehabilitation of surface water sources and groundwater wells to expand water storage capacity, particularly for daily life. Ordered irrigation officials to put household water first and sent mobile rainmaking units to drought-prone areas.
Vietnam	Drought, Food	Usage of AI & data sharing to ensure food & water security. Converted about 289 hectares of summer-autumn rice fields into vegetable cultivation in response to the risk of irrigation water shortages caused by El Nino. Investing in a project to transfer freshwater through the Cho Gao Canal.

Source: Various local news outlets and Nomura Global Economics.

Outlooks 2026-27

Australia: Below trend

We expect sub-trend growth to continue, with the economy weighed down by higher rates and housing-related budget changes.

Forecast revisions: *We have trimmed our CPI forecasts due to lower oil prices and our 2027 GDP growth forecast (by 0.1pp) due to a softer housing market outlook.*

Activity: The economy recorded modest GDP growth of 0.3% q-o-q in Q1, and recent data suggest modest growth continued in Q2. In terms of the broader outlook, the decline in fuel prices and some (net) easing of tensions in the Middle East are positives for sentiment. However, concern has shifted to housing. Following three interest rate hikes and tax changes for housing investors – announced in the May budget and just passed in the parliament – secondary housing turnover has slowed and dwelling prices are now falling. While we do not expect a housing “crash”, noting that rates are not especially high, affordability improves as prices decline and population growth remains firm (despite some migration-related concerns in some quarters), we have trimmed our dwelling investment forecasts this month and continue to anticipate a modest rise in unemployment.

Inflation: April and May CPI inflation printed below consensus and our expectations.

Details of the May data revealed some pass-through from higher fuel prices, but with the overall result dragged lower by sharp declines in volatile fuel and domestic travel costs. With fuel prices now sharply lower and growth moderating, we expect this inflation pass-through to also pass-through, in time. Moreover, with these data, our Q2 CPI tracking has fallen notably; we currently forecast 0.8% q-o-q and 0.9% q-o-q increases in headline and trimmed mean CPI, respectively (was 1.2% and 1.0% q-o-q). We continue to anticipate a slow return of inflation towards target, with an increase in minimum and award wages and the fading of the fuel excise tax discount impeding faster progress.

Monetary policy: The **RBA left rates unchanged in June** in a unanimous decision, as we expected, following three consecutive 25bp hikes. Communication, including the subsequent **meeting minutes**, tilted somewhat hawkish, indicating a preparedness to hike again if necessary, and that the cash rate (at 4.35%) was less restrictive than in 2024 (when it reached this level), as the neutral rate had likely shifted higher. With policy now mildly restrictive, the economy cooling, fuel prices lower and upside risk to inflation expectations diminished, we remain of the view that the cash rate has most likely peaked. We do not expect the RBA to indicate this for many months, however, as it would likely prefer to retain policy flexibility amid concerns over financial conditions easing prematurely. As inflation creeps towards target and unemployment drifts higher, we pencil in a rate cut in May 2027.

Risks: Resolution of underlying Middle East tensions remains an uncertainty. A sharper-than-forecast housing downturn and the El Niño event are other risks we are monitoring.

Fig. 16: Australia: Details of the forecast

% y-o-y	4Q25	1Q26	2Q26	3Q26	4Q26	1Q27	2Q27	3Q27	4Q27	2025	2026	2027
Real GDP	2.5	2.5	1.9	1.7	1.1	1.3	1.4	1.7	2.0	2.0	1.8	1.6
Real GDP (% q-o-q)	0.9	0.3	0.3	0.2	0.3	0.4	0.5	0.5	0.5			
Personal consumption	0.9	0.3	0.3	0.2	0.3	0.4	0.5	0.5	0.5	2.0	1.8	1.6
Private investment	0.4	4.4	-2.1	0.0	0.3	0.6	0.6	0.7	0.7	3.1	4.7	1.2
- Business investment	0.4	6.0	-2.5	0.8	0.8	0.8	0.8	0.8	0.8	1.9	6.8	2.5
- Dwelling investment	0.6	0.7	-1.0	-2.0	-1.0	0.0	0.0	0.2	0.2	5.9	0.1	-1.8
Government expenditure	0.9	0.0	0.7	0.7	0.7	0.7	0.7	0.7	0.7	2.7	2.5	2.8
Exports	1.4	-1.1	1.8	0.5	0.6	0.7	0.7	0.7	0.7	2.7	2.8	2.9
Imports	1.4	2.1	0.2	0.9	0.9	0.9	1.0	1.0	1.0	3.8	5.6	3.6
Unemployment rate	4.1	4.3	4.3	4.4	4.5	4.5	4.6	4.7	4.7	4.2	4.4	4.6
Employment, 000	52	77	20	45	45	45	45	50	55	209	200	179
Consumer prices (quarterly)	3.6	4.1	4.1	3.5	3.8	3.1	2.9	2.8	2.6	2.8	3.9	2.9
Trimmed mean	3.4	3.5	3.7	3.5	3.5	3.5	3.3	3.0	2.8	3.0	3.5	3.2
Weighted median	3.3	3.5	3.8	3.7	3.5	3.5	3.3	3.0	2.8	3.0	3.6	3.2
Fiscal balance (% GDP)										-0.4	-0.5	-1.0
Current account balance (% GDP)										-2.7	-3.0	-3.0
RBA cash rate target	3.60	4.10	4.35	4.35	4.35	4.35	4.10	4.10	4.10	3.60	4.35	4.10
3-month bank bill	3.74	4.31	4.46	4.45	4.45	4.45	4.15	4.20	4.20	3.74	4.45	4.20
2-year government bond	4.06	4.66	4.42	4.50	4.50	4.35	4.05	4.10	4.10	4.06	4.50	4.10
5-year government bond	4.29	4.70	4.40	4.45	4.55	4.45	4.20	4.30	4.30	4.29	4.55	4.30
10-year government bond	4.74	4.97	4.72	4.80	4.85	4.80	4.60	4.70	4.70	4.74	4.85	4.70
AUD/USD	0.67	0.69	0.69	0.71	0.73	0.75	0.75	0.75	0.75	0.67	0.73	0.75

Note: Numbers in bold are actual values; others forecasts. Interest rate and currency forecasts are end of period; other measures are period average. Fiscal balance forecasts are financial year forecasts, i.e., 2026 is the 2025-26 financial year ending 30 June 2026. All forecasts are modal forecasts (i.e., the single most likely outcome). Table reflects data available as of 9 July 2026.

Source: Nomura.

China: A K-shaped economy is materializing

Domestic demand is exceptionally weak; Beijing will likely step up fiscal spending in coming months.

Forecast change: We raised our 2026 CPI and PPI inflation forecasts in early June to 0.9% and 2.5%, respectively, from 0.6% and 1.0%.

Activity: Growth across *major activity data* slowed materially in April and May, confirming our view that the growth rebound in Q1 was short-lived, and we expect no major rebound in June. Growth of retail sales and fixed asset investment have turned negative again, as aggregate domestic demand is being weighed on by payback effects from the trade-in program, the *prolonged property slump* and a worsening of the *double K-shapes*. We have *lowered our 2026 retail sales growth forecast* to 2.2% from 3.2%, in view of its sharp slowdown in recent months and the limited room for short-term policy stimulus. The export surge was primarily price-driven and largely concentrated in AI-related sectors that simultaneously drove higher imports, with a limited net contribution to real economic growth. We maintain our forecast for real GDP growth to slow to 4.1% y-o-y in Q2 from 5.0% in Q1. With the *renewed* sharp declines in investment against Beijing's *commitment* to stabilize investment, we believe Beijing will likely accelerate bond issuance and step up fiscal spending in coming months.

Inflation: We revised up our 2026 *CPI and PPI inflation forecasts* in early June to 0.9% and 2.5%, respectively, from 0.6% and 1.0%, in view of the imported inflationary forces from global oil and chip prices. Although Beijing might feel a sense of relief from the end of deflation, it may not take much comfort, as China is a net importer of chips and the world's largest net importer of energy. The worsening terms of trade could shrink its balance of payments at a macro level and squeeze most domestic producers and consumers.

Policy: We believe Beijing will maintain proactive fiscal spending and accommodative monetary policy to address exceptionally weak domestic demand. While Beijing expanded the quota allocation for *"new policy financing tools (NPFT)"*, and pledged a greater portion of LGSBs toward investment in March, actual government bond issuance and fiscal spending has been slow. We expect Beijing to step up fiscal spending over coming months. Considering ample market liquidity and low CGB yields, we maintain our *forecast* for no RRR or rate cuts this year. That said, if global oil prices continue to retreat and ease pressures on other major central banks to raise rates, the PBoC may become more likely to deliver a moderate rate cut towards the end of the year.

Risks: The evolution of Middle East tensions and US-China relations, the pace of domestic policy stimulus, private sector tech breakthroughs and the involvement of the property and stock market all pose two-way risks.

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Fig. 17: China: Details of the forecast

% y-o-y growth unless otherwise stated	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26	4Q26	1Q27	2Q27	3Q27	4Q27	2024	2025	2026	2027
Real GDP (% q-o-q, sa)	1.1	1.1	1.1	1.2	1.3	0.8	1.3	1.2	0.9	0.8	1.1	0.9				
Real GDP	5.4	5.2	4.8	4.5	5.0	4.1	4.5	4.5	4.1	4.0	3.9	3.8	5.0	5.0	4.5	4.0
Contributions to GDP (pp):																
Final consumption	2.8	2.7	2.7	2.4	2.3								2.2	2.6	2.5	2.9
Gross capital formation	0.5	1.3	1.1	0.7	1.9								1.7	1.5	0.8	0.6
Net exports (goods & services)	0.9	1.2	1.4	1.4	0.8								1.1	0.9	1.2	0.5
CPI	-0.1	0.0	-0.2	0.6	0.8	1.2	0.5	0.6	0.2	0.3	0.7	1.1	0.2	0.0	0.9	0.4
Core CPI	0.3	0.6	0.9	1.2	1.2	1.1	0.8	0.3	0.5	1.0	1.4	1.2	0.5	0.8	0.9	0.8
PPI	-2.3	-3.2	-2.9	-2.1	-0.6	3.8	4.5	2.2	1.5	-1.2	-1.6	0.7	-2.2	-2.6	2.5	-0.2
GDP deflator	-0.8	-1.3	-1.1	-0.7	-0.1	2.3	2.3	1.2	0.6	-0.7	-0.7	0.7	-0.8	-1.0	1.4	0.0
Retail sales (nominal)	4.6	5.4	3.4	1.7	2.4	2.8	3.5	3.7	3.1	3.1	2.8	2.8	3.5	3.7	3.2	3.0
Fixed-asset investment (nominal, ytd)	4.2	2.8	-0.5	-3.8	1.7	-1.7	-0.2	1.4	3.4	4.1	4.1	3.8	3.2	-3.8	1.4	3.8
Industrial production (real)	6.5	6.2	5.8	5.0	6.1	4.2	4.4	4.5	4.2	4.0	3.9	3.8	5.8	5.9	4.5	4.0
Exports (USD bn)	5.6	6.1	6.5	3.8	14.7	7.6	6.9	5.9	3.2	3.6	4.0	3.3	5.8	5.5	8.6	3.5
Imports (USD bn)	-6.9	-0.9	4.4	2.9	22.7	11.2	10.5	10.6	1.0	0.6	1.2	1.0	1.0	0.0	13.4	1.0
Trade balance (USD bn)	271	313	289	316	264	313	283	300	291	341	311	329	993	1,189	1,161	1,272
Current account balance (% of GDP)	3.7	2.7	4.0	4.4	3.8	3.1	3.3	4.2	3.8	3.2	4.4	4.0	2.2	3.7	3.5	3.8
Fiscal balance (narrow; % of GDP)													-4.8	-5.1	-5.4	-5.4
Fiscal balance (broad; % of GDP)													-8.0	-8.9	-9.3	-9.3
Outstanding RMB loans	7.4	7.1	6.6	6.4	5.7	6.6	7.1	7.3	7.3	7.3	7.3	7.3	7.6	6.4	7.3	7.3
Outstanding aggregate financing (AF)	8.4	8.9	8.7	8.3	7.9	8.2	8.3	8.3	8.3	8.3	8.3	8.3	8.0	8.3	8.3	8.3
Money supply M2	7.0	8.3	8.4	8.5	8.5	7.6	7.1	7.1	7.1	7.1	7.1	7.1	7.3	8.5	7.1	7.1
7-day PBoC's reverse repo rate (% pa)	1.50	1.40	1.40	1.40	1.40	1.40	1.40	1.40	1.40	1.30	1.30	1.30	1.50	1.40	1.40	1.30
1-yr LPR (% pa)	3.10	3.00	3.00	3.00	3.00	3.00	3.00	3.00	3.00	2.90	2.90	2.90	3.10	3.00	3.00	2.90
5-yr LPR (% pa)	3.60	3.50	3.50	3.50	3.50	3.50	3.50	3.50	3.50	3.40	3.40	3.40	3.60	3.50	3.50	3.40
Reserve requirement ratio (large banks; %)	9.50	9.00	9.00	9.00	9.00	9.00	9.00	9.00	9.00	8.50	8.50	8.50	9.50	9.00	9.00	8.50

Note: Numbers in bold are actual values; others are forecasts. Interest rate forecasts are end of period; other measures are period average. All Nomura forecasts are modal (i.e., the single most likely outcome). Table reflects data available as of 9 July 2026.

Source: Wind, Nomura Global Economics.

Hong Kong: Trade is benefiting notably from the global AI supercycle

The ongoing global AI supercycle is driving growth of both exports and imports to exceptionally strong levels.

Forecast changes : We lower our 2026 CPI inflation forecast to 1.7% from 1.9%.

Activity: Domestic demand remains resilient. Retail sales growth moderated to 7.9% y-o-y in May from 8.7% in April, while the pace remained robust. On a comparable basis, May's retail sales reached 83.4% of 2018 levels. The labour market continued to stabilise, with the unemployment rate holding steady at 3.7% in May, unchanged from April. Goods exports maintained exceptional strength, growing by 40.8% y-o-y in May (versus 42.9% in April), likely buoyed by sustained global demand for AI-related electronics, as import growth also stayed elevated at 42.0% (April: 44.4%). Re-export growth also stood at 41.0% y-o-y in May, little changed from 43.0% in April, and we expect this strong growth to continue in H2. We maintain our bullish 2026 GDP growth forecast of 4.8%, although we anticipate a moderation to 5.2% y-o-y in Q2 from 5.9% in Q1. Also, Hong Kong's residential property market showed further signs of recovery, with the Centa City Leading Index (CCLI) rising by 1.8% in June. We expect this rebound to persist through 2026, driven by rising home prices and increased residential land transactions. The outlook on private investment may depend on the Fed's policy rate path.

Inflation : CPI inflation came in at 2.0% y-o-y in May, up from 1.7% in April. Notable price increases were recorded in utilities (6.6%, likely caused by the ongoing global energy shock), transport (5.1%), miscellaneous services (5.1%), miscellaneous goods (2.9%), and alcoholic drinks and tobacco (2.5%), and housing (1.1%). Given the recent moderation in crude oil prices, we lower our 2026 CPI inflation forecast to 1.7% from 1.9%.

Policy: Our US economics team still expects the Fed to hold rates steady indefinitely. We believe this is marginally negative for Hong Kong, as a higher interest rate environment – which is tied to Fed policy moves – may weigh on local private investment, which has made a solid contribution to GDP growth since H2 2025.

Risks: Risks to our forecasts are balanced. Downside risks include heightened geopolitical and trade tensions under the Trump administration, the strength of the ongoing housing market recovery and a sudden deterioration in external demand. Upside risks include more rate cuts by the Fed, stronger external demand, a major de-escalation of geopolitical tensions and a stronger recovery in Mainland tourist arrivals.

Fig. 18: Hong Kong: Details of the forecast

% y-o-y growth unless otherwise stated	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26	4Q26	1Q27	2Q27	3Q27	4Q27	2025	2026	2027
Real GDP (sa, % q-o-q)	1.1	0.8	0.9	1.1	2.9	0.3	0.2	0.5	1.5	0.5	0.7	0.5			
Real GDP	3.2	3.3	3.8	4.0	5.9	5.2	4.4	3.9	2.5	2.7	3.2	3.2	3.6	4.8	2.9
Contributions to GDP growth (pp)															
Domestic final sales	-0.3	2.3	2.5	3.7	6.4	1.3	1.2	2.5	2.0	0.8	0.6	1.8	2.1	2.9	1.3
Net exports (goods & services)	2.4	-1.5	1.6	-4.1	-9.0	1.3	2.1	1.0	0.2	-1.6	0.6	0.3	-0.4	1.1	-0.1
Inventories	1.0	2.4	-0.3	4.2	8.5	2.5	1.2	0.4	0.4	3.5	2.1	1.1	1.9	3.1	1.7
Unemployment rate (sa, %)	3.2	3.5	3.8	3.8	3.8	3.7	3.6	3.5	3.5	3.5	3.5	3.5	3.6	3.7	3.5
Consumer prices	1.6	1.8	1.1	1.3	1.5	1.9	1.7	1.6	1.5	1.7	1.7	1.7	1.4	1.7	1.7
Exports	10.9	14.0	15.0	20.9	32.0	14.3	10.8	9.7	6.7	5.0	6.1	4.9	15.3	17.0	6.0
Imports	9.8	15.1	13.8	22.4	37.0	13.5	9.6	9.0	6.3	5.9	5.7	4.7	15.5	16.4	5.6
Current account balance (% of GDP)	15.5	11.8	11.1	10.6	4.3	8.0	10.4	3.1	8.5	5.7	10.3	2.6	12.2	7.8	6.7
Fiscal balance (% of GDP)													-2.0	-1.2	-1.2
Discount rate (%)	4.75	4.75	4.50	4.00	4.00	4.00	4.00	4.00	4.00	4.00	4.00	4.00	4.00	4.00	4.00

Note: Numbers in bold are actual values; others are Nomura forecasts. Interest rate and currency forecasts are end of period; other measures are period average. All Nomura forecasts are modal (i.e., the single most likely outcome). Financial year (FY) from April to next March is applied for fiscal balance (government consolidated account). Table reflects data available as of 9 July 2026.

Source: CEIC, Wind, Nomura Global Economics

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India: Improvement in macro conditions

Lower oil prices reduce pressures on growth, inflation and the twin deficits.

Forecast change: For FY27, we lower our CA deficit forecast by 0.7pp to 1.2% of GDP, our fiscal deficit forecast by 0.1pp to 4.5% of GDP and inflation forecast by 0.4pp to 4.6%.

Activity: Consumption remains robust, evidenced by strong auto sales (*passenger vehicles, two-wheelers, tractors and MHCVs*), diesel sales and GST collections in June. *Industrial production data* show that the underperformance has been limited to sectors like fuels, non-metallic minerals, apparels and chemicals, while *merchandise export and import growth* have been strong in May. Overall, we expect the growth momentum to sustain, exhibiting resilience to the Iran war shocks driven by robust consumption and the capex focus of the government. The recent fall in crude oil prices and a restoration of supply chains also bodes well for momentum, with the government reversing energy curbs. A growth-supportive policy stance, the *calming of trade tensions with the US* and a focus on *structural reforms* should help. We forecast FY27 (year ending March 2027) GDP growth of 6.6% y-o-y, down from 7.6% in FY26 and in line with RBI forecasts.

Inflation: *May CPI inflation* rose to 3.9% y-o-y in May from 3.5% in April, but underlying inflation remained weak at ~2.3%. We expect near-term inflation to be impacted by the pending pass-through of *higher retail fuel prices* and input costs, and by volatile vegetable prices that typically spike during the monsoon months. While below-normal rains are an upside risk, the impact on inflation has been historically weak. The correction in crude oil prices is unlikely to lead to a reversal of the fuel price hikes, but lower industrial energy costs will ease margin pressure on firms. With unfavourable base effects intensifying in H2, inflation could cross the 5% mark by end-2026. We reduce our FY27 inflation forecast by 40bp to 4.6% (FY26: 2.1%), below the RBI's forecast of 5.1%.

Policy: The RBI continued its *policy pause at 5.25%*, despite higher inflation and lower growth forecast revisions, setting a *high bar for any policy tightening*. To defend the currency, policymakers have reduced taxes on FPIs, lowered market entry barriers, and subsidised hedging for the public sector to raise external commercial borrowings and for banks to attract offshore *"FCNR(B)" deposits*. We expect the latter to garner *~USD55bn of inflows*, effectively *swinging the BoP to a surplus* of ~USD15bn in FY27 from the deficit of ~USD70bn we had forecast previously. *Fiscal pressures eased* in May due to lower spending and higher revenue growth, and the sharp decline in oil and fertiliser prices and stronger growth are tailwinds. We continue to expect slippage from the FY27 fiscal deficit target of 4.3% of GDP, but now forecast a less slippage (0.2pp versus 0.3pp).

Risks: US-Iran engagement and its impact on crude oil prices and supply chains are key uncertainties. A deterioration could reverse growth tailwinds, while sustained low oil prices are an upside risk. Apart from this, downside risks to growth include the impact of *El Niño* and deficient *Southwest Monsoons*, and a potential easing of public capex to limit fiscal slippage. Other upside risks include stronger consumption growth, sustained export demand and the lagged impact of structural reforms on the ease of doing business.

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Fig. 19: India: Details of the forecast

	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26	4Q26	1Q27	2Q27	2025	2026	2027	FY25	FY26	FY27
Real GDP	7.0	6.8	8.3	8.0	7.8	7.2	6.2	6.4	6.9	7.5	7.5	6.9	7.4	7.1	7.7	6.6
Private consumption	5.6	8.7	7.2	8.2	7.1	7.0	6.6	6.7	7.2	7.0	7.4	6.8	7.4	5.8	7.7	6.9
Government consumption	3.6	5.8	6.6	4.6	4.9	8.5	7.5	8.0	8.0	7.5	5.2	7.3	7.6	6.5	5.5	8.0
Fixed investment	6.2	4.9	8.4	8.2	10.8	8.2	7.5	8.0	6.5	7.4	7.0	8.6	7.0	6.4	8.2	7.5
Exports (goods & services)	5.4	6.6	9.7	5.8	3.7	6.0	10.0	9.0	8.0	9.0	6.8	7.2	9.1	6.6	6.3	8.3
Imports (goods & services)	5.5	7.0	6.0	7.2	1.9	9.0	7.4	10.0	10.0	8.5	6.5	7.2	9.9	5.3	5.6	9.1
Contributions to GDP (pp)																
Domestic final sales	4.5	7.0	6.8	6.5	6.5	8.0	7.6	7.7	7.2	7.1	6.2	7.5	7.3			
Net trade (goods & services)	0.2	-0.7	0.4	0.1	0.9	-0.4	-0.3	-0.8	-0.7	-0.7	0.0	0.2	-1.0			
Consumer price index	3.7	2.9	1.7	0.6	3.1	3.9	4.2	5.0	5.2	4.9	2.2	4.1	4.8	4.6	2.1	4.6
Current account balance (% GDP)	1.4	-0.3	-1.5	-1.5	0.7	-1.2	-1.8	-1.6	-0.5	-1.3	-0.6	-1.3	-1.4	-0.6	-0.6	-1.2
Fiscal balance (% GDP)														-4.9	-4.4	-4.5
Repo rate (%)	6.25	5.50	5.50	5.25	5.25	5.25	5.25	5.25	5.25	5.25	5.25	5.25	5.25	6.25	5.25	5.25
Standing Deposit Facility (SDF) rate (%)	6.00	5.25	5.25	5.00	5.00	5.00	5.00	5.00	5.00	5.00	5.00	5.00	5.00	6.00	5.00	5.00
Cash reserve ratio (%)	4.00	4.00	3.75	3.00	3.00	3.00	3.00	3.00	3.00	3.00	3.00	3.00	3.00	4.00	3.00	3.00
10-year bond yield (%)	6.58	6.32	6.58	6.59	7.04	6.75	6.90	6.90	7.15	7.15	6.59	6.90	7.15	6.58	7.04	7.15
Exchange rate (USD/INR)	85.5	85.8	88.8	89.9	94.8	94.7	94.0	93.0	92.8	92.5	89.9	93.0	92.0	85.5	94.8	92.8

Note: Numbers in bold are actual values; others forecast. All Nomura forecasts are modal. Interest rate and currency forecasts are end of period; other measures are period average. For fiscal balance, calendar year refers to the forthcoming fiscal year. Table reflects data available as of 9 July 2026.

Source: CEIC and Nomura Global Economics

Indonesia: Not out of the woods

Policy uncertainty continues to weigh on already-fragile investor sentiment. We expect BI to hike by another 50bp this year but acknowledge high uncertainty to our forecast.

Forecast changes: We revise down our 2026 and 2027 current account deficit forecasts to 1.7% of GDP and 1.6%, respectively, from 2.0% and 2.1%, owing to our new oil price assumption.

Activity: We maintain our 2026 GDP growth forecast of 5.2% y-o-y, edging up from 5.1% in 2025 but still below the government's projection of 5.3-5.4%. Household spending is likely to be constrained by *structural factors*, such as labor market weakness. Sustaining investment growth also looks challenging amid weak business sentiment, weighed on by higher policy uncertainty, such as the creation of a *new state export agency* and the revision of *financial system strengthening law*, which raises concerns over central bank independence. Lower oil prices reduce negative terms of trade effects, supporting our 2026 CAD forecast revision to 1.7% of GDP, which would still represent a sharp widening from 0.1% of GDP in 2025. In May, the *trade balance swung to a deficit*, driven by lower exports and higher oil and gas imports. We think weak capital flows remain a major source of balance of payment pressures, reflecting domestic regulatory uncertainties.

Monetary policy and inflation: We still expect BI to hike its policy rate by another 50bp this year to 6.25%, delivering 25bp at each of the July and September meetings. That said, we acknowledge high uncertainty in our forecast for additional hikes, which depend on both external and domestic factors that might adversely affect IDR. *BI hiked its policy rate by 50bp in June* to 5.75%, bringing its total hikes to 100bp over the span of a month, reflecting severe FX pressures. We maintain our 2026 average CPI inflation forecast at 3.1% y-o-y, up from 1.9% in 2025. *CPI inflation* rose to 3.34% y-o-y in June from 3.08%, led by rising non-subsidized fuel prices and airfares. Core inflation edged up to 2.76% from 2.59%, with second-round effects remaining limited.

Fiscal policy: We maintain our fiscal deficit forecast at 3.0% of GDP for 2026, but we continue to believe more *below-the-line spending* could be utilized to accommodate any slippage. The Ministry of Finance recently *raised the 2026 fiscal deficit target* to 2.85% of GDP in its outlook from 2.68% in the original budget, close to the 3% ceiling and further supporting our forecast. We are pencilling in a more modest tax revenue growth assumption than government outlook. Further, we expect President Prabowo's priority program disbursement to remain strong, as also seen in the upward revision of expenditure target, amid higher subsidy and compensation disbursements.

Risks: A re-escalation of the US-Iran conflict and more policy uncertainty pose downside risks to growth, while higher non-oil commodity prices are an upside risk.

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Fig. 20: Indonesia: Details of the forecast

% y-o-y growth unless otherwise stated	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26	4Q26	1Q27	2Q27	2025	2026	2027
Real GDP (sa, % q-o-q)	1.2	1.4	1.2	1.5	1.4	0.8	1.2	1.6	1.4	0.8			
Real GDP	4.9	5.1	5.0	5.4	5.6	5.0	5.0	5.1	5.1	5.1	5.1	5.2	5.2
Private consumption	4.9	5.0	4.9	5.1	5.5	5.2	5.1	5.2	5.3	5.2	5.0	5.3	5.2
Government consumption	-1.2	-0.3	5.7	4.5	21.8	11.9	4.8	6.2	4.8	7.8	2.5	10.2	7.8
Gross fixed capital formation	2.1	7.0	5.0	6.1	6.0	3.3	4.4	4.5	5.8	5.6	5.1	4.5	4.8
Exports (goods & services)	5.9	10.1	9.1	3.3	0.9	1.3	2.7	2.7	5.6	4.0	7.0	2.0	5.6
Imports (goods & services)	3.6	11.1	0.9	4.0	7.2	2.6	5.4	3.5	6.1	4.4	4.8	4.6	5.9
Contributions to GDP (% points)													
Domestic final sales	3.3	4.8	4.6	5.2	6.1	4.6	4.4	4.8	5.0	5.0	4.5	5.0	4.9
Inventories	0.9	0.1	-1.6	0.2	0.7	0.5	0.9	0.3	0.0	0.0	-0.1	0.6	0.1
Net trade (goods & services)	0.7	0.2	2.0	0.0	-1.2	-0.2	-0.4	-0.1	0.1	0.1	0.7	-0.4	0.2
Unemployment rate (% nsa)	4.8	4.9	4.9	4.9	4.7	4.8	4.8	4.8	4.8	4.8	4.8	4.8	4.8
Consumer prices	0.6	1.8	2.4	2.8	3.9	2.9	3.0	2.7	2.8	2.4	1.9	3.1	2.5
Exports (BOP basis)	6.5	9.1	9.5	1.8	0.7	-3.0	-4.8	3.1	9.2	7.3	6.6	-1.0	8.3
Imports (BOP basis)	0.5	9.8	-0.7	3.9	10.5	4.9	8.5	11.9	10.8	5.9	3.3	9.0	7.5
Trade balance (US\$bn, BOP basis)	13.1	10.5	16.0	10.2	8.0	5.7	7.5	5.1	7.8	6.9	49.9	26.3	30.5
Current account balance (US\$bn)	-0.1	-2.9	4.0	-2.5	-4.0	-8.3	-5.3	-7.1	-5.1	-7.7	-1.5	-24.7	-24.9
Current account balance (% of GDP)	-0.4	-0.4	0.0	-0.1	-0.4	-0.7	-1.4	-1.7	-1.7	-1.7	-0.1	-1.7	-1.6
Fiscal Balance (% of GDP)											-2.9	-3.0	-2.9
Policy rate, BI rate (%)	5.75	5.50	4.75	4.75	4.75	5.75	6.25	6.25	6.25	6.25	4.75	6.25	6.25
10-year government bond yield (%)	7.00	6.63	6.37	6.07	6.86	7.16	7.00	6.90	6.80	6.80	6.07	6.90	6.80
Exchange rate (USD/IDR)	16588	16233	16680	16782	16993	17529	17850	17800	17725	17650	16782	17800	17500

Note: Numbers in bold are actual values; others forecast and inventories under the GDP components also includes statistical discrepancies. Interest rate and currency forecasts are end of period; other measures are period average. Quarterly current account balance (% of GDP) numbers are four-quarters rolling sum. All forecasts are modal forecasts (i.e., the single most likely outcome). Table reflects data available as of 9 July 2026.

Source: CEIC, Nomura Global Economics.

Japan: A renewed focus on the relationship between the government and the BOJ

The government's draft of the "Basic Policy" included three focus points, one of which led to a renewed focus on the relationship between the government and the BOJ.

Activity: Alternative procurement of oil and naphtha has been under way, part of which has started to contribute to the domestic restocking thereof. Also, oil prices have normalized to reach around USD70/bbl. These developments will ease Japan's supply-side constraints from the perspective of both prices and quantity. While we do expect real GDP to contract in quarter-on-quarter terms in Q3 due to a decline in exports of goods and services (i.e., inbound tourism), as well as slowing of private consumption, we believe Japan's economy will remain on a recovery path, with capex functioning as an axis.

Prices: We stick to our view that year-on-year core CPI inflation will accelerate to reach a peak of 3.4% in Q1 2027, after which it will come down to around or below 2% in Q4 2027, assuming Japan avoids a further depreciation of JPY. Near-term risks include renewed tensions in the Middle East leading to a return to high oil prices.

Policy: The government released the draft of the "Basic Policy on Economic and Fiscal Management and Reform" on 30 June, where we find three focus points.

First, the government explicitly set a fiscal objective of reducing the gross debt-to-GDP ratio of the central and local governments in a stable manner, shifting away from setting a specific year of bringing the primary balance into surplus territory, which we believe makes sense.

Second, the government will implement a growth strategy so Japan's nominal GDP will reach JPY1100trn in FY40, which requires annual growth of 3.4% from FY25 through FY40, in which nominal GDP terms equates to JPY669trn. This seems optimistic.

Third, the draft explicitly mentioned monetary policy on two occasions, saying it will be "very important" to conduct monetary policy so that the economy can transform into a "strong economy". This led to a renewed focus on the relationship between the government and the BOJ since markets took it as a possible sign of "fiscal dominance", potentially leading to delayed rate hikes by the BOJ. Given our inflation outlook, however, we remain of the view that there will be two more hikes, in December 2026 and June 2027, with a risk scenario of three more hikes, in October 2026, March-April 2027 and September-October 2027.

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Fig. 21: Japan: Details of the forecast

%	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26	4Q26	1Q27	2Q27	3Q27	4Q27	2025	2026	2027
Real GDP (% q-o-q, annualized)	2.0	1.1	-2.3	0.7	1.8	2.0	-1.4	0.8	0.7	2.0	0.6	0.5			
Real GDP (% q-o-q)	0.5	0.3	-0.6	0.2	0.5	0.5	-0.4	0.2	0.2	0.5	0.2	0.1	1.1	0.6	0.7
Private consumption	0.6	0.2	0.5	0.1	0.3	0.3	0.1	0.0	0.0	0.7	0.0	0.2	1.3	1.0	0.8
Private non res fixed invest	1.2	1.0	-0.1	1.2	-0.7	0.3	0.3	0.5	0.5	0.5	0.5	0.5	2.1	0.7	1.8
Residential fixed invest	-0.5	0.0	-0.8	5.0	0.9	-0.5	-0.7	-0.1	-0.4	-0.5	-0.5	-0.5	-2.5	-0.5	-1.7
Government consumption	-0.3	0.6	0.1	0.4	0.3	0.0	0.1	0.1	0.1	0.1	0.1	0.1	0.9	0.9	0.4
Public investment	-0.8	0.4	-1.0	-0.1	1.5	-0.8	-0.8	-0.8	-0.6	0.8	0.6	-0.6	-0.4	-0.2	-1.1
Exports	-0.6	1.6	-1.6	0.2	1.8	0.3	-1.8	1.3	1.1	1.0	1.0	0.5	2.5	1.2	2.7
Imports	2.2	1.1	-0.2	0.0	0.4	-2.4	1.2	0.9	1.3	1.2	0.9	0.7	3.8	-0.4	3.6
Contributions to GDP: (ppt, q-o-q)															
Domestic final sales	0.4	0.5	-0.1	0.6	0.3	-0.1	0.2	0.1	0.2	0.5	0.1	0.2	1.1	0.6	0.8
Inventories	0.7	-0.3	-0.2	-0.4	-0.1	0.1	0.0	0.0	0.0	0.0	0.0	0.0	0.3	-0.3	0.0
Net trade	-0.6	0.1	-0.3	0.0	0.3	0.5	-0.5	0.1	0.0	0.0	0.0	0.0	-0.3	0.3	-0.1
Industrial production (% q-o-q)	0.0	-0.5	-1.1	0.3	2.5	0.7	0.2	0.5	0.4	0.7	0.3	0.2	-0.3	2.8	1.9
Unemployment rate	2.5	2.5	2.5	2.6	2.7	2.6	2.6	2.6	2.5	2.5	2.4	2.4	2.5	2.6	2.5
Consumer prices (% y-o-y)	3.8	3.4	2.9	2.7	1.4	1.6	1.8	2.6	3.4	1.2	1.1	0.3	3.2	1.9	1.5
less fresh food	3.1	3.5	2.9	2.8	1.8	1.6	1.8	2.7	3.4	1.5	1.3	0.5	3.1	1.9	1.6
less fresh food and energy	2.7	3.2	3.2	3.0	2.5	1.9	2.0	2.3	2.5	1.2	1.0	0.8	3.0	2.2	1.3
less food (ex. alcohol) and energy	1.5	1.6	1.5	1.5	1.4	1.2	1.7	2.0	2.0	2.3	2.1	2.1	1.6	1.6	2.1
Fiscal balance (fiscal yr, % GDP)													-3.3	-3.3	-3.3
Current account balance (% GDP)	4.4	4.3	6.6	4.2	5.6	4.8	3.9	2.7	3.5	4.0	5.4	3.6	4.9	4.2	4.1
Policy rate	0.50	0.50	0.50	0.75	0.75	1.00	1.00	1.25	1.25	1.50	1.50	1.50	0.75	1.25	1.50
JGB 5-year yield	1.10	0.98	1.23	1.55	1.77	1.88	1.95	2.00	2.00	2.05	2.05	2.05	1.55	2.00	2.05
JGB 10-year yield	1.49	1.42	1.65	2.06	2.35	2.67	2.75	2.70	2.70	2.70	2.70	2.70	2.06	2.70	2.70
JPY/USD	150.0	144.0	147.9	156.7	158.7	162.6	158.0	154.0	150.0	147.5	145.0	145.0	156.7	154.0	145.0

Note: Unemployment rate is as a percentage of the labour force. Inflation measures and CY GDP are year-on-year percent changes. Interest rate forecasts are end of period. Fiscal balance is FY basis (April through March of following year), general account basis. Economic forecasts are as of 8 June 2026, interest rate forecasts and forex forecasts as of 26 June 2026. We assume that the consumption tax rate for food (excluding alcoholic beverages and restaurants) will be lowered from 8% at present to 0% in April 2027. We estimate the impact on the all-Japan CPI, the all-Japan CPI excluding fresh food, and the all-Japan CPI excluding fresh food and energy at -1.8ppt, -1.5ppt, and -1.7ppt respectively.

Source: Cabinet Office, Ministry of Finance, Statistics Bureau, BOJ and Nomura Global Economics.

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Korea: We see a July hike as highly likely

Amid deepening financial stability concerns, we expect the BOK to deliver a 25bp hike in July, despite easing inflationary pressures.

Forecast change : We lower our 2026 and 2027 inflation forecasts to 2.6% y-o-y and 2.0%, respectively, from 2.7% and 2.1%. We also technically raise our 2026 GDP growth forecast to 2.5% (from 2.4%), reflecting upwardly revised Q1 GDP growth.

Activity: May economic activity continued to slow, with **IP growth** falling sharply, led by weaker chip production. The domestic economy was a mixed bag, with facility investment remaining solid but other parts – including construction and retail sales – still weak, which supports our view of K-shaped growth. Indeed, nominal **export growth** surged again in June, reflecting strong price effects from chips and oil-related products. However, export volume growth (customs basis) declined again in June, with price and volume growth diverging. As a result, despite the strong chip cycle, we are seeing little evidence of growth broadening to non-chip sectors. Reflecting May activity data, Nomura-KRnow is tracking Q2 GDP growth at -0.4% q-o-q, sa (2.6% y-o-y), down from a 1.8% (3.8%) increase in Q1, which suggests growth is returning to its trend of ~2%. Reflecting the upwardly revised Q1 GDP, we technically raise our 2026 GDP growth forecast to 2.5% y-o-y (BOK: 2.6%).

Inflation: **Headline inflation rose** to 3.2% y-o-y in June from 3.1% in May, reflecting still-elevated energy prices. Although global oil prices fell sharply following the US-Iran ceasefire deal, its impact on domestic prices will take around one month to reflect in the CPI data. Beyond the elevated headline inflation, core inflation was unchanged at 2.5% y-o-y, and services inflation eased with personal services inflation slowing to 3.4% y-o-y in June from 3.7% in May, which suggests underlying price pressures eased. Thus, amid lower oil prices and a modest recovery in domestic demand, we lower our 2026 and 2027 inflation forecasts to 2.6% and 2.0%, respectively, from 2.7% and 2.1%.

Policy: We expect the BOK to hike the policy rate by 25bp in a unanimous decision at its 16 July meeting. We expect the policy statement to maintain its hawkish narrative including 1) growth spillover optimism, 2) demand-led inflation concerns and 3) financial stability risk. Lower oil prices (the BOK's current assumption for Brent prices is USD95/bbl) significantly reduce the probability of back-to-back hikes. Thus, amid **rising housing prices** and a weaker currency, we expect the BOK's policy narrative to remain largely unchanged, which supports our view of three 25bp hikes in this cycle (July and October 2026, and January 2027: terminal rate: 3.25%).

Risks : Renewed tensions between the US and Iran is an upside risk to the inflation outlook, while high volatility in the KOSPI poses downside risks to the growth outlook.

Fig. 22: Korea; Details of the forecast

% y-o-y growth unless otherwise stated	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26	4Q26	1Q27	2Q27	2025	2026	2027
Real GDP (sa, % q-o-q, annualized)	-0.7	2.6	5.6	-0.4	7.5	-0.7	-0.6	0.8	8.5	-1.4			
Real GDP (sa, % q-o-q)	-0.2	0.6	1.4	-0.1	1.8	-0.2	-0.1	0.2	2.1	-0.3			
Real GDP	0.2	0.7	2.1	1.6	3.8	2.9	1.4	1.7	2.0	1.8	1.1	2.5	2.1
Private consumption	0.5	1.0	2.0	2.4	2.7	2.4	1.5	1.6	1.7	1.8	1.5	2.1	1.8
Government consumption	2.1	2.5	2.9	3.6	3.1	3.8	3.1	3.1	2.1	2.1	2.8	3.3	2.2
Construction investment	-12.7	-11.3	-7.9	-7.2	-1.9	-2.2	-3.5	-1.2	1.1	1.5	-9.8	-2.2	1.4
Facilities investment	4.7	2.7	0.7	-1.9	4.4	6.1	7.8	4.1	0.1	1.2	1.6	5.6	0.4
R & D investment	2.2	3.3	4.2	2.3	2.5	2.5	3.1	3.1	2.4	2.4	3.0	2.8	3.0
Exports (goods & services)	1.5	4.3	6.8	4.6	11.8	8.2	7.5	10.3	2.3	3.1	4.3	9.4	3.0
Imports (goods & services)	1.6	3.4	4.5	3.9	8.5	7.9	9.2	11.5	4.3	3.8	3.3	9.3	3.2
Contributions to GDP growth (% points)													
Domestic final sales	-0.3	-0.4	0.8	0.8	1.6	2.5	1.6	1.7	2.4	1.7	0.2	1.8	1.9
Inventories	0.4	0.6	0.1	0.3	0.2	-0.2	-0.1	-0.2	0.1	0.1	0.4	-0.1	0.1
Net trade (goods & services)	0.1	0.5	1.2	0.5	1.9	0.7	-0.1	0.3	-0.6	0.0	0.6	0.7	0.1
Unemployment rate (sa, %)	2.8	2.7	2.7	2.9	2.9	2.7	2.8	2.9	2.8	2.8	2.8	2.8	2.8
Consumer prices	2.1	2.1	2.0	2.4	2.1	3.0	3.1	2.4	2.4	1.6	2.1	2.6	2.0
Current account balance (USDbn)	19.5	28.4	36.0	39.2	74.4	88.5	74.1	68.7	80.7	101.9	123.1	305.7	354.7
Current account balance (% of GDP)	4.5	6.0	7.4	8.0	15.7	18.6	15.3	13.3	16.1	19.5	6.5	15.7	16.6
Fiscal balance (% of GDP)											-1.8	-2.0	-2.1
Fiscal balance ex-social security (% of GDP)											-3.9	-4.0	-4.1
BOK official base rate (%)	2.75	2.50	2.50	2.50	2.50	2.50	2.75	3.00	3.25	3.25	2.50	3.00	3.25
10-year government bond	2.77	2.73	2.84	3.19	3.61	3.99	4.00	3.80	3.70	3.60	3.19	3.80	3.60
Exchange rate (USD/KRW)	1473	1354	1404	1440	1519	1549	1515	1495	1481	1467	1440	1495	1440

Note: Numbers in bold are actual values; others forecasts. The "Inventories" component in growth contributions also includes statistical discrepancy. Interest rate, currency are end of period; other measures are period average. All forecasts are modal forecasts (i.e. the single most likely outcome). Table reflects data as of 9 July 2026.

Source: CEIC, Bloomberg, Nomura Global Economics

Malaysia: Elections won't derail growth

Strong GDP growth momentum likely sustained into Q2 and is unlikely to be affected by upcoming state elections. We continue to forecast a 25bp BNM hike by Q4.

Forecast change: We lower our 2026 CPI inflation forecast to 2.0% from 2.3%.

Activity: We maintain our 2026 GDP growth forecast of 5.2% y-o-y, above the official forecast range of 4.0-5.0% (Consensus: 4.5%). We expect domestic demand to remain robust, led by strong investment spending that is, in turn, helped by the implementation of the government's structural reforms. The *record-high approved investments* in 2025 are materializing, particularly in the *Johor-Singapore Special Economic Zone*, alongside progress in connectivity-boosting infrastructure projects. We think private consumption will also remain supported by robust labor market conditions. The unemployment rate was stable at 2.9% sa in April. Industrial production (IP) growth increased to 8.3% y-o-y in April-May from 4.0% in Q1, consistent with *surging goods exports* and suggesting GDP growth held up in Q2. Importantly, electronics exports should continue to benefit from a sustained tech uptrend, boosting production. The *upcoming state elections* will likely be seen as a barometer for PM Anwar's unity government but are unlikely to affect economic activity.

Monetary policy and inflation: We reiterate our out-of-consensus forecast for BNM to hike its overnight policy rate (OPR) by 25bp to 3.00% in Q4. *BNM left its OPR unchanged in July* but sounded slightly more optimistic on the growth outlook. In addition, we see signs of financial imbalance risks building, based on a sharp uptick in the latest readings of our Nomura Financial Imbalance Risk Indicator (FIRI). The revision to our inflation forecast (official forecast: 1.5-2.5%) reflects a combination of factors, including our lower oil price assumption, latest CPI outturns and the new diesel subsidy policy. Our CPI forecast continues to pencil in an upward trajectory to 2.2% in H2 from 1.8% in H1, underpinned by robust domestic demand and labour market conditions. *Headline inflation* rose further to 2.0% y-o-y in May from 1.9% in April, led by higher food prices and electricity costs.

Fiscal policy: We maintain our 2026 fiscal deficit forecast of 3.5% of GDP (2025: 3.7%), aligning with *budget projections*. The monthly fiscal deficit improved to MYR6.3bn in May from MYR12.1bn in April, which still implies a widening of the fiscal deficit on a 12-month rolling sum basis to 3.7% of GDP from 3.6%. The government now estimates fuel subsidy spending at almost MYR40bn this year, compared to the budgeted MYR15bn. However, it expects the new diesel subsidy policy since July to save up to MYR2bn per year due to leakage. We think higher revenues will provide some offset, given the strong economy. Revenues grew by 11.0% y-o-y in January-May, outpacing expenditure growth. That said, we continue to see risks of a modestly higher fiscal deficit, due to high subsidy spending.

Risks: A sharper decline in global growth, a downturn in the tech cycle and rising domestic political uncertainty pose downside risks to growth. A sharper and more broad-based increase in commodity prices is an upside risk to both growth and inflation.

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Fig. 23: Malaysia: Details of the forecast

% y-o-y growth unless otherwise stated	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26	4Q26	1Q27	2Q27	2025	2026	2027
Real GDP (sa, % q-o-q)	0.9	1.9	2.0	1.4	0.0	2.4	1.3	1.1	0.5	1.8			
Real GDP	4.4	4.6	5.3	6.2	5.4	5.9	5.1	4.8	5.3	4.6	5.2	5.2	5.0
Private consumption	4.8	5.1	5.8	5.6	4.7	4.6	5.1	5.2	4.9	5.2	5.3	4.9	5.0
Government consumption	2.7	5.7	5.8	6.6	4.1	5.9	3.5	5.4	6.4	5.8	5.3	4.8	5.1
Gross fixed capital formation	9.6	12.0	7.4	9.3	7.3	6.3	9.6	8.5	9.5	6.8	9.6	7.9	6.9
Exports (goods & services)	4.3	4.5	4.6	6.3	5.2	5.8	4.8	4.7	6.0	4.4	4.9	5.1	4.2
Imports (goods & services)	5.2	7.9	3.0	9.0	4.6	3.1	5.9	3.1	5.3	4.2	6.3	4.1	4.4
Contributions to GDP (% points)													
Domestic final sales	5.4	6.5	5.9	6.2	5.0	5.0	5.7	5.7	6.0	5.4	6.0	5.4	5.3
Inventories	-0.6	0.2	-1.8	1.4	-0.3	-1.1	-0.2	-2.1	-1.4	-1.1	-0.2	-0.9	-0.3
Net trade (goods & services)	-0.4	-2.0	1.2	-1.4	0.6	1.9	-0.4	1.2	0.7	0.3	-0.6	0.8	0.0
Unemployment rate (% sa)	3.1	3.0	3.0	3.0	2.9	3.0	3.0	3.0	3.0	3.0	3.0	3.0	3.0
Consumer prices	1.5	1.3	1.3	1.4	1.6	2.0	2.1	2.4	2.4	1.9	1.4	2.0	1.9
Exports (BOP basis)	9.6	12.2	10.2	11.5	15.9	13.1	4.7	3.4	0.2	0.6	10.9	8.9	1.4
Imports (BOP basis)	10.4	15.7	5.8	16.7	16.0	9.8	7.4	1.6	0.1	0.1	12.1	8.4	1.9
Trade balance (US\$bn, BOP basis)	7.4	3.7	7.7	5.8	8.5	6.2	6.3	7.3	8.5	6.6	24.6	28.2	27.4
Current account balance (US\$bn)	3.1	0.6	3.2	0.7	3.8	2.6	2.6	1.8	4.5	3.7	7.6	10.8	11.8
Current account balance (% of GDP)	1.5	1.4	2.0	1.6	1.7	2.0	1.8	2.0	2.1	2.3	1.6	2.0	2.1
Fiscal Balance (% of GDP)											-3.7	-3.5	-3.3
Overnight policy rate (%)	3.00	3.00	2.75	2.75	2.75	2.75	2.75	3.00	3.00	3.00	2.75	3.00	3.00
Exchange rate (USD/MYR)	4.43	4.22	4.22	4.06	4.04	4.07	4.14	4.13	4.12	4.11	4.06	4.13	4.10

Note: Numbers in bold are actual values; others are forecasts, and inventories under the GDP components also includes statistical discrepancies. Interest rate and currency forecasts are end of period; other measures are period average. All forecasts are modal forecasts (i.e. the single most likely outcome). Table reflects data as of 9 July 2026. Source: CEIC, Nomura Global Economics.

Philippines: Peaking CPI inflation but not core

Helped by declining oil prices, headline inflation is easing while core inflation remains on the rise due to lagged pass-through effects. We still expect measured hikes by BSP.

Forecast changes: We revise down our headline CPI inflation forecast to 5.1% from 5.5% for 2026 and to 3.1% from 3.2% for 2027, and our 2026 current account deficit (CAD) forecast to 4.4% of GDP from 4.8%, all owing to our latest oil price assumption.

Activity: We maintain our 2026 GDP growth forecast of 4.6% y-o-y, which would mark only a marginal improvement from 4.4% in 2025, despite low base effects. We expect GDP growth to remain weak through H1 2026, due to the lingering effects of the corruption scandal, *continued fiscal tightening* and as weak sentiment is still weighing on private investment spending. The *impact of the Iran conflict* has added to these headwinds, although the fall in oil prices is a welcome relief. We continue to expect a pickup in GDP growth in H2 2026, reflecting low base effects but also the implementation of catch-up spending plans by the government (more below). Politics, however, will be a headwind, as the *impeachment trial* of VP Sara Duterte began in early July. A conviction would bar her from running for the 2028 presidential elections, but she remains popular, so the conflict with President Marcos Jr could escalate.

Inflation and monetary policy: We lowered our CPI inflation forecasts due to our latest oil price assumptions. In terms of the trajectory, we believe headline inflation has already peaked, but core inflation has not, reflecting *second-round effects*. In June, headline CPI inflation eased to 6.4% from 6.8%, driven by lower retail fuel prices, while core inflation continued to rise to 4.4% from 4.1%, due to continuing pass-through effects from energy prices. We still expect BSP to hike by an additional 50bp this year to 5.25%, but it will likely maintain a *measured approach*. On 18 June, BSP hiked its policy rate by 25bp for a second meeting in a row to 4.75% and maintained a decisively hawkish tone, supporting our forecast. We also continue to expect a very short hiking cycle that is likely to be reversed next year: we forecast 75bp of BSP *cuts* by H2 2027 to 4.50%.

Fiscal policy: We maintain our forecast for a narrowing of the fiscal deficit to 5.1% of GDP for 2026 from 5.6% in 2025, still well above the pre-Covid average of 2.4%. Non-interest government spending growth *started to improve*, but softened again in May to 1.4% y-o-y from 8.2% in April, although this remains consistent with our view of a more meaningful pickup by H2. Additional fiscal support measures have been relatively small so far, in the form of handouts to vulnerable sectors and funded by existing budget items. S&P moved its "positive" outlook back to "stable", *in line with our view*, but surprisingly, *Fitch* revised its outlook to "negative", citing the impact of the Iran war.

Risks: A sharper global growth slowdown, a re-escalation of geopolitical tensions, a more significant deterioration of the domestic political situation and weaker public sector spending pose downside risks to growth, while a sustained drop in oil prices is an upside risk.

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Fig. 24: Philippines: Details of the forecast

% y-o-y growth unless otherwise stated	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26	4Q26	1Q27	2Q27	2025	2026	2027
Real GDP (% q-o-q, sa)	1.2	0.9	0.4	0.6	0.9	1.8	1.9	1.8	1.4	1.0			
Real GDP	5.4	5.4	4.0	3.0	2.8	3.7	5.2	6.5	7.0	6.2	4.4	4.6	5.6
Private consumption	5.3	5.2	4.0	3.8	3.0	3.4	2.8	3.0	3.6	3.2	4.5	3.0	4.1
Government consumption	18.7	8.7	5.8	0.7	4.8	9.0	8.8	10.8	2.2	1.2	8.4	8.3	4.2
Gross fixed capital formation	6.5	3.1	0.7	-6.4	-2.7	2.0	10.7	13.8	13.3	0.8	0.8	5.8	8.0
Exports (goods & services)	7.1	4.9	7.8	13.3	7.8	10.7	8.8	2.9	4.5	5.0	8.2	7.5	6.8
Imports (goods & services)	10.3	3.6	3.2	3.2	6.1	13.3	6.7	2.9	-0.4	-6.1	5.0	7.3	4.0
Contribution to GDP growth (% points)													
Domestic final sales	8.0	5.8	3.9	1.5	2.4	4.4	5.7	6.3	5.8	2.6	4.7	4.8	5.4
Inventories	-0.4	-0.6	-0.6	-0.7	-0.1	1.3	-0.1	0.6	0.0	-0.3	-0.6	0.4	-0.1
Net trade (goods & services)	-2.0	-0.1	1.0	2.0	-0.2	-2.2	0.0	-0.2	1.6	3.9	0.3	-0.7	0.4
Unemployment rate (sa, %)	4.3	4.1	5.3	5.0	5.8	5.6	5.4	5.2	5.7	5.6	4.7	5.5	5.4
Consumer prices (2018=100)	2.2	1.4	1.4	1.7	2.8	6.8	5.4	5.5	4.6	1.9	1.7	5.1	3.1
Exports (BOP basis)	7.0	17.5	13.5	23.8	13.6	11.7	7.3	7.0	13.8	12.8	15.2	9.9	11.7
Imports (BOP basis)	9.2	5.5	4.2	1.3	9.0	7.8	6.9	4.8	3.0	1.5	5.0	7.1	3.1
Trade balance (US\$bn, BOP basis)	-16.4	-16.2	-18.0	-16.1	-17.1	-16.8	-19.1	-16.5	-15.7	-15.0	-66.7	-69.7	-65.8
Current account balance (US\$bn)	-4.2	-5.5	-4.1	-2.5	-5.7	-5.8	-7.3	-4.4	-5.2	-4.7	-16.3	-23.2	-21.7
Current account balance (% of GDP)	-4.4	-4.2	-3.9	-3.3	-3.5	-3.5	-4.1	-4.4	-4.3	-4.0	-3.3	-4.4	-3.9
Fiscal balance (% of GDP)											-5.6	-5.1	-5.0
Reverse repo rate (%)	5.75	5.25	5.00	4.50	4.25	4.75	5.00	5.25	5.25	5.25	4.50	5.25	4.50
Exchange rate (USD/PHP)	57.4	56.6	58.0	58.8	60.7	61.2	60.8	60.3	60.1	59.9	58.8	60.3	59.5

Note: Numbers in bold are actual values; others forecast. "Inventories" component contribution to GDP also includes statistical discrepancies. Interest rate and currency forecasts are end of period; other measures are period average. Quarterly current account balance (% of GDP) numbers are four-quarters rolling sum. All forecasts are modal forecasts (i.e., the single most likely outcome). Table reflects data available as of 9 July 2026.

Source: CEIC, Nomura Global Economics.

Singapore: Staying strong

GDP growth is likely to continue to hold up, boosted by electronics output. Core inflation is set to rise materially, due to lagged price adjustments and a more positive output gap.

Forecast change: We lower our 2026 and 2027 core inflation forecasts to 2.1% and 1.8%, respectively, from 2.2% and 1.9%, and our 2026 and 2027 headline CPI forecasts to 2.0% and 1.7%, respectively, from 2.4% and 1.8%.

Activity: We maintain our 2026 GDP growth forecast of 4.6% y-o-y, exceeding the official forecast range of 2-4% (Consensus: 3.4%), which would mean above-trend growth for a third straight year. Industrial output growth rose sharply to 14.8% y-o-y in April-May from 8.0% in Q1, driven by electronics output and precision engineering. The global tech upcycle and broadening AI-related demand will likely continue to boost these sectors, along with new capacity built, while a recovery in feedstock supply should support chemicals output. Construction activity is likely to be buoyed by a still-resilient property market and the implementation of several major projects. The expansionary stance of the FY26 budget, along with likely more fiscal support measures, should add to the resilience of domestic demand. Our *Labour Market Conditions Indicator* (LMCI) remained in the neutral zone in Q1, with the unemployment rate below pre-pandemic levels.

Inflation and monetary policy: The revision to our 2026 core inflation forecast reflects mainly our lower Brent crude oil price assumption. Our forecast still suggests a sharp increase from 0.7% in 2025 and pencils in a sustained uptrend. *Core inflation* remained stable at 1.4% y-o-y in May, but we expect the full effects from the energy price shock to materialize, including upward adjustments to airfare and holiday expenses amid elevated jet fuel costs, lagged adjustments to household utility costs and higher food prices. Electricity tariffs were raised by 17% to a record-high in Q3. Importantly, we think second-round effects will be large, with the output gap becoming more positive. We believe the MAS is still highly vigilant of inflation risks, with its latest assessment suggesting that risks to the inflation outlook are tilted to the upside. Our FX strategy team expects the MAS to *leave its FX policy unchanged* in July but acknowledges that this is a close call.

Fiscal policy: We expect additional fiscal measures worth 0.5% of GDP to be implemented, likely in Q3, and thus forecast an overall fiscal surplus of 0.5% of GDP in FY26 (year starting April 2026), compared to the *budgeted* surplus of 1.0%. The government already rolled out a SGD1.0bn (0.1% of GDP) support package in April and frontloaded some FY26 budget measures. In May, PM Wong reiterated the government's commitment to "do more to help", if needed, supporting our view.

Risks: Sharply weaker global growth, a re-escalation of the Middle East conflict and a downturn in the tech cycle are all downside risks to growth. Upside risks include sustained relative safe-haven inflows and continued loose financial conditions.

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Fig. 25: Singapore: Details of the forecast

% y-o-y growth unless otherwise stated	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26	4Q26	1Q27	2Q27	2025	2026	2027
Real GDP (sa, % q-o-q)	0.6	1.8	1.9	1.3	1.0	0.8	0.8	1.0	0.8	0.4			
Real GDP	4.5	5.4	4.5	5.7	6.0	5.1	3.9	3.6	3.5	3.1	5.0	4.6	3.0
Private consumption	3.9	3.7	3.4	4.5	3.5	2.9	3.0	2.7	4.1	3.9	3.9	3.0	3.8
Government consumption	-7.0	6.1	5.4	5.1	-0.5	-0.5	0.4	1.6	10.0	5.4	1.7	0.3	7.4
Gross fixed capital formation	8.8	4.5	4.1	7.4	9.5	9.4	9.0	6.6	5.6	5.6	6.1	8.6	6.1
Exports (goods & services)	7.2	12.3	11.5	12.0	14.5	12.0	13.1	11.0	7.7	4.5	10.8	12.6	6.3
Imports (goods & services)	8.2	12.6	13.8	12.8	15.3	13.2	14.0	12.0	8.9	5.7	11.9	13.6	7.7
Contributions to GDP (% points)													
Domestic final sales	2.1	2.6	2.4	3.4	3.1	2.9	3.0	2.5	3.7	2.9	3.0	3.1	3.5
Inventories	1.4	-1.3	0.8	-1.0	-0.6	-0.6	-2.3	-1.3	-1.1	0.2	0.6	-0.4	0.1
Net trade (goods & services)	1.0	4.1	1.3	3.3	3.5	2.7	3.3	2.5	0.9	-0.1	1.4	1.9	-0.7
Unemployment rate (sa, %)	2.0	2.0	2.0	2.0	2.0	2.1	2.2	2.2	2.2	2.2	2.0	2.1	2.1
Headline CPI inflation	1.0	0.8	0.6	1.2	1.5	1.8	2.3	2.5	2.4	1.9	0.9	2.0	1.7
MAS core inflation	0.6	0.6	0.4	1.2	1.4	1.6	2.8	2.4	2.3	2.1	0.7	2.1	1.8
Exports (BOP basis)	2.9	9.4	8.9	12.3	30.4	17.8	14.0	11.9	6.3	7.6	8.5	18.0	8.2
Imports (BOP basis)	3.6	10.2	14.7	14.5	32.0	21.2	14.8	15.6	6.3	9.4	10.8	20.5	9.5
Trade balance (US\$bn, BOP basis)	36.3	46.2	44.2	49.8	45.6	50.5	49.4	51.0	48.5	51.9	176.5	196.5	204.6
Current account balance (% of GDP)	16.9	16.9	16.0	16.7	17.5	18.0	18.3	16.9	17.8	16.8	16.7	16.9	16.8
Fiscal Balance (% of GDP)											1.9	0.5	-0.5
SORA 3m compounded average (%)	2.55	2.05	1.45	1.19	1.07	1.08	1.25	1.25	1.25	1.25	1.19	1.25	1.25
Exchange rate (USD/SGD)	1.34	1.28	1.29	1.28	1.29	1.29	1.28	1.26	1.25	1.24	1.28	1.26	1.23

Note: Numbers in bold are actual values; others forecast. The contribution to GDP from the "inventories" also includes statistical discrepancies. Interest rate and currency forecasts are end of period; other measures are period average. All forecasts are modal forecasts (i.e. the single most likely outcome). MAS core inflation excludes accommodation and private road transport costs. Our current account balance forecast as a % of GDP is based on a four-quarter rolling sum basis. Table reflects data available as of 9 July 2026.

Source: CEIC, Nomura Global Economics.

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Taiwan: Rate hikes are still on the cards

With GDP growth significantly above trend and inflation above 2% in H2, we maintain our forecast of two 12.5bp rate hikes (December 2026 and March 2027; terminal rate: 2.25%).

Forecast changes: We revised up our 2026 and 2027 GDP growth forecasts to 11.6% and 7.0%, respectively, from 9.9% and 4.5%.

Activity: The economy remains on solid footing, with **strong export growth** of 40.3% y-o-y in June, driven by high-tech shipments (e.g., chips and servers) amid the sustained AI investment boom. Industrial production growth **eased slightly in May**, but picked up in sequential terms, signalling still-robust tech-led underlying momentum. In particular, investment goods production growth remained in double-digit territory in year-on-year terms, suggesting solid domestic investment. Meanwhile, a pickup in growth momentum of retail sales and F&B services consumption in May supports our view of a recovery in domestic consumption, reflecting stock market-related wealth effects and positive real wage growth. With Nomura-TWnow tracking Q2 GDP growth at 10.9% y-o-y, coupled with stronger domestic demand, we raise our 2026 GDP growth forecast to 11.6% from 9.9%. We also revise up our 2027 GDP growth forecast to 7.0% from 4.5%. The upward revisions to our growth forecasts are premised on 1) mass production of AI chips following the roll-out of NVIDIA's new GPU (Vera Rubin) in H2; 2) stronger capex to meet global AI demand; and 3) a recovery in consumption amid the AI upcycle.

Inflation: Headline CPI inflation **rose sharply** to 2.6% y-o-y in June from 2.2% in May, while core inflation jumped to 2.5% from 2.1%. By category, services inflation accelerated to 2.9% from 2.5%, owing to calendar effects associated with the Dragon Boat festival, higher airfares and sticky dining-out inflation. Meanwhile, goods inflation pushed above 2% for the first time in 13 months, rising to 2.3% in June from 1.8% in May, due to higher agricultural prices caused by torrential rains and elevated war-driven fuel price inflation. On our estimates, headline and core CPI inflation readings are likely to remain elevated in H2 2026 (above 2% on average), due to a mix of both supply-side and demand-driven pressures.

Policy: The CBC **left its policy rate unchanged** at 2.00% at its 18 June meeting, in line with consensus and our expectation. However, the on-hold decision was not unanimous with two members (out of 15) voting for a hike. The RRR and selective credit controls were also left intact. The CBC has revised up its 2026 GDP growth and inflation forecasts to 9.45% (from 7.28%), and 1.9% (from 1.8%), respectively. We maintain our view for two 12.5bp rate hikes (December 2026 and March 2027; terminal rate: 2.25%), underpinned by our view of a broad-based growth recovery, as well as rising and broadening inflationary pressures that could eventually push up inflation expectations and lead to the risk of second-round effects. That said, we highlight the risk of fewer rate hikes than in our base case, as the post-policy press conference was noticeably more dovish than the accompanying economic assessment.

Risks: Renewed geopolitical tensions between the US and Iran pose downside risks to growth and upside risks to inflation.

Fig. 26: Taiwan: Details of the forecast

% y-o-y growth unless otherwise stated	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26	4Q26	1Q27	2Q27	2025	2026	2027
Real GDP (sa, % q-o-q)	0.9	3.8	1.6	6.5	1.7	0.7	1.3	6.4	-1.0	0.1			
Real GDP	5.5	7.7	8.4	13.0	14.5	10.9	10.5	10.4	7.5	6.9	8.8	11.6	7.0
Private consumption	1.4	0.2	0.7	3.1	4.7	5.8	4.5	3.0	2.5	2.3	1.4	4.5	2.4
Government	0.7	3.2	0.3	0.8	4.1	3.0	5.3	7.2	5.1	2.6	1.2	5.0	3.0
Gross capital formation	16.7	4.8	1.4	-2.1	5.9	20.9	20.5	21.0	3.8	2.9	4.7	17.1	4.0
Exports	20.7	36.3	30.6	40.0	35.8	20.4	22.2	22.5	19.0	17.0	32.1	24.7	18.9
Imports	25.3	33.0	24.2	25.9	26.3	21.4	23.9	24.4	16.3	14.0	27.1	23.9	17.4
Contributions to GDP growth (pp)													
Domestic demand	5.0	1.9	0.8	0.9	4.2	8.4	7.2	6.8	2.1	2.1	2.1	6.7	2.3
Net trade (goods & services)	0.6	5.9	7.7	12.0	10.3	2.5	3.3	3.6	5.4	4.7	6.5	4.9	4.7
Unemployment rate (sa, %)	3.4	3.3	3.3	3.4	3.3	3.4	3.4	3.3	3.4	3.3	3.3	3.3	3.3
Consumer prices	2.2	1.6	1.5	1.3	1.2	2.2	2.3	2.3	1.9	1.7	1.7	2.0	1.7
Current account balance (USDbn)	29.7	36.4	45.3	68.4	62.5	37.1	44.6	63.9	64.1	50.4	179.8	208.2	250.5
Current account balance (% of GDP)	14.6	16.3	19.3	26.5	24.9	15.2	17.4	21.7	22.7	18.4	19.2	19.8	21.3
Fiscal balance (% of GDP)											-0.9	-1.3	-0.8
CBC discount rate (%)	2.000	2.000	2.000	2.000	2.000	2.000	2.000	2.125	2.250	2.250	2.000	2.125	2.250
10-year government bond	1.64	1.44	1.37	1.35	1.50	1.78	1.75	1.70	1.70	1.70	1.35	1.70	1.70
Exchange rate (USD/TWD)	33.2	29.6	30.5	31.4	32.0	31.8	31.3	30.8	30.6	30.4	31.4	30.8	30.0

Note: Numbers in bold are actual values; others are forecasts. The contribution to GDP from the "inventories" component also includes statistical discrepancies. Interest rate and currency forecasts are end of period; other measures are period average. Table reflects data as of 9 July 2026.

Source: CEIC, Bloomberg and Nomura Global Economics.

Thailand: Watch the twin deficits

The fiscal deficit is at its statutory maximum but with a limited growth impulse. We expect the current account to slip into deficit and the BOT to remain on hold.

Forecast changes: We cut our 2026 and 2027 current account balance forecasts to -0.8% of GDP and 1.2%, respectively, from 1.4% and 1.9%.

Activity: We maintain our forecast for GDP growth to slow to 1.8% y-o-y in 2026 from 2.4% in 2025, despite **announced fiscal measures** to support the economy. We estimate the cash-handout program (Thai Help Thai Plus) will generate a low multiplier effect, with the economic boost likely proving temporary. Activity data in May remained subdued, with negative manufacturing production growth (-0.8% y-o-y). Export growth looks strong but is concentrated in electronics, which has low domestic value-added content. Private consumption rose by 2.7% y-o-y, driven by EV sales, as consumers shifted from ICE vehicles amid high oil prices.

Inflation and monetary policy: The Bank of Thailand unanimously left its policy rate unchanged at 1.0% in June. The key messages from the BOT were in line with our expectations (i.e., that the central bank would continue to look through supply-side inflation pressure, which it views as temporary). While BOT revised up its 2026 GDP growth forecast to 2.3%, the pick-up appears temporary, as it also cut its 2027 forecast to 1.8% from 2.0%. The BOT also expressed little concern over THB weakness. We assess the BOT's guidance as neutral and **reiterate our forecast** for BOT's policy rate to remain at 1.0% in 2026. **CPI inflation** moderated to 2.42% in June, alongside a decline in retail energy prices. Lower global crude oil prices under our new assumption should imply moderating inflation pressures in H2 2026. We reiterate our forecast for headline inflation to remain low at 1.5% y-o-y for 2026, well within BOT's 1-3% target range.

Fiscal policy: We maintain our fiscal deficit forecasts of 5.8% of GDP in 2026 and 4.7% in 2027, well above the MTFF targets of 4.3% and 3.6%, respectively. The fiscal deficit is tracking at the **statutory maximum**, and the government is drawing on the THB400bn (2.1% of GDP) emergency borrowing decree to help mitigate the impact of the Iran war. Market participants may have become less concerned about credit rating pressures after **Moody's restored its rating outlook** to "stable" in April. We believe public debt-to-GDP could exceed the 70% ceiling in 2027 at the current trajectory. We therefore expect Fitch to lower Thailand's credit rating by one-notch to BBB from BBB+ later in 2026.

Risks: A re-escalation of geopolitical uncertainty that keeps energy prices elevated poses downside risks to growth, while prolonged political stability that leads to reform implementation and FDI inflows is an upside risk.

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Fig. 27: Thailand: Details of the forecast

% y-o-y growth unless otherwise stated	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26	4Q26	1Q27	2Q27	2025	2026	2027
Real GDP (sa, % q-o-q)	0.5	0.5	-0.3	1.9	0.7	-0.3	0.0	0.2	1.0	0.8			
Real GDP	3.1	2.8	1.2	2.5	2.8	1.9	2.2	0.5	0.7	2.0	2.4	1.8	2.0
Private consumption	2.4	2.5	2.5	3.3	3.2	1.8	1.4	1.0	1.1	1.5	2.7	1.8	1.4
Government consumption	3.4	2.4	-3.9	1.3	3.4	2.5	3.4	-1.2	2.5	2.2	0.6	2.0	2.2
Gross fixed capital formation	4.6	5.8	1.4	8.1	9.9	1.4	0.1	1.8	0.8	0.2	4.9	3.3	0.5
Exports (goods & services)	12.2	11.7	7.6	5.9	12.6	11.7	10.5	9.5	6.3	3.3	9.3	11.1	5.0
Imports (goods & services)	1.6	10.1	5.9	9.5	21.1	11.2	9.1	6.8	4.6	3.8	6.8	11.9	3.9
Contributions to GDP (% points)													
Domestic final sales	2.9	3.1	1.1	3.9	4.6	1.8	1.5	0.8	1.2	1.4	2.8	2.2	1.3
Inventories	-7.0	-1.7	-1.3	0.7	2.6	-0.6	-0.6	-2.2	-1.8	0.9	-2.5	-1.1	-0.6
Net trade (goods & services)	7.3	1.4	1.4	-2.0	-4.3	0.7	1.3	1.9	1.3	-0.3	2.2	0.7	1.3
Unemployment rate (% nsa)	0.9	0.9	0.7	0.7	0.9	1.0	1.0	1.0	1.0	1.0	0.8	1.0	1.0
Headline CPI inflation	1.1	-0.3	-0.7	-0.5	-0.5	2.7	1.9	1.8	1.8	-0.3	-0.1	1.5	0.8
Core CPI inflation	0.9	1.0	0.8	0.6	0.6	1.0	0.8	0.5	0.7	0.3	0.8	0.7	0.6
Exports (BOP basis)	15.4	14.9	11.5	9.4	17.8	17.3	17.7	21.5	11.1	15.2	12.7	18.6	16.6
Imports (BOP basis)	6.2	15.8	12.2	17.5	33.1	36.6	21.8	16.7	4.7	1.9	13.0	26.8	12.6
Trade balance (US\$bn, BOP basis)	9.0	5.9	7.0	1.4	-0.3	-8.2	4.9	5.7	5.8	4.9	23.3	2.1	18.3
Current account balance (US\$bn)	12.1	1.5	2.7	-0.4	3.2	-13.8	1.1	4.3	6.9	-1.9	15.9	-5.2	7.9
Current account balance (% of GDP)	3.5	3.8	3.8	2.8	1.2	-1.4	-1.7	-0.9	-0.3	1.7	2.8	-0.9	1.2
Fiscal balance (% of GDP, fiscal year)											-4.5	-5.8	-4.7
Overnight repo rate (%)	2.00	1.75	1.50	1.25	1.00	1.00	1.00	1.00	1.00	1.00	1.25	1.00	1.00
10-year government bond yield	1.99	1.60	1.42	1.66	2.21	2.06	2.00	1.90	1.80	1.80	1.66	1.90	1.80
Exchange rate (USD/THB)	33.9	32.5	32.3	31.5	32.9	33.2	32.9	32.3	32.1	31.8	31.5	32.3	31.3

Note: Numbers in bold are actual values; others forecast. The contribution to GDP from the "inventories" component also includes statistical discrepancies. Fiscal balance refers to overall cash balance plus the disbursement of off-budget borrowing decrees. Interest rate and currency forecasts are end of period; other measures period average. All forecasts are modal forecasts (i.e., the single most likely outcome). Our current account balance forecast as a % of GDP is based on a four-quarter rolling sum basis. Table reflects data available as of 9 July 2026.

Source: CEIC, Nomura Global Economics.

Monthly calendar

Fig. 28: Monthly calendar

Sometime in the month			Units	Period	Prev 2	Prev 1	Last	Nomura
	China	New Yuan loans	RMB bn	Jun	2995	-12	519	1647
	China	Aggregate financing	RMB bn	Jun	5224	624	2026	3477
	China	Money supply, M2	% y-o-y	Jun	8.5	8.6	8.6	8.4
	Thailand	Custom trade balance	USD bn	Jun	-3.3	-10.0	-5.7	-2.4
Monday 13 July								
18:30	India	CPI	% y-o-y	Jun	3.4	3.5	3.9	4.2
Tuesday 14 July								
	China	Trade balance	USD bn	Jun	50.2	84.7	105.4	111.0
	China	Exports	% y-o-y	Jun	2.5	14.0	19.4	16.2
	China	Imports	% y-o-y	Jun	28.3	25.2	27.4	26.2
8:00	Singapore	Advance Real GDP estimates	% q-o-q, sa	2Q	1.9	1.3	1.0	0.8
8:00	Singapore	Advance Real GDP estimates	% y-o-y	2Q	4.5	5.7	6.0	5.1
14:30	India	WPI	% y-o-y	Jun	4.0	8.3	9.7	8.9
Wednesday 15 July								
	Philippines	Remittance from abroad	% y-o-y	May	2.6	2.3	2.0	1.7
10:00	China	Real GDP	% y-o-y	2Q	4.8	4.5	5.0	4.1
10:00	China	Retail sales	% y-o-y	Jun	1.7	0.2	-0.6	1.0
10:00	China	Industrial production	% y-o-y	Jun	5.7	4.1	4.5	4.5
10:00	China	Urban fixed-asset investment (ytd)	% y-o-y	Jun	1.7	-1.6	-4.1	-5.3
Thursday 16 July								
	S. Korea	BOK policy meeting	%	Jul	2.50	2.50	2.50	2.75
Friday 17 July								
8:30	Singapore	NODX	% y-o-y	Jun	15.2	24.4	38.4	32.6
12:00	Malaysia	CPI	% y-o-y	Jun	1.7	1.9	2.0	2.0
12:00	Malaysia	Advance Real GDP estimates	% y-o-y	2Q	5.3	6.2	5.4	5.9
Tuesday 21 July								
6:45	New Zealand	CPI	% y-o-y	2Q	3.0	3.1	3.1	4.0
16:30	Hong Kong	CPI	% y-o-y	Jun	1.7	1.7	2.0	2.1
Wednesday 22 July								
15:20	Indonesia	BI rate	%	Jul	5.25	5.50	5.75	6.00
Thursday 23 July								
	Philippines	Fiscal balance	PHP bn	Jun	-349.7	31.4	-198.5	-165.1
7:00	S. Korea	Advance Real GDP estimates	% q-o-q, sa	2Q	1.4	-0.1	1.8	-0.2
7:00	S. Korea	Advance Real GDP estimates	% y-o-y	2Q	2.1	2.0	3.8	2.9
13:00	Singapore	CPI	% y-o-y	Jun	1.8	1.8	1.8	2.2
16:00	Taiwan	Industrial production	% y-o-y	Jun	26.1	14.9	11.8	17.6
Monday 27 July								
13:00	Singapore	Industrial production	% y-o-y	Jun	7.8	16.5	13.0	8.8
Tuesday 28 July								
18:30	India	Industrial production	% y-o-y	Jun	3.0	4.9	5.1	5.8
Wednesday 29 July								
9:30	Australia	CPI	% y-o-y	Jun	4.6	4.2	4.0	4.0
Friday 31 July								
7:00	S. Korea	Industrial production	% y-o-y	Jun	3.8	1.5	-0.9	0.6
9:30	China	Official manufacturing PMI	Index	Jul	50.3	50.0	50.3	50.0
16:00	Taiwan	Advance Real GDP estimates	% y-o-y	2Q	8.4	13.0	14.5	10.9
16:30	Hong Kong	Advance Real GDP estimates	% y-o-y	2Q	3.8	4.0	5.9	5.2
Saturday 1 August								
8:00	S. Korea	Exports	% y-o-y	Jul	47.9	53.4	70.9	62.0
Monday 3 August								
12:00	Indonesia	CPI	% y-o-y	Jul	2.4	3.1	3.3	3.0
12:00	Indonesia	Trade balance	USD bn	Jun	3.3	0.1	-1.6	0.5
Tuesday 4 August								
7:00	S. Korea	CPI	% y-o-y	Jul	2.6	3.1	3.2	3.1
Wednesday 5 August								
9:00	Philippines	CPI	% y-o-y	Jul	7.2	6.7	6.4	5.4
11:30	Thailand	CPI	% y-o-y	Jul	2.9	2.8	2.4	1.6
12:00	Indonesia	Real GDP	% y-o-y	2Q	5.0	5.4	5.6	5.0
12:30	India	RBI policy meeting, repo rate	%	Aug	5.25	5.25	5.25	5.25
Thursday 6 August								
16:00	Taiwan	CPI	% y-o-y	Jul	1.7	2.2	2.6	2.3
Friday 7 August								
10:00	Philippines	Real GDP	% y-o-y	2Q	4.0	3.0	2.8	3.7
Sunday 9 August								
9:30	China	CPI	% y-o-y	Jun	1.2	1.2	1.0	0.8
9:30	China	PPI	% y-o-y	Jun	2.8	3.9	4.1	4.1
Tuesday 11 August								
12:30	Australia	RBA policy meeting	%	Aug	4.10	4.35	4.35	4.35

Note: Hong Kong times.

Source: Bloomberg and Nomura.

Asia views

Asia: Is the export upcycle broadening beyond tech?

AI-related investment spillovers, commodity price effects and a boost to EV exports due to the push for energy security are driving non-tech export growth.

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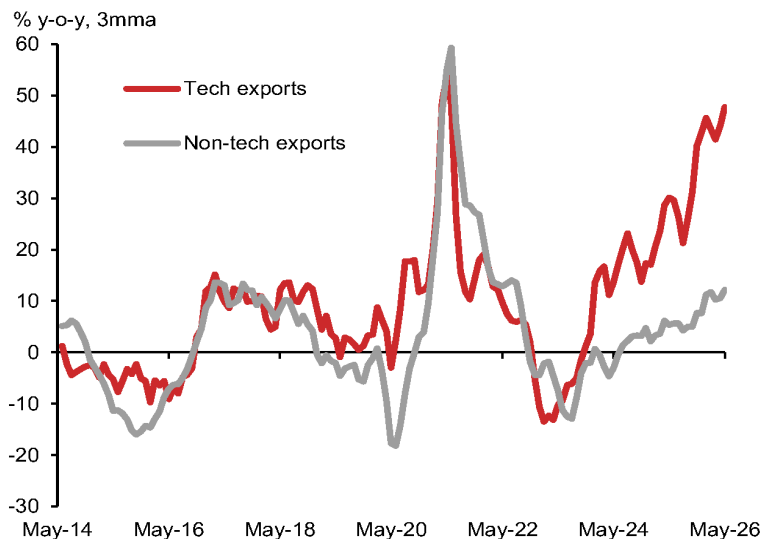
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- **Non-tech exports finally pick up:** After lagging the broader export recovery through much of 2025, non-tech export growth has accelerated into double-digit territory since early 2026. By country, this is most apparent in the open economies, namely Malaysia, Singapore, South Korea, Taiwan and Thailand.
- **Three drivers of non-tech export growth:** 1) Capital goods – like electrical machinery and precision instruments – have led the recovery, reflecting spillovers from the AI-driven capex cycle; 2) Several traditional products such as chemicals, mineral products & fuel, plastics & rubber, and precious metals have improved due to price effects; and 3) the push towards energy security have boosted EV exports, particularly from China.
- **Outlook on non-tech exports:** We expect a durable recovery in capital goods exports (machinery), but export growth in the commodity-related sectors is likely to moderate as war-driven price effects unwind, since underlying demand is still subdued. The recovery in auto exports also remains heavily concentrated in China. Overall, the outlook for non-tech export growth appears mixed.

Non-tech exports finally stage a recovery

After lagging the broader export recovery through much of 2025, non-tech exports have gathered momentum in recent months (Figure 29). Non-tech export growth has accelerated into double-digit territory since early 2026, reaching 10.9% y-o-y in May from -2.2% in October 2025. This suggests the export upcycle is broadening and is no longer confined to semiconductors and AI servers.

Fig. 29: AeJ tech versus non-tech exports

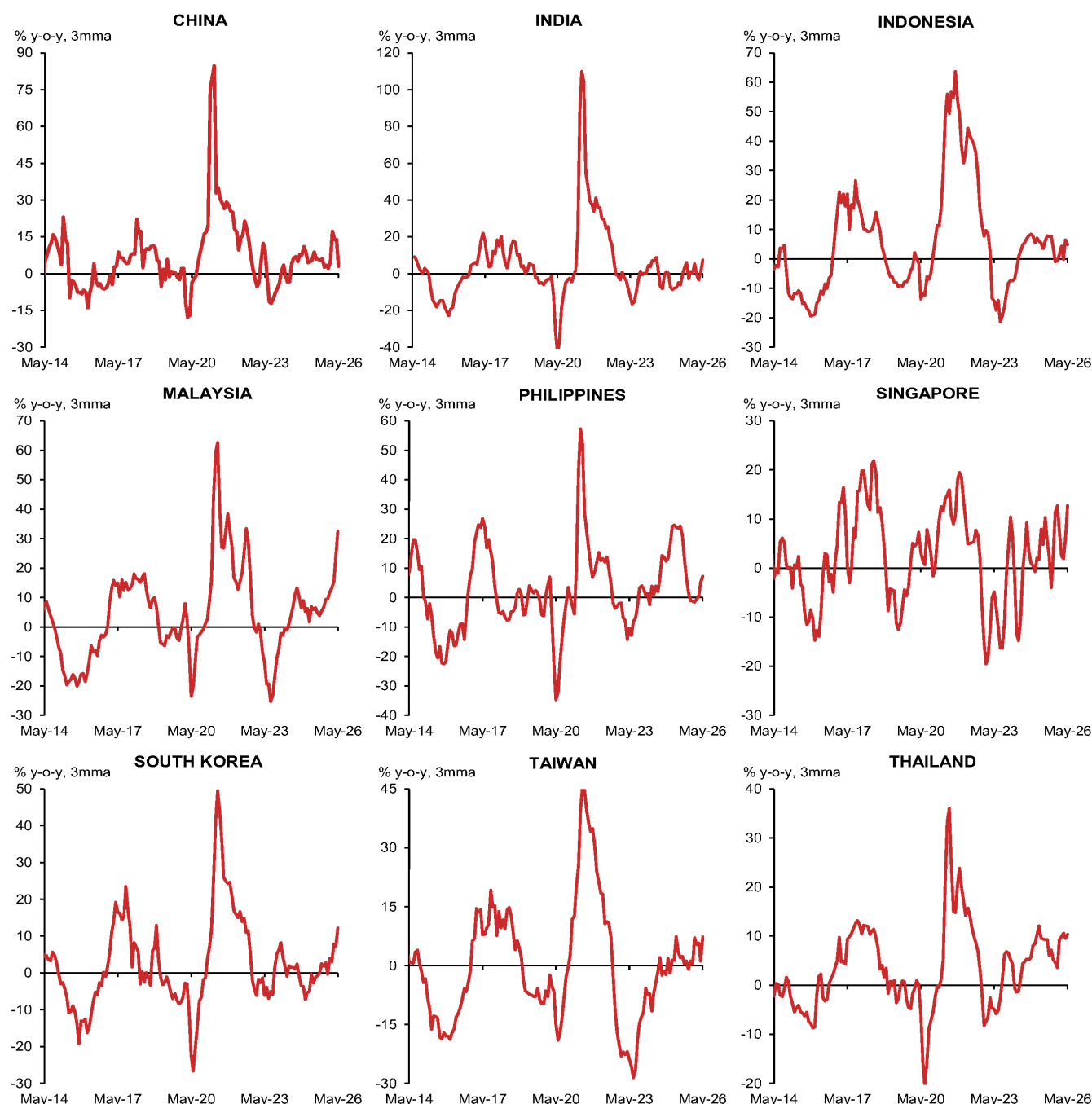


Source: CEIC and Nomura Global Economics.

Non-tech export growth: By country

By country, the recovery in non-tech export growth is most visible in the open economies, namely Malaysia, Singapore, South Korea, Taiwan and Thailand (Figure 30).

Fig. 30: Picture book: Non-tech export growth across Asia



Source: CEIC and Nomura Global Economics.

Non-tech export growth: By product

We find that the strongest improvement is visible in capital goods, particularly electrical machinery and optical & precision instruments (Figures 31 and 32). In addition, export growth has also improved across several traditional product segments, including chemicals, mineral & fuel products, plastics & rubber, precious metals & jewellery, and autos.

Fig. 31: Asia ex-Japan non-tech export growth, by product category (% y-o-y)

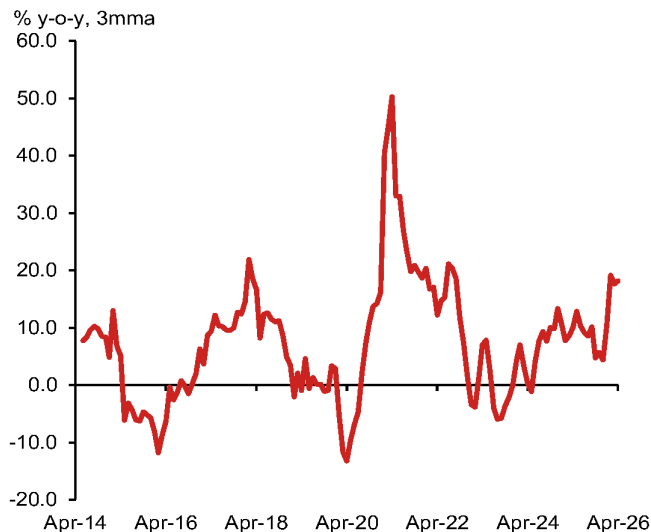
	Asia ex-Japan non-tech export growth, by product category (% y-o-y)									
	2024				2025				2026	
	Q1	Q2	Q3	Q4	Q1	Q2	Q3	Q4	Q1	Apr
Food, beverages and tobacco	-2.5	4.2	4.4	14.6	10.5	8.2	8.0	0.9	1.7	10.0
Mineral products, fuel and fertilizers	-6.9	8.9	-10.5	-19.7	-19.0	-16.7	-2.2	-1.9	0.6	33.6
Chemicals	-7.3	0.1	2.7	4.7	0.2	0.0	3.6	5.4	8.8	26.1
Pharmaceuticals	2.9	5.2	5.7	0.0	7.0	11.4	12.6	15.0	4.1	1.4
Plastics & rubber	4.2	7.3	6.2	10.3	2.1	1.0	0.3	-5.7	3.1	15.0
Hides, leather, wood, ceramic and glass	1.6	-3.4	-5.8	-0.7	-7.6	-0.4	-1.5	-8.0	7.4	-9.9
Textiles, apparel, footwear and headgear	3.7	0.1	-0.9	8.4	-1.9	0.3	-2.6	-8.1	5.1	-0.5
Precious metals & jewelry	1.3	5.3	13.5	11.3	48.8	20.1	29.4	22.4	23.1	26.7
Base metals and related products	-1.4	2.4	4.6	12.3	1.0	4.1	6.1	4.0	10.8	6.7
Machinery	3.3	4.2	7.7	13.4	8.6	10.3	10.1	4.4	17.6	14.0
Autos	4.9	7.1	6.3	4.5	3.1	7.1	11.4	16.7	21.0	17.0
Ships	37.0	37.1	65.4	22.6	4.6	25.8	30.6	32.5	47.1	-2.0
Trains and aircraft	52.7	29.7	54.6	64.4	11.3	-5.4	-13.0	-31.2	-3.4	-3.7
Optical and precision instruments	-1.6	-2.2	7.4	9.8	7.0	9.1	7.8	5.6	12.3	19.5
Others	6.0	1.0	-2.8	5.3	-0.6	3.6	-3.9	-10.4	7.2	-1.3

Source: CEIC and Nomura Global Economics.

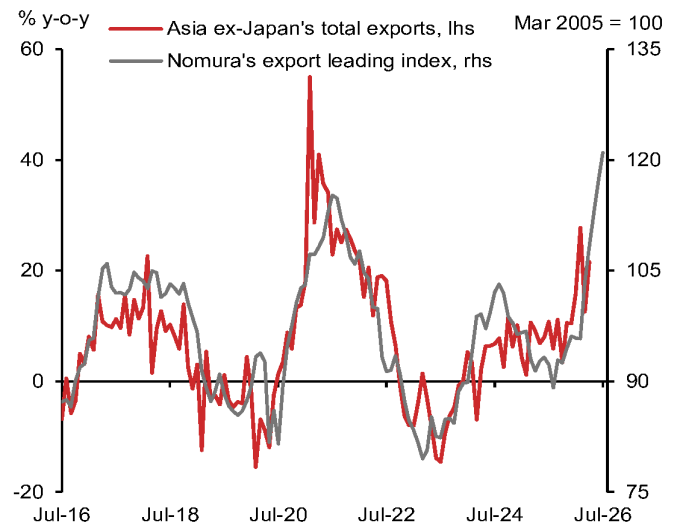
What is driving non-tech export growth?

We see three key drivers behind the recovery in non-tech exports:

1. **AI-related investment spillovers:** We believe the recovery in machinery exports is driven by spillover effects from the ongoing AI-related capex upcycle. Investment in AI infrastructure, data centres, electrification and industrial automation has generated demand well beyond semiconductor manufacturing. Building AI infrastructure requires substantial investment in electrical equipment, precision instruments, industrial machinery and more. As a result, beneficiaries of the current capex cycle are no longer limited to chip producers. Unsurprisingly, the improvement in capital goods exports, in particular electrical machinery and optical & precision instruments, has been most evident in Malaysia, Taiwan, Singapore and China, reflecting their dominant positions in precision engineering and their ability to capitalize on spillover effects from AI demand.
2. **Commodity price effects:** Supply disruptions caused by the US-Iran war had led to higher energy and petrochemical prices, lifting the export values of mineral products & fuel (across Asia), chemicals (China, Malaysia, Singapore, South Korea and Thailand), and plastics & rubber (China, Malaysia, Thailand, South Korea and Taiwan), while heightened geopolitical uncertainty has boosted precious metal prices. These gains have been driven primarily by favourable price effects rather than a sustained improvement in underlying demand.
3. **Energy security boosts EV exports:** The Iran-US war has refocused the policy push towards energy security and greater EV penetration. The benefit of this primarily accrues to China's expanding vehicle exports. Chinese manufacturers continue to gain global market share through strong competitiveness in EVs, aggressive pricing and a continued expansion into overseas markets. In May, *China's* auto export growth (including chassis) remained elevated at 39.3% y-o-y. *Korea's* aggregate auto exports stayed tepid in June, due to weaker internal combustion engine exports, but its hybrid (38.6% y-o-y) and EV (18.1%) exports are strong. Auto exports from other Asian economies remain subdued amid increasing competitive pressure from Chinese producers.

Fig. 32: Asia ex-Japan machinery exports (% y-o-y, 3mma)

Source: CEIC and Nomura Global Economics.

Fig. 33: Nomura's leading index of Asian exports

Note: Nomura's export leading index can be found on Bloomberg (see ticker: NMEIXLI). Asia ex-Japan's aggregate (nominal) exports include those of China, Hong Kong, India, Indonesia, South Korea, Malaysia, the Philippines, Singapore, Taiwan and Thailand. China's exports to Hong Kong are excluded due to outsized swings on some occasions that seem unrelated to trade activity. Nomura's export leading index is a weighted (inverse of mean-squared errors) sum of the following Z-score standardized variables: Shanghai Shipping Exchange Containerized Freight Index, China's imports, China's imports from Asia, global semiconductor sales, US manufacturing ISM, S&P EM manufacturing PMI, China RatingDog (formerly Caixin) manufacturing PMI, South Korea's semiconductor exports and Philadelphia Semiconductor index. (For more details on its construction, see [Re-calibrating our Asia export leading index](#), 16 August 2022). Source: IHS Markit, CEIC, Bloomberg and Nomura Global Economics.

Will the recovery in non-tech exports sustain?

We believe the outlook for non-tech export growth is mixed.

The positives

Our Nomura Export Leading Index (NELI) continues to *signal* that Asia's export upcycle should extend into Q3 (Figure 33). Importantly, the recent improvement in the index has become increasingly broad-based, supported not only by tech-related indicators but also by improving manufacturing sentiment and firmer demand from China. This suggests that the recovery is gradually spreading across the wider manufacturing complex.

We remain most positive on capital goods, particularly electrical machinery and precision instruments, where the ongoing AI-driven capex upcycle should continue to generate spillover demand, providing a more durable source of export growth.

Inventory dynamics reinforce this view. Within non-tech manufacturing, electrical equipment has experienced the most notable improvement. Its I-S ratio has fallen to 1.05 in April from an average of 1.14 in 2025, as shipments strengthened while inventories were steadily reduced (Figure 34). Interestingly, production growth in electrical equipment has turned negative (Figure 35), despite stronger exports, which suggests firms are currently fulfilling demand through inventory drawdowns rather than increased production. If export demand remains firm, inventories will eventually become sufficiently lean to necessitate a recovery in production. Basic metals present a similarly constructive picture, with its I-S ratio easing to 1.11 from 1.19, driven by a combination of firmer shipments and declining inventories, pointing to a gradual recovery in industrial activity.

The negatives

By contrast, the drivers are less supportive for chemicals and autos. In the chemicals sector, inventories have fallen primarily because producers have curtailed output rather than a material strengthening of shipments, which suggests underlying demand remains relatively subdued. Combined with our view that recent export gains have been supported by higher energy and commodity prices owing to the US-Iran war, the recent pickup in chemicals exports appears less likely to prove durable.

Similarly, although regional auto exports have improved, the recovery remains highly concentrated in China. Elsewhere in Asia, inventory-to-shipment ratios for autos continue to rise as inventories accumulate against sluggish shipments, consistent with softer

external demand and growing competitive pressure from Chinese automakers. Unless demand strengthens more broadly or competitive pressures ease, the regional auto export recovery is likely to remain uneven.

Finally, export growth in other sectors that have benefited from temporary geopolitical price effects – including mineral & fuel products, plastics & rubber, and precious metals – are likely to moderate as these price effects unwind, since underlying demand is still soft.

Overall, non-tech export growth has picked up, but its drivers and the country-level dynamics reveal an uneven recovery.

Fig. 34: Inventory-to-shipment ratios (sa), by country and sector

	2011-2019 average	2024 average	2025 average	Latest
Average	0.93	1.11	1.06	1.02
Semiconductor	1.32	0.97	0.80	0.78
Chemicals	0.89	1.08	1.10	1.07
Basic metals	0.90	1.14	1.19	1.11
Autos	0.81	1.24	1.29	1.44
Electrical equipment	0.88	1.14	1.14	1.05
Japan	0.89	1.03	1.01	0.95
Semiconductor	1.51	0.68	0.62	0.52
Chemicals	0.80	0.95	0.95	0.91
Basic metals	0.85	1.02	1.01	1.01
Autos	0.96	1.21	1.08	1.31
Electrical equipment	0.87	1.16	1.16	0.97
South Korea	0.88	1.05	0.97	0.98
Semiconductor	1.55	0.93	0.58	0.53
Chemicals	0.92	1.09	1.11	1.09
Basic metals	0.80	0.98	1.01	0.98
Autos	0.60	0.97	1.05	1.13
Electrical equipment	0.85	0.95	0.83	0.78
Taiwan	1.00	1.25	1.19	1.12
Semiconductor	0.90	1.29	1.18	1.28
Chemicals	0.96	1.20	1.23	1.23
Basic metals	1.06	1.43	1.55	1.36
Autos	0.87	1.55	1.74	1.88
Electrical equipment	0.92	1.31	1.43	1.42

Note: Latest refers to April 2026.

Source: CEIC and Nomura Global Economics.

Fig. 35: Industrial production, by country and sector

	2023	2024	2025	2026 ytd	Latest
	% y-o-y				
Average	-4.0	3.6	6.4	8.5	6.4
Electronics	-4.8	11.6	11.7	14.4	11.8
Chemicals	-6.8	0.6	-0.8	-0.6	-3.7
Basic metals	-3.6	-1.9	-3.3	1.0	3.0
Autos	9.6	-4.8	-1.4	-0.3	-2.6
Electrical equipment	-2.6	-2.1	1.7	-1.5	-1.2
Japan	-1.2	-2.6	-0.3	1.4	2.0
Electronics	5.0	-3.9	-6.1	-2.1	-0.1
Chemicals	-3.8	-0.7	-0.6	-0.6	-2.2
Basic metals	-2.9	-2.6	-1.8	0.4	1.5
Autos	15.1	-7.1	1.5	2.3	2.3
Electrical equipment	0.8	-5.9	0.6	2.7	5.8
South Korea	1.2	1.7	1.2	2.8	2.4
Electronics	-4.2	18.1	10.8	9.7	11.5
Chemicals	-8.6	2.1	-1.2	0.5	-3.2
Basic metals	0.9	-2.9	-3.1	3.1	3.5
Autos	11.1	-1.8	1.3	-1.0	-7.1
Electrical equipment	-0.4	-6.8	0.4	-0.5	-5.4
Taiwan	-12.1	11.6	18.3	21.4	14.9
Electronics	-15.2	20.6	30.4	35.7	24.0
Chemicals	-7.9	0.4	-0.5	-1.6	-5.6
Basic metals	-8.9	-0.1	-4.8	-0.4	3.9
Autos	2.7	-5.5	-7.2	-2.1	-3.1
Electrical equipment	-8.3	6.5	4.0	-6.6	-3.9

Note: Latest refers to April 2026.

Source: CEIC and Nomura Global Economics.

This report was originally published on 6 July 2026.

US-Iran deal: A welcome relief for Asia

AI-boom and energy cost relief should position Asia for better performance. Thailand, Philippines, India, Korea stand to gain the most from lower oil prices.

- **Positive for Asia:** The US-Iran peace deal is positive for Asia's net energy importing economies through lower inflation (0.2-0.3pp for every 10% oil drop), improved current accounts (~0.3% of GDP) and modest growth/fiscal benefits. Combined with strong AI-demand, this should position Asia for better performance. However, the macro benefits will likely be visible with a lag, as supply chain normalization will likely be gradual.
- **Key winners:** Thailand, Philippines, India and South Korea stand to gain the most – Thailand via a lower import bill and inflation; Philippines through faster decline in inflation; India from reduced import costs and South Korea via a wider CA surplus.
- **Differentiation within Asia is still critical:** While broadly positive, we remain cautious on Indonesia owing to policy uncertainty, while India might enjoy a 'double bonanza' from lower oil prices and the recent FCNR(B) measure, which should further boost the BOP surplus in Q3.
- **Central bank divergence persists:** Lower oil prices will reduce hawkish pressure marginally, but policy paths remain highly divergent. We expect policy rates to be on hold for BI, RBI, RBA, BOT and PBoC; a delayed hike for Taiwan's CBC (December and March, versus June and December earlier) and continued hikes/policy tightening elsewhere (BSP, BNM, MAS, BOK and RBNZ).
- **FX strategy:** We made a few changes to emphasize our stance of being selectively short USD and with a focus on RV trades driven by local factors. We initiate short USD/KRW with a conviction level of 1/5, reinstate long EUR/INR (raise to 3/5 from 2), and lower the conviction level on our long SGD/IDR to 3/5 (from 4). We also maintain our short USD/CNH (4/5) and short USD/TWD (3/5).
- In **Asia rates**, we focus on relative value after the latest rally. We maintain a receive position in Korea (2yfw5y) at a conviction level of 3/5 (reduced from 4/5 earlier today). In India, we recommend a Sep-2s5s NDOIS flattener.

The US-Iran peace deal: A turning point for Asia?

Following more than three months of conflict in the Middle East and the blockade of the Strait of Hormuz, the US and Iran have finally agreed upon an interim peace deal, which is expected to be formalized on 19 June in Switzerland. Brent crude oil prices have fallen sharply in response; they are currently less than USD83/bbl and 25% below month-ago levels. These prices are well below our baseline assumptions. We currently assume Brent crude will average USD93.9/bbl in 2026, but if oil prices settle closer to USD80/bbl, the full-year average would fall to USD85.4/bbl and oil prices in H2 2026 would be ~15% below our current assumptions.

Moreover, the benefits from reopening the Strait of Hormuz extends beyond oil. Other commodity prices – natural gas, urea – are also repricing lower (Figure 36). The peace deal is still fragile, but if it proves durable and commodity prices stay benign, this would positively impact Asia's economic outlook, as the region is a large net energy importer and has been the most adversely impacted from the Middle East energy shock.

How the Hormuz closure has impacted Asia so far

The closure of the Strait of Hormuz has proven less damaging to Asia's growth than initially feared, thanks to a strong AI-driven growth boost and sufficient availability of oil supplies (inventory drawdown and sourcing from alternate routes). However, the Iran war's true toll has manifested through higher inflation, currency depreciation and fiscal strain on many economies. Central banks accordingly pivoted in a hawkish direction.

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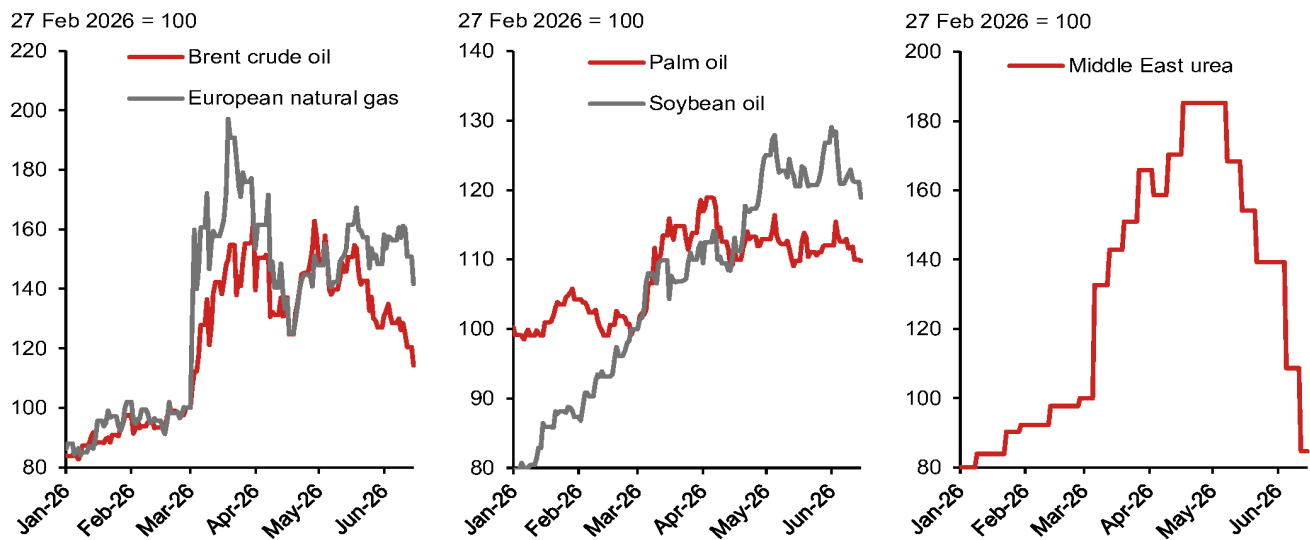
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Fig. 36: Commodity prices since the start of 2026

Note: We use daily prices for all commodities (latest: 15 June) except for Middle East urea (weekly prices; latest: 12 June).
Source: Bloomberg and Nomura Global Economics.

Supply-chain normalization: A gradual process

Even with the peace deal announced, the unwinding of supply-chain disruptions caused by the Strait of Hormuz closure is likely to be a more gradual process. The deal itself remains fragile, due to deep mutual distrust. There are logistical challenges (clearing the mines, clearing the stranded ships), insurance costs remain high and shipping confidence will only return gradually as vessels test the waters. Oil wells shuttered must be restarted, and as oil flows resume, a surge in restocking demand is inevitable. The entire energy supply chain – oil and refined products (jet fuel, diesel, gasoline), petrochemicals (polymers, plastics, naphtha), fertilizers, industrial metals and minerals (aluminum, sulphur, helium) all face a multi-month normalisation timeline.

A positive economic impact on Asia

Nevertheless, the US-Iran peace deal offers a welcome reprieve for Asia, with the potential for stronger growth, lower inflation and reduced twin current account and fiscal pressures (Figure 37).

Lower imports

A lower import bill is likely to be the most immediate impact. On average, every 10% fall in the price of oil improves Asia's current account (CA) balance by ~0.3% of GDP. The top three economies that would experience the most visible improvement include Thailand (every 10% oil price fall improves its CA by 0.5pp), India (0.4pp) and South Korea (0.3pp).

Easing inflation, but gradually

The easing of inflationary pressures will likely be more gradual, given the role of fiscal policy in capping the upside in energy prices, manufacturing margins still under pressure and lags in supply chain normalisation. Every 10% decline in oil prices, on average, lowers Asia's CPI inflation by 0.2-0.3pp, but as pipeline price pressures continued to rise in May, CPI inflation benefits will likely take 2-3 months to materialise. We expect the impact of lower oil prices to be most visible in the Philippines, which has market-determined fuel prices. Lower oil and fertilizer prices can also help keep the lid on food inflation, although with 2026 an El Niño year, medium-term risks to food inflation remain.

Growth and fiscal benefits

We also expect some benefits to growth and fiscal relief for governments, but this impact should be more marginal in comparison with the current account and inflation benefits. On fiscal balances, we maintain our forecasts for slightly wider deficits in India (to 4.6% of GDP in FY27 versus the 4.3% budget target) and Indonesia (to 3% of GDP in 2026, with increased below-the-line spending).

Fig. 37: Impact of fall in oil prices on Asian economies

	Impact of every 10% fall in oil prices				Nomura's 2026 baseline projections (Assuming Brent crude oil price of US\$93.9/bbl in 2026)			
	GDP growth (pp)	CPI inflation* (pp)	Current account (% of GDP)	Fiscal balance (% of GDP)	Real GDP (% y-o-y)	CPI inflation* (% y-o-y)	Current account (% of GDP)	Fiscal balance (% of GDP)
China	0.00	-0.10	0.20	0.01	4.5	0.9	3.4	-5.4
Hong Kong	0.00	-0.07	0.07	0.01	4.8	1.9	7.5	-1.2
India	0.15	-0.50	0.40	0.05	6.9	4.2	-1.9	-4.4
Indonesia	-0.05	-0.10	0.20	0.20	5.2	3.1	-2.0	-3.0
Malaysia	-0.04	-0.22	-0.02	0.00	5.2	2.3	2.0	-3.5
Philippines	0.07	-0.50	0.37	0.00	4.6	5.5	-4.8	-5.1
Singapore	-0.01	-0.14	-0.03	0.00	4.6	2.2	16.9	0.5
South Korea	0.05	-0.30	0.30	0.10	2.4	2.7	15.5	-2.0
Taiwan	0.03	-0.10	0.20	0.20	9.9	2.0	21.3	-1.4
Thailand	0.08	-0.30	0.50	0.20	1.8	1.5	1.4	-5.8

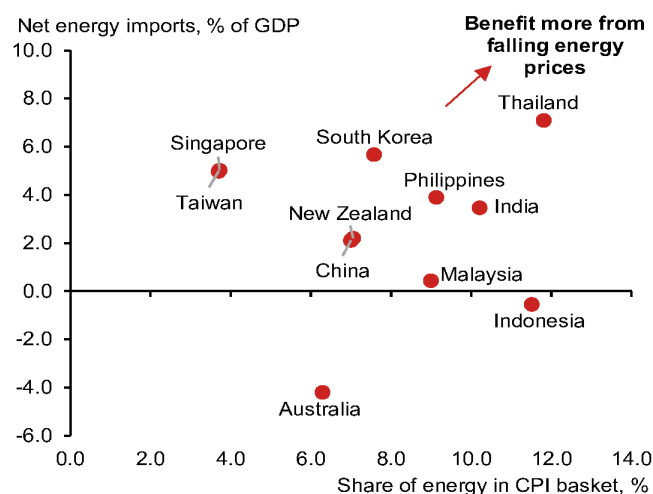
Note: *For Singapore, we calculate the impact on MAS core inflation.

Source: Bloomberg and Nomura Global Economics.

Winners from lower oil prices

Most Asian economies will benefit from lower energy prices, but we expect Thailand, the Philippines, India and South Korea to gain the most (Figures 38 and 39).

As Asia's largest net oil importer relative to GDP, **Thailand** should benefit from a lower import bill and a fall in cost-push inflation. **India** imports over 85% of its crude oil needs, and lower oil prices directly translate into reduced import costs, a narrower current account deficit, lower inflation and fiscal relief from reduced subsidy burdens for oil and fertilizers. In the **Philippines**, with no fuel subsidies and immediate pass-through to consumers, inflation surged the most to 7.2% y-o-y in April, and lower oil prices should lead to a faster inflation decline and reduce pressure on the current account. In **South Korea**, lower oil prices combined with gains from the ongoing AI boom should widen the current account surplus to above our current estimate of 15.5% of GDP in 2026 (already a record-high), and reduce goods price inflation.

Fig. 38: Net energy imports versus share of energy in CPI across Asia

Note: Data on net energy imports as a percentage of GDP are as of 2024, while data on share of energy in CPI basket are the latest available.

Source: CEIC, ITC Trademap and Nomura Global Economics.

Fig. 39: Energy trade balance (exports minus imports), % of GDP, 2024

	Trade balance (% of GDP)				
	Energy (total)	Crude oil	Refined petroleum products	LNG	Coal
Thailand	-7.1	-6.3	0.8	-1.3	-0.3
South Korea	-5.7	-4.6	1.3	-1.6	-0.9
Singapore	-5.0	-4.8	0.3	-0.6	0.0
Taiwan	-5.0	-3.0	0.6	-1.5	-1.2
Philippines	-3.9	-0.8	-2.4	-0.2	-0.6
Japan	-3.7	-1.7	-0.2	-1.0	-0.7
India	-3.5	-3.9	1.7	-0.4	-0.9
New Zealand	-2.2	0.2	-2.3	0.0	0.0
China	-2.1	-1.7	0.1	-0.2	-0.2
Malaysia	-0.4	-1.8	-0.2	2.6	-1.1
Indonesia	0.5	-0.6	-1.3	0.5	1.9
Australia	4.2	0.1	-1.6	2.5	3.1

Note: We use HS codes 2709, 2710, 271111 and 2701 for crude oil, refined petroleum products, LNG and coal respectively. Excluded Hong Kong from the analysis as some data are unavailable.

Source: ITC Trademap and Nomura Global Economics.

Differentiation within Asia is still critical

While lower oil prices provide a broad-based tailwind across Asia, country-specific differentiation will still be important. We remain more cautious on Indonesia and Thailand. Indonesia faces persistent policy uncertainty, concerns over BI independence, disruptions from the state commodity export agency on goods exports and credit rating concerns, while Thailand's structural constraints (ageing population, productivity challenges, China shock) remain intact. By contrast, India could enjoy a "double bonanza": not only does it benefit from lower oil prices, but the recent *FCNR(B) announcement* should lead to USD55bn in inflows, on our estimates, further boosting the BOP surplus.

Asian central banks: Less hawkish at the margin, but divergence persists

The peace deal and the resulting oil price decline have marginally reduced hawkish pressures across Asian central banks, but large divergences across policy paths remain, reflecting heterogeneous domestic growth-inflation dynamics (Figure 40).

- **HOLD (BI, RBI, RBA, BOT, PBoC):** The peace deal strengthens our view that BI will leave policy rates unchanged this week and beyond, although this is contingent on a stabilisation of IDR. We maintain our forecast for the RBI to stay on hold this year, even as headline inflation inches up, due to low *underlying inflation*. The RBA appears done with its tightening cycle, and we maintain our view that it may be able to deliver a rate cut around May 2027, as core inflation moves towards target. Amid low inflation and weak domestic demand, we also expect BOT and PBoC to leave rates unchanged this year.
- **DELAYED HIKE (CBC):** Easing inflationary pressures are likely to reinforce the CBC's dovish stance, so we push out the timing we assign to the first 12.5bp hike to December from our previous forecast of June. We now expect 12.5bp rate hikes in December and March next year (terminal rate: 2.25%).
- **HIKE (BSP, BNM, MAS, BOK, RBNZ):** Despite lower oil prices, we expect rate hikes / policy tightening in a few economies. For BSP, we expect 75bp of cumulative rate hikes (including a 25bp hike this week), as core inflation remains elevated. BNM is likely to hike by 25bp in Q4, amid robust growth and strong labor markets, and we continue to expect another slight S\$NEER slope increase by the MAS in July, as it faces rising core inflation pressures and broad-based growth. We also maintain our forecast for 75bp of cumulative hikes by the BOK (25bp in each of July, October and January 2027), as the BOK's May meeting emphasized positive spillovers from the semiconductor upcycle to the broader economy, growing demand-driven inflation pressures and the need to narrow the interest rate differential with the US. In New Zealand, we continue to forecast three 25bp rate hikes, commencing in September, to bring rates closer to neutral, but we see a risk that tightening could commence at the coming meeting on 8 July.

Fig. 40: Nomura's central bank policy base case versus what-if scenario

	Current monetary policy baseline	Central bank: What if oil falls below USD80/bbl and stays there?
China	No RRR or rate cuts for 2026	Maintain baseline forecast, as an ample interbank liquidity environment and falling CGB yields suggest limited scope for high-profile easing measures.
India	Policy hold at 5.25% through 2026	No change to our baseline forecast
Indonesia	Policy rate unchanged at 5.50% after 75bp in hikes so far, but significant risk of more hikes	On-hold and lower risk of additional hikes
Malaysia	25bp policy rate hike	No change to our baseline forecast
Philippines	75bp of additional hikes but measured approach (3 x 25bp)	Rising risk of another 50bp in hikes
Singapore	Expect another slight S\$NEER slope increase by the MAS at the upcoming July MAS policy announcement (+0.5% slope appreciation)	No change to our baseline forecast
South Korea	3 x 25bp hikes (Jul 2026, Oct 2026, and Jan 2027); terminal rate at 3.25%	Maintain our baseline forecast of 3 x 25bp rate hikes. The BOK's hawkish stance, supported by positive spillovers from the semiconductor upcycle to the broader economy, the rising risk of demand-driven inflation, and concerns over the Korea-US interest rate differential, is likely to remain intact despite lower oil prices.
Taiwan	Following the US-Iran interim agreement, we now delay the timing of our rate hike call to Dec 2026 and Mar 2027 (versus Jun and Dec 2026); terminal rate at 2.25%.	Could further delay rate hikes as lower oil prices are likely to strengthen the CBC's dovish/neutral bias.
Thailand	BoT to keep policy rates on hold at 1.00% throughout the year	On hold, lower rate hike risk

Source: Nomura Global Economics.

Overall: Net positive for Asia, but differentiation still key

Overall, the US-Iran peace deal delivers a net positive shock to Asia, amplifying the region's already-strong momentum from the AI-driven export boom, while alleviating the energy-induced headwinds. Lower energy costs will ease inflationary pressures, relieve profit margin compression for manufacturers, narrow current account deficits for energy importers and provide fiscal breathing room for governments. The combination of AI-driven demand strength and energy cost relief should position Asia for better performance. However, differentiation within Asia remains paramount, as the benefits are not uniformly distributed. Critically, this is not the end of rate hikes for all central banks, and an important variable to monitor, going forward, will be Fed policy and its spillovers.

In the sections that follow, our Asia country economists provide more detailed estimates of the impact of lower oil and energy prices on their economies, and our strategy team assesses the implications for FX and rates markets.

Country-specific comments

Australia (Andrew Ticehurst)

Australia is a modest net energy exporter, so a lower oil price might be seen as a headwind. However, lower oil prices should also be helpful for trading partner growth and will also boost battered consumer and business sentiment. We therefore see modestly positive net implications for growth (stronger). We also anticipate modestly positive implications for inflation (weaker). We think the combination of slightly stronger growth and lower inflation should be a “wash” for the RBA, and our base case remains one in which the tightening cycle has most likely ended. We also maintain our forecast for the RBA to deliver a rate cut around May 2027, as core inflation moves slowly towards target.

China (Ting Lu, Jing Wang, Harrington Zhang and Hannah Liu)

A lower global oil price is positive for the economy, as China is the world's largest crude oil importer, with its oil import dependence elevated at around 73%. The reopening of the SoH should partially alleviate *supply chain disruptions* that have affected oil and chemical industries. However, we maintain our below-consensus full-year growth forecast of 4.5%, due to a limited boost from the price-driven export boom, substantial *payback effects* from the durable goods trade-in program, the continued property drag and a lack of forceful policy support. On the trade balance, while lower oil prices should theoretically reduce import values and widen the current account surplus, this effect may be partially offset by increased import volumes, as China replenishes its strategic petroleum reserves.

Following the release of May inflation data, we revised up our 2026 *CPI and PPI inflation*

forecasts to 2.5% and 0.9%, respectively, from 1.0% and 0.6%. We maintain our revisions, as the oil price surge has already been transmitted through to domestic prices and the boost from the AI supercycle remains intact. We expect GDP deflator to turn positive for the year, supported by import-led deflation.

On monetary policy, we maintain our baseline forecast for no RRR or rate cuts this year. The combination of potentially softer import-led inflation and *exceptionally weak credit growth* could strengthen the case for the PBoC to maintain an accommodative monetary policy stance to stimulate domestic demand. However, an ample interbank liquidity environment and falling CGB yields suggest limited scope for high-profile easing measures.

India (Sonal Varma, Aurodeep Nandi)

Since the Iran war, India has been diversifying some of its oil imports away from the Middle East, with a pivot towards Russia (~39% of total shipments) and other non-traditional suppliers like Brazil and Venezuela (source: *Kpler*). India has also ramped up LPG and LNG imports, particularly from the US, to deal with shortages. If the Strait of Hormuz reopens, it could encourage a partial rejig of India's energy acquisition back to its traditional markets in the Middle East. India's growth data for the last three months suggest some evidence of supply-side disruptions from the war, but the impact has been dampened by the government's control of fuel prices, deft handling of supply shortages and the reluctance of companies to pass on higher costs to consumers. That said, we reduced our forecast for India's FY27 GDP growth by 50bp to 6.6%, on the expectation that some of the economic drags could materialize with lags. If the war concludes and supply-side constraints reverse, margin pressures on firms could ease.

The pick-up in CPI inflation has been primarily driven by higher food and fuel prices, with the government *raising petrol and diesel prices* (from mid-May) and some increase in LPG prices, but *underlying pressures remain tepid*, with most sub-components of the core basket yet to demonstrate a decisive pick-up in momentum, even as firms face escalating wholesale inflation. While lower oil and input prices should ease pressures, we note that the government had already *cut excise duties on petrol/diesel* before hiking prices, so any moderation in global crude oil prices could lead to the government re-introducing some of these taxes, while keeping prices unchanged to reduce the fiscal slippage. This would mean that our FY27 CPI inflation outlook of 5.0% remains intact for now.

On *monetary policy*, the RBI continues to await definitive signs of second-round effects on inflation and is wary of the downside risks to growth, and our outlook remains one of unchanged policy rates this year. On *fiscal policy*, higher fertilizer and fuel subsidies and uneven tax collections should lead to a 0.3pp slip in the government's fiscal deficit target to 4.6% of GDP, although a fall in energy prices could dial down some of these pressures. Our baseline FY27 CA deficit forecast is 2.4% of GDP, with the pressure on merchandise trade deficit largely buffered by a strong services surplus and remittances. Every 10% fall in crude oil prices (we assume ~USD100/bbl in FY27) should lead to a compression of the CAD by ~0.4% of GDP, although the government could be encouraged to ease some of its restrictions on gold/silver imports if the crisis passes. While we had been concerned about a large balance of payments deficit due to lower foreign investment flows, the *raft of policy measures to bolster the capital account* including the move to *attract deposits from the Indian diaspora abroad* should materially cap external pressures.

Indonesia (Euben Paracuelles, Nabila Amani)

Lower oil prices will help ease pressures on the overall balance of payments, but only partly, given domestic and other related concerns that are contributing to lower capital inflows and widening the current account deficit. As we have discussed, high policy uncertainty of the Prabowo government is keeping FDI inflows flat, contributing to the basic balance *turning to a deficit* in Q1. In addition, the *announcement* to centralize commodity exports could lead to short-term disruptions in goods exports. While fiscal risks may also be dissipated via lower fuel subsidy spending, the implementation of priority programs like the MBG are accelerating, and there are still no revenue reform measures. Thus, we still expect the fiscal deficit this year to hit the ceiling of 3% of GDP and see increased below-the-line spending, so the risk of a stealth breach of that ceiling remains significant. In terms of monetary policy, we continue to expect BI to keep its policy rate unchanged on 18 June at 5.50%, as it has frontloaded the 25bp hike in an *off-cycle meeting* last week, in our view. For the rest of the year, our base case envisages the policy rate remaining at 5.50%, but we have flagged significant risks of additional

hikes in response to FX weakness. With easing external uncertainty, the risk of further hikes has consequently fallen but, as mentioned above, is not yet completely eliminated.

Malaysia (Euben Paracuelles, Yiru Chen)

Given the subsidy on widely consumed Ron95 petrol, the decline in crude oil prices will ease the government's fiscal burden, and thus, *the risk of a modestly higher fiscal deficit* than the budgeted 3.5% of GDP may dissipate, although revenues may also decline. The latest estimates from the government suggest fuel subsidies dropped to MYR3.5bn (0.16% of GDP) per month, based on Brent oil prices around USD90/bbl, down from the peak of MYR7.5bn (0.35%) in April. The impact of lower oil prices on headline CPI inflation will likely be modest, given our CPI forecast of 2.3% this year is still underpinned by strong domestic demand and robust labour market conditions. In terms of growth, lower energy prices may appear somewhat negative for GDP growth, as Malaysia is a net oil and gas exporter. That said, we believe the key growth drivers that underpin our *above-consensus 2026 GDP growth forecast* of 5.2% remain intact, including strong investment spending and a broadening AI-related demand. All of these factors, alongside increasing signs of building financial imbalance risks, support our out-of-consensus forecast for *BNM to hike its overnight policy rate by 25bp* to a more neutral 3.00% in Q4.

New Zealand (Andrew Ticehurst)

New Zealand is totally reliant on fuel imports, so a lower global oil price is a clear positive for the economy and reduces the risk of supply-chain disruptions too. However, it should also mean notably lower inflation. New Zealand's economy has material spare capacity, so it should be able to absorb faster growth than otherwise, and the RBNZ has a singular inflation remit, so the lower inflation outlook associated with lower global oil prices should be meaningful for it. Current policy settings are stimulatory, with the cash rate at 2.25%, and the RBNZ has received a nasty upside inflation surprise this year. We think it would feel most comfortable if it were able to return the cash rate towards neutral. Our forecast profile, for 25bp rate hikes in September, December and February would achieve this objective, and this remains our base case. We acknowledge a clear risk that policy tightening could commence at the coming meeting on 8 July (rather than in our base case of September) but at the margin, a lower inflation outlook, if lower global oil prices sustain, could support our call for a first hike in September.

Philippines (Euben Paracuelles, Nabila Amani)

Absent fiscal subsidies, the immediate impact of lower crude oil prices will show up in a further drop in headline inflation, which already *started easing* in May. That said, headline inflation remains well above BSP's 2-4% target and, importantly, core inflation is still rising due to lagged pass-through effects from elevated energy prices. This supports our view that BSP's hiking cycle remains intact but it is keeping a measured approach, as the drop in headline CPI inflation precludes the need for a more aggressive monetary tightening. We therefore maintain our forecast for BSP to hike its policy rate by 25bp this week to 4.75%, followed by another two 25bp hikes in each of the next monetary board meetings. As the terms-of-trade shock should become less negative, it implies a less-sharp widening of the current account deficit. However, BSP still maintains a laissez-faire approach to FX policy, so the currency will unlikely derail BSP's hiking cycle. Fiscal expenditures are also starting to turn around, supporting a *gradual improvement* in the growth outlook. BSP is likely mindful of the significant risks posed by El Niño, particularly on food inflation. However, if headline inflation falls more materially in the near term, due to the drop in oil prices, and core inflation peaks much earlier than our baseline of Q4, we acknowledge the risk that BSP could hike by a lower 50bp instead of another 75bp.

Singapore (Euben Paracuelles, Yiru Chen)

Lower crude oil prices should help mitigate the near-term upside risks to core inflation. However, core inflation is likely to remain on an upward trajectory in coming months, given the still-positive output gap. We think the *eventual upward adjustments* to airfares and holiday expenses from elevated jet fuel costs will still materialise, in addition to lagged adjustments to household utility costs. On the growth outlook, the reported US-Iran MOU and the potential end to hostilities reinforce our above-consensus GDP growth forecast of 4.6% this year (Consensus: 2.9%), and the downside risks which the MTI has flagged should diminish. We maintain our view that multiple growth engines will *continue* to drive near-term growth. The sustained global tech uptrend and broadening AI-related demand should continue to boost electronics output, while a potential recovery in feedstock supply should support chemicals output, which has been posing a small drag. A strong manufacturing sector would also have some spillovers to the services sector, while

a buoyant residential property market and the implementation of several major projects will support construction activity. The expansionary FY26 budget and frontloaded fiscal support measures should **further bolster** domestic demand resilience, particularly as geopolitical headwinds recede. All these factors support our FX strategy team's forecast for another slight S\$NEER slope increase by the MAS in July.

South Korea (Jeong Woo Park)

We maintain our 2026 GDP growth and inflation forecasts of 2.4% and 2.7%, respectively. While the direct boost to economic growth may be limited, given the current expansion remains heavily concentrated in the semiconductor sector, lower energy prices should help alleviate the downside risks to domestic demand over the second half of the year. From an inflation perspective, lower oil prices would moderate headline CPI pressures by reducing fuel and transportation costs and lowering the pass-through from imported energy prices to consumer prices. As a result, peak headline inflation during the second half of the year could prove lower than previously anticipated. That said, the impact on core inflation is likely to be more gradual, reflecting sticky domestic service prices.

On fiscal policy, easing oil prices would reduce the need for an additional supplementary budget in H2. As a result, we believe the government may have greater flexibility in allocating a portion of any excess tax income toward improving fiscal sustainability. Rather than deploying the entirety of excess tax revenues to additional spending, policymakers may find it increasingly appropriate to use part of these resources to strengthen the fiscal position, including reducing borrowing needs and rebuilding fiscal buffers.

In terms of monetary policy, the latest developments in the Middle East reduce the urgency for front-loaded tightening, in our view, but do not eliminate the need for further rate hikes. We continue to expect the BOK to deliver a 25bp rate hike in July, although the likelihood of a more aggressive tightening path (i.e., a 50bp hike in July or consecutive rate increases in July and August) appears to have diminished meaningfully following the easing of geopolitical tensions and the decline in oil prices.

Nevertheless, we do not believe the MOU and lower oil prices will materially alter the overall policy stance of the BOK. At its May meeting, the BOK justified the need for tightening by highlighting the positive spillovers from the semiconductor upcycle to the broader economy, the growing possibility of demand-driven inflation pressures and the need to narrow the interest rate differential with the US. Given these considerations remain largely intact, the recent decline in oil prices is unlikely to fundamentally change the BOK's reaction function. Accordingly, we maintain our call for three 25bp rate hikes (July and October 2026, and January 2027; terminal rate: 3.25%).

Taiwan (Jeong Woo Park, Si Ying Toh)

We maintain our 2026 GDP growth and inflation forecasts of 9.9% and 2.0%, respectively. Lower oil prices would help reduce downside risks to growth while easing upside pressures on inflation. As a net energy importer, Taiwan would benefit from lower import costs and an improvement in real household purchasing power, providing additional support to domestic demand. From an inflation perspective, the decline in energy prices is likely to lower the near-term trajectory of headline CPI and reduce concerns over a broader pass-through from imported inflation. This should help moderate the upside risks to the inflation outlook that had emerged in recent months.

For monetary policy, the easing inflationary pressures is likely to reinforce the Central Bank of the Republic of China's (Taiwan) relatively dovish stance. We maintain our expectation for two 12.5bp rate hikes to a terminal rate of 2.25%, but push out the timing of our rate hike call to December this year and March next year (versus June and December this year). In our view, lower oil prices reduce the urgency for near-term rate hikes, allowing the CBC to wait for clearer evidence that stronger domestic demand is translating into more persistent inflationary pressures before proceeding with further policy normalisation.

Thailand (Euben Paracuelles, Lattakit Lapudomkarn)

Thailand is one of the economies **most exposed** to oil price shocks, due to its sizable energy deficit, estimated at around 7% of GDP, and its heavy reliance on tourism, which contributes approximately 10% of GDP. The decline in oil prices should provide support for Thailand's economy by easing the burden on the consumer through lower inflation and improving tourism sentiment, following **earlier weakness** driven mainly by the decline in European tourists. However, we maintain our view that the overall growth backdrop is

expected to remain subdued, as it is constrained by structural headwinds and weak domestic demand. On the external front, the record-high trade deficit in April is largely driven by elevated oil prices and front-loaded oil imports due to fear of supply shortages. If oil prices start to ease, the trade balance would also likely improve. Against this backdrop, we maintain our **baseline view** that the Bank of Thailand will leave policy rates unchanged throughout the year. Lower oil prices further reinforce this baseline view through easing inflationary pressures, reducing the probability of any policy tightening.

Asia FX and rates strategy

The impending reopening of the Strait of Hormuz supports our stance...

The news that (*Bloomberg*, 15 June) US-Iran officials will formally sign an interim agreement (i.e., an MOU on 19 June) that includes a reopening of the Strait of Hormuz **supports our strategy stance of leaning toward a de-escalation, adopted since 22 May**. Specifically, we lowered the conviction levels on our short South/Southeast Asia FX recommendations (i.e., short IDR, INR and PHP) on **22 May**, as well as raising the conviction level on our short USD/CNH to 4/5 and establishing a short USD/TWD (3/5) on **25 May**.

The risk of the US-Iran situation oscillating remains, as the media reported (*Bloomberg*, 15 June) some discrepancies on the terms of the MOU, as discussed by officials from both sides, including whether ships transiting through the Strait of Hormuz would be administrated by Iran/Oman, whether the Israel-Lebanon ceasefire can hold and whether the US and Iran can make further progress on thorny issues in the next stage of the negotiations. Nevertheless, we continue to believe that the **Trump administration has the leeway to make concessions** if it wants to re-open the Strait.

... of being selectively short USD, with a focus on RV trades driven by local factors

Overall, in view of lower energy prices reversing the terms-of-trade impact of a stronger broad USD, the potential **outcomes** from the FOMC and BOJ meetings this week and some **medium-term drivers** for a weaker broad USD, we maintain **our strategy stance of being selectively short USD** (against long CNH, and long TWD), and with **the focus on RV trades driven by idiosyncratic local factors** (i.e. long SGD/IDR, long EUR/INR and short AUD/NZD). With these developments, we also **made a few portfolio changes to further support our strategy stance**:

- We **initiate a short USD/KRW position** with a conviction level of 1/5, thereby putting the position on watch for further assessment (see more below).
- We **reinitiate our long EUR/INR position** by raising the conviction level back to 3/5 from 2/5, because we believe EUR can outperform INR in such an environment, despite potential FCNR(B) inflows (see more below).
- We are also further **lowering the conviction level on our long SGD/IDR to 3/5**, as the market reassesses the negative implications of the war on Indonesia's BoP dynamics and recent policy measures (see more below).

In **Asia rates**, we focus on relative value after the latest rally. We maintain **receive Korea (2y fwd 5y)** with a conviction level of 3/5 (reduced from 4/5 earlier **today**). In India, we recommend a Sep-2s5s NDOIS flattener (3/5).

Asia FX

Short USD/CNH: We maintain a high conviction level of 4/5 on our **short USD/CNH position**, targeting 6.60 (~3% gains) by end-August. With positive US-Iran developments, we are more convinced that USD/CNH can move significantly lower, along with a weaker broad USD because: 1) **USD/CNH has been more sensitive to downmoves in DXY than upmoves** since the start of the Iran war (28 February). We expect this to continue; 2) the **USD/CNY daily fixing continues to drift lower**. Today, the fixing reached its lowest level (of 6.8088) since 10 February 2023 (i.e., 6.7884). Positive errors widened to a 544pips today from an average of +361pips last week, but we do not believe this signals significant concerns from the Chinese authorities yet; 3) **FX settlement demand from onshore corporates is likely to remain robust in the coming months**, owing to continued strong export growth and trade surplus, as well as some local expectations for RMB appreciation. Indeed, the latest May data on net FX trade settlement showed strong inflows of USD53.6bn (April: USD47.7bn; Q1 average: USD65.3bn), which was equivalent to 71.3% of the trade surplus after adjusting for RMB settlement; and 4) RMB appreciation should also be **supported by its substantial undervaluation**. Based on our four FX valuation models, RMB remains **undervalued** by an average of 9.7%, with its productivity-

adjusted REER undervalued by 19.9%.

Short USD/TWD: We maintain a conviction level of 3/5 on our **short USD/TWD** position, targeting 30.5 (~3% gains) by end-September. Amid the potential US-Iran agreement that could re-open the Strait of Hormuz (see above), we see scope for TWD to appreciate, because: 1) **a likely softer USD and a risk positive environment**, which should facilitate TWD appreciation against USD, alongside a broadly lower USD/Asia complex. Our expectation for CNH appreciation should also provide a tailwind for TWD; 2) **despite being highly exposed to the Strait of Hormuz energy shock, TWD has outperformed within AeJ since the onset of the Iran war, owing to the strength of its tech sector**. Therefore, we would expect TWD to enjoy a tailwind, if energy prices ease from currently elevated levels; 3) **Taiwan should remain a significant beneficiary of strong global AI demand and capex**. Total sales in April 2026 at Taiwanese electronics companies (confirmed data based on 265 companies) rose 39.0% y-o-y. In particular, **sales growth remained strong** for AI server-related products and rose sharply in the computing products segment; 4) **global AI demand is, in turn, supporting robust local fundamentals**. Export growth rose to a stronger-than-expected 51.7% y-o-y in May (consensus: 41.2%; previous: 39.0%), with high-tech shipments being the key driver. Overall, the May goods trade surplus increased to USD17.9bn from USD14.4bn in April. Our economist forecasts 2026 GDP growth of 9.9%, and pencils in two 12.5bp rate hikes by the CBC (see above); and 5) **a softer USD environment may offer some Taiwan lifers and exporters an opportunity** to consider increasing their FX hedging ratios (tactically) and reducing their USD hoarding, respectively, especially if USD/TWD swap points are in premium.

Long EUR/INR: We **reinitiate our long EUR/INR position** by raising the conviction level back to 3/5 from 2/5, targeting 113.8 (~4% gains) by end-September. We maintain the view of INR underperformance against EUR because: 1) **we believe EUR can be a strong beneficiary on the reversal of negative terms-of-trade pressures** from lower energy prices; 2) while the FCNR(B) deposit scheme is likely to improve near-term sentiment on INR, we note that it is eventually the **RBI's FX selling that could lead to INR stability**. This is because the banks that accrue those FCNR(B) deposits will swap them directly with the RBI; 3) **over the longer term, we believe the RBI will likely continue to accumulate FX reserves opportunistically**, as it attempts to minimise the impact of maturing short forwards on its headline FX reserves. Indeed, the RBI **prepared** for FCNR(B) swap maturities in September to November 2016 by accumulating long USD positions in both spot and forward markets ahead of time; 4) in June MTD, foreign investors have net sold USD4.3bn of Indian equities. While the equity outflows have been partly offset by USD1.5bn inflows into fixed income securities, overall portfolio outflows should continue to put downward pressure on INR; 4) **Bloomberg (12 June) reported that the Indian authorities may be willing to let the fiscal deficit widen to 4.8% of GDP** from the 4.3% of GDP goal set in February. While fiscal slippage is not a big concern for India, we believe it can add to the risk premia attached to Indian investments; and 5) we estimate that the **RBI net sold USD11.5bn of spot FX reserves in May 2026**, bringing 2026 FX intervention to USD49.1bn (spot + forward; forward data until April 2026), which is ~8.9% of 2025 FX reserves. We believe this is likely to **encourage the RBI to a buyer of FX on dips in USD/INR, causing INR underperformance**.

Short USD/KRW: We also initiate a **short USD/KRW position** with a conviction level of 1/5, thereby putting the position on watch for further assessment (but not in trade). We recently argued that an **alignment of several factors is necessary for KRW to outperform** ahead. In our view, a few factors have aligned, including: 1) **a de-escalation in US-Iran tensions that could feed into a softer broad USD**. Arguably, the impending signing of US-Iran MOU fulfils this condition despite some uncertainty; 2) **an increase in Korean corporate FX remittances**. There are signs that Korean officials have stepped up their inspections to assess whether speculative trading or suspected manipulation contributed to KRW weakness. Local media (*Yonhap Infomax*, 15 June) reported that an FX market official criticised shipbuilder Hanwha Ocean's low FX-hedged ratio, which prompted Hanwha to say it would increase its hedge ratio to the 70%-75% range; 3) **local retail purchases of US equities remain anaemic**. Korean retail investors net bought only USD527mn of US portfolio assets between 8 and 12 June. In MTD June, Korea's retail investors net sold USD283mn of US portfolio assets, following UDS568mn of net selling in May 2026. That said, we **remain concerned that rising Korean equities could create a "paradoxical phenomenon" of FX demand** by local and foreign investors, which is why we only have the position with a conviction level of 1/5.

Long SGD/IDR: We further **lower the conviction level to 3/5** (from 4; the conviction level was **raised to 5/5** on 29 May and then lowered to 4/5 on **12 June**), as near confirmation of the US-Iran MOU puts near-term pressures on our position. Our target remains at 14,600 (~12% total gains) by end-August, and spot is already trading close to our trailing stop-loss of 2%. Nonetheless, there is good reasoning for continuing to hold on to the trade through this week: 1) **BI may not hike at its regular policy meeting on 18 June** (our economics team's view) versus consensus expectations that BI will hike again. Arguably, the signing of the MOU reduces the need for BI to continue hiking. An on-hold decision by BI may lead to further IDR weakness; 2) **mixed BI signaling**. On 10 June, *Bloomberg* reported BI Governor Warjiyo signalled that the central bank will refrain from buying bonds with tenors that are 10 years or longer. **However, data on BI's holdings of IDR tradable government securities showed that they rose by IDR73.8trn (USD4.0bn) between 10 and 11 June**. While these are just two datapoints, we are concerned that BI could blunt the impact on higher SBN yields via its secondary-market purchases of government securities; 3) **nascent social concerns over the government's economic policy and spending**. BEM UI, the University of Indonesia's student executive body, called for students across Jakarta to join a demonstration on Friday (*Bloomberg*, 12 June). They protested that "fiscal policy is leaking, Bank Indonesia's independence is being stripped away, and the government's communication with the public remains far from adequate" (*Bloomberg*, 12 June); 4) **MSCI will soon communicate on the free float assessment of Indonesia securities as part of the Market Accessibility Review scheduled for 18 June 2026** (US close), which could result in **more foreign equity outflows**; and 5) we see an **increased risk of S&P lowering its rating outlook on Indonesia to negative** in June/July. However, a new market concern (*Bloomberg*, 3 June) is **whether there is an outright downgrade of Indonesia's credit rating** (as opposed to a revision to a negative outlook).

In **Singapore**, we believe that a US-Iran deal **reduces the risk of an unexpected tightening of global/US financial conditions**, and **removes a headwind for strong economic momentum**, led by the global tech uptrend, strong domestic construction activity, the expansionary stance of the FY26 budget and resilient domestic demand. Therefore, Singapore's output gap will likely remain positive, which raises the risk of second-round inflation effects from elevated energy prices. **We expect another slight S\$NEER slope increase by the MAS at its July MAS policy announcement, which will likely keep SGD supported.**

Short AUD/NZD: A lower oil price should favour NZD over AUD, given that New Zealand is large oil importer, while Australia is a net energy exporter. At the same time, AUD has been the "higher beta" currency, more sensitive to swings in equity markets, commodity prices and credit spreads. The lower oil price therefore implies some offsetting forces for AUD versus NZD. We continue to believe that current rate spreads, and the theme that the RBA hiking cycle has most likely ended, while the RBNZ hiking cycle is creeping closer, should be supportive of a lower AUD/NZD cross. Positioning appears to have become less extreme, with CFTC data suggesting some covering of long AUD positions, and some covering of short NZD positions, but is still supportive of a lower AUD/NZD cross, in our view. We continue to target a move to 1.1750 by end-August with fairly firm conviction level (4/5).

Asia rates

Receive Korea 2y fwd 5y NDIRS. As one of the highest beta markets within AeJ since the Iran war started at the end of February, Korea rates could outperform if a peace deal is reached. In addition, Korea's stronger fiscal position in comparison with some South Asia economies means fiscal term premium and KTB issuance might remain capped even if government maintains an expansionary fiscal stance. But we are holding the position with a conviction level of 3/5 now (reduced from 4/5 earlier today, still targeting 3.90%), as the BOK remains set to hike in July amid strong tech-driven exports and renewed concerns towards property price gains. Still, if geopolitical risk subsides we believe longer tenor rates can reprice terminal implied rates lower towards 3% and the 2s7s/2s10s curve can flatten back towards at least par over next few months.

India 2s5s NDOIS flattener India is another clear beneficiary of potentially lower oil price with an Iran deal. Clearly, there has been some good news for India rates of late, starting from the less hawkish-than-expected RBI meeting on 5 June, followed by the FCNR(B) announcement, the removal of CGT and WHT for offshore bond investors. Rate hike pricing has accordingly come off to ~25bp for the next two meetings. With inflation

still likely to move up over next few months, despite being partly due to low base effects, we believe current RBI hike pricing is towards the low end of our expected range. Given this and the 5y bond-swap spread still being narrow (5y NDOIS high relative to IGB yield), we maintain a Sep 2s5s NDOIS flattener with extra 2y pay and a conviction level of 3/5.

Convert pay Taiwan 5y NDIRS, partly to spread vs US. The combination of less hawkish comments by CBC governor Yang to the Legislature last week and today's broad rally in Asia rates have caused our pay 5y NDIRS position to breach our reassess level of 2.20%. As a result, we reduce the conviction level to 3/5 from 4/5 and convert this to a relative value position vs. 1/3 US Sep-2y IRS (current level 3.93%). We maintain some pay Taiwan exposure as the current level is already consistent with CBC staying on hold this week and 5y Taiwan rates have already moved back to levels before the Iran war started at the end of February. This should mean further downside is limited (barring a significant repricing lower in US rates) with Taiwan growth and the inflation trend still moving higher.

Please see [Strategy portfolio update](#) (7 May 2026) for our full portfolio.

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China: Retail sales revisited

In this report, we revisit the *sharp slowdown in retail sales growth* this year. We find the slowdown was mainly driven by subsidized goods, which were affected by payback effects from *the trade-in program*. The first-ever release of aggregate retail sales growth covering goods and all services (including catering) suggests overall services consumption growth has remained relatively stable. Beijing's multi-year trade-in subsidy program has exhausted its capacity to stimulate goods consumption, while services consumption proves more difficult to boost through subsidies due to its non-standardized nature and inherent price volatility. With limited policy room remaining, we are lowering our quarterly retail sales growth forecasts for Q2-Q4 to 0.2% y-o-y, 2.4% and 3.5%, respectively, from 2.8%, 3.5% and 3.7%. Our full-year forecast is thus lowered to 2.2% from 3.2%.

A recent research report from *CF40* suggests balance sheet repair is already underway, but we believe this is partly driven by households cutting spending and paying down debt, which further dampens consumption. Moreover, amid the current AI boom, the repair appears concentrated in the wealthiest cohorts, who have the lowest marginal propensity to consume (see *China: AI boom, property bust and K-shapes*, 27 May 2026). We maintain our view that the cleanup of bad debt in the *property sector* and a comprehensive reform to the *basic pension system* remain the most effective policy solutions to bolster consumption and reduce inequality.

A review of the slowdown in headline retail sales

Headline retail sales growth slowed sharply in April and May to 0.2% y-o-y and -0.6%, respectively, from 2.4% in Q1 and 3.7% in 2025. The slowdown was mostly attributable to goods sales, which slowed notably to 1.2% y-o-y from 3.8% in 2025, while catering services remained steady at 3.1% in January-May 2026 (2025: 3.2%). Within goods sales, we observed a *broad-based decline in sales growth among major subsidized durable goods*: *Retail sales growth in autos* plunged to -11.8% y-o-y in January-May 2026 from -1.5% in 2025. Retail sales growth in the home appliance and furniture sectors slumped to -6.9% y-o-y and -3.0%, respectively, in January-May 2026 from 11.0% and 14.6% in 2025, while retail sales growth in communication appliances, office appliances, and sports & entertainment sectors slowed sharply to 13.8% y-o-y, 3.8% and -2.4%, respectively, from 20.9%, 17.3% and 15.7% in 2025 (Figure 41).

Estimating the impact of payback effects

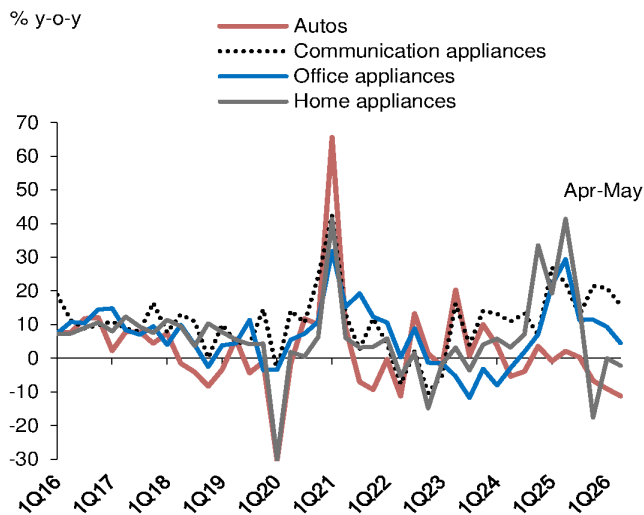
Payback effects are inevitably taking a toll on those subsidized durable goods after two years of trade-in stimulus (August-December 2024: central government funding RMB150bn; *2025: RMB300bn*; *2026: RMB250bn*). The effects started to emerge in H2 2025 and became more acute in 2026. We take a look at categorical breakdown and estimate how much the slowdown in goods sales is attributable to payback effects.

The NBS does not report the actual sales value of each merchandise category, which makes estimating the impact of payback effects on headline retail sales less straightforward. However, the NBS does report the sales value of each merchandise category among retail enterprises above a designated size, which accounted for 42% of total merchandise sales and 37% of total retail sales in 2025.

We aggregated the subsidized goods categories among merchandise retail enterprises above the designated size reported by the NBS. The combined value of subsidized durable goods accounts for 44% of total merchandise sales above the designated size and 16% of total retail sales. For the breakdown by item (Figure 42), autos represent the largest category, comprising 27% of above-size goods retail, followed by home appliances (6%), communication appliances (5%), office appliances (3%), furniture (1%), and sports and entertainment (1%).

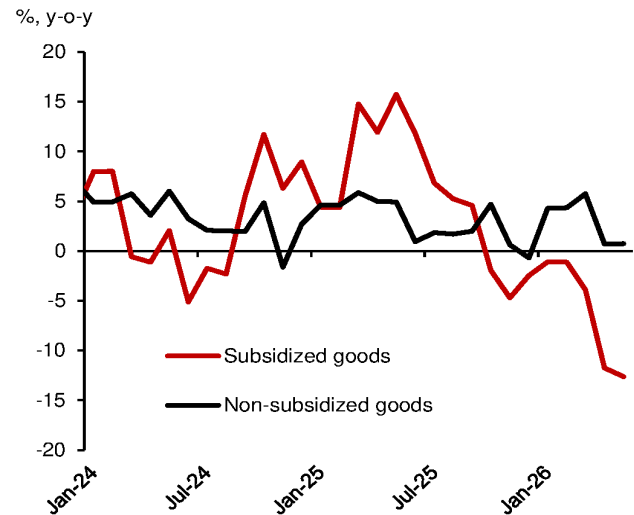
We estimate the combined value of subsidized goods sales growth fell by 11.6pp, from 5.1% in 2025 to -6.4% y-o-y in January-May 2026, contributing -5.0pp to the 4.2pp slowdown in above-size merchandise retail sales growth during this period (Figure 43). Sales growth for non-subsidized goods, on the other hand, increased from 2.1% in 2025 to 3.5% y-o-y in year-to-date 2026, offsetting the slowdown in total above-size merchandise sales growth by 0.8pp. In other words, payback effects could explain the entire slowdown in goods sales.

Fig. 41: Retail sales growth in major subsidized goods



Source: Wind, Nomura Global Economics.

Fig. 42: Subsidized goods vs non-subsidized goods



Source: Wind, Nomura Global Economics.

Fig. 43: Goods sales breakdown: Subsidized and Non-subsidized

Goods sold among big retailers	a	b	c	=a*(c-b)
	Share	Retail sales growth in 2025	Retail sales growth in ytd 2026	Contribution to above- size merchandise retail sales growth change
	%	% yoy		pp
Subsidized goods	43	5.1	-6.4	-5.0
Autos	27	-1.5	-11.8	-2.8
Home appliances	6	11.0	-6.9	-1.1
Communication appliances	5	20.9	13.8	-0.4
Office appliances	3	17.3	3.8	-0.4
Furniture	1	14.6	-3.0	-0.2
Sports & entertainments	1	15.7	-2.4	-0.2
Non-subsidized goods	57	2.1	3.5	0.8
Petroleum products	12	-5.7	-5.8	0.0
Food	13	9.3	7.4	-0.2
Garments & footwear	8	3.2	7.2	0.3
Daily necessities	5	6.3	4.6	-0.1
Medicines	4	1.8	3.1	0.1
Tobacco & liquor	3	2.7	13.4	0.4
Cosmetics	3	5.1	4.9	0.0
Gold & jewelry	2	12.8	2.8	-0.2
Beverages	2	1.0	6.0	0.1
Decoration materials	1	-2.7	-8.4	-0.1
Others	3	2.9	2.7	0.0
Total	100	3.4	-0.8	-4.2

Source: Wind, Nomura Global Economics.

A broader picture of consumption beyond headline retail sales

Headline retail sales data do not provide a comprehensive picture of consumption, as it excludes service consumption other than catering. In this section, we estimate the share and performance of this missing component following the NBS's first-ever release of aggregate retail sales growth covering both goods and services in May. We calculate that aggregate retail sales of all goods and services slowed to 2.8% in the first five months of the year from 4.4% in 2025 (Figure 44). Services excluding catering account for 30% of aggregate retail sales, with growth remaining stable at 6.0% y-o-y in the first five months of this year (2025: 6.1%). This broader view of retail sales data further reinforces our conclusion that goods sales were the main drag on consumption growth.

How did we arrive at this?

The retail sales data (short for "total society-wide retail sales of consumer products") measures goods and catering services sold directly to domestic households and entities for final consumption. The part of services consumption other than catering is excluded from retail sales. Since 2023, the NBS started to separately report retail sales growth in all services sectors in year-to-date terms. However, the relative size of the services sector consumption remained unknown.

This missing piece was recently addressed when the NBS for the first time reported aggregate retail sales data ("total society-wide retail sales of consumer products including services"). Along with the [May activity data release](#), the NBS reported aggregate retail sales growth of 2.8% y-o-y in the first five months of 2026. With 1.2% y-o-y growth in goods retail sales and 5.4% in services retail sales during the same period, we derive that goods and services accounted for 62% and 38%, respectively, of aggregate retail sales.

Given the 62% share of goods sales, we calculate the catering services share at 8%, as the NBS reports the absolute value of both goods and catering sales. Thus, services excluding catering account for 30%. Using this breakdown of total retail sales of goods and services, we calculate that services excluding catering registered 6.0% y-o-y growth in the first five months of 2026. We find that goods consumption was the largest drag on aggregate retail sales this year, registering 1.2% y-o-y growth in January-May 2026, followed by catering (3.1% y-o-y), while services excluding catering provided some support (6.0% y-o-y).

Fig. 44: Aggregate retail sales breakdown

Goods sales (62% of total retail) growth dropped notably from 2025, while services (38%) remained steady

Category	Share	2025	Ytd 2026
	%	% y-o-y	
Total retail sales of goods and services	100	4.4	2.8
Goods	62	3.8	1.2
Catering	8	3.2	3.1
Services excl. catering	30	6.1	6.0
Retail sales (goods+catering)	70	3.7	1.4
Services incl. catering	38	5.5	5.4

Source: Wind, Nomura Global Economics.

K-shaped wealth effects are a drag on overall consumption growth

A recent research report ^[1] conducted by *CF40 Research*, a think tank specializing in macroeconomics and policy research, showed that aggregate household balance sheets have been repairing since late 2024. We believe the mechanism through which this repair occurs limits any positive consumption spillover. First, the balance sheet repair occurs exclusively among the wealthiest cohorts who possess the lowest marginal propensity to consume, while most households remain mired in balance sheet deterioration. Second, the balance sheet repair was driven partly by improving net income surpluses, which were a result of aggressive spending cuts, not robust income growth.

K-shaped wealth effects from property and stock market

As we noted in our *previous report*, performances across the property market are diverging, with price stabilization and modest gains concentrated in tier-one cities, while smaller cities continue to experience price declines. Second, the AI boom and stock market rally disproportionately benefit high net worth individuals who hold meaningful equity allocations that made gains on the recent AI market rally, whereas the majority of households have minimal stock market exposure and derived little from these asset price increases. This creates a K-shaped wealth effect, where the balance sheets of only the wealthiest households strengthened, while the vast majority face continued balance sheet deterioration due to ongoing real estate asset depreciation and limited participation in financial markets.

A repair through austerity rather than prosperity

The report from *CF40 Research* shows that households are building net income surpluses, but this accumulation is the result of aggressive spending cuts and defensive saving behavior, not robust income growth.

In other words, Chinese households are essentially repairing their balance sheets through austerity rather than prosperity, paying down debts and hoarding precautionary savings in response to future income uncertainty, a weak social protection network and a perennial property crisis. This pattern fundamentally differs from organic balance sheet repair driven by rising incomes. In such a situation, a seemingly improving household balance sheet could weigh on consumption growth.

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1. The turning point: assessing the structural repair of Chinese household balance sheets and its macroeconomic implications, *CF40 Research*, April 2026.

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How is China's AI sector financed?

In our recent *AI and double "K-shapes" thematic report*, we discussed the US-China AI race and estimated the size of China's AI capex. A clear distinction in AI capex between the US and China is the role of government. US AI capex is overwhelmingly driven by the private sector, especially the hyperscalers, while China's AI capex is led and mainly funded by the state. In this note, we illustrate the decisive role of state capital from both the central and local governments, and we will also comment on private AI spending centered on cloud services and LLMs. With the *renewed* sharp declines in investment in Q2 and Beijing's *commitment* to stabilizing investment, we believe Beijing will likely accelerate bond issuance and step up fiscal spending in coming months. The AI sector will likely become an even more strategic policy focus, as China seeks to nurture its own full AI supply chains and pursue technology self-reliance.

The decisive role of state capital

China's AI capex lags US levels materially, while the structure of its spending differs considerably from that of the US. While the US government offers a package of USD53bn in funding via the CHIPS and Science Act, the US AI ecosystem is overwhelmingly driven by the private sector, with the vast majority of AI capex funded by hyperscalers. Facing restricted access to advanced chips and a substantial technology gap with the US, China has mobilized extensive, multi-tiered state capital to support its own full AI supply chains, in pursuit of technological self-reliance. Although private enterprises dominate LLMs and AI agents, state capital plays a decisive role in the AI industrial chain's most constrained segments, particularly chip design and manufacturing. We illustrate the multi-layered funding schemes from the central government, local governments and SOEs.

"Big Fund": From Semiconductors to AI

The National Integrated Circuit Industry Investment Fund (commonly known as the "Big Fund") is a core state-backed investment vehicle for China's semiconductor sector, with the strategic goal of elevating domestic IC industrial chains to global advanced standards and fostering world-leading enterprises by 2030. Three fund phases have been launched: Phases I, II and III were launched in September 2014, October 2019 and May 2024, with registered capital of RMB139bn, RMB204bn and RMB344bn, respectively. Major shareholders include the Ministry of Finance, China Development Bank, six major state-owned commercial banks and leading central SOEs, such as China National Tobacco and China Mobile.

The focus of investment has evolved progressively across these fund phases. Phase I prioritized downstream chip manufacturing, packaging and testing to support industrial chain leaders. Phase II shifted upward to target high-barrier upstream semiconductor equipment and materials. Phase III has the broadest coverage, focusing comprehensively on core bottleneck areas. Beyond the traditional semiconductor chain, Phase II has expanded its investment scope to printed circuit boards (PCBs) and AI industries.

Phase III has accelerated tangible AI capital deployment. In January 2025, it co-established the RMB60bn National AI Industry Investment Fund with Guozhitou (Shanghai) Private Equity Fund Management. In early May 2026, it was widely reported that the Big Fund was in active negotiations to lead the initial financing of Chinese AI startup DeepSeek. Collectively, the three Big Fund phases provide nearly RMB700bn in state capital support for semiconductors and AI.

Ultra-long central government special bonds

To boost domestic demand, the central government started to issue ultra-long-term special bonds from 2024, with a large part of the funding designated to support the "Two Majors" (implementing major national strategies and building up security capacity in key areas). In 2026, Beijing allocated RMB800bn out of an overall RMB1.3trn in ultra-long central government special bonds (CGSB) for the "Two Majors", with the scale the same as in 2025. In 2025, this RMB800bn funding supported 1,459 major projects covering transportation, water conservancy, energy, environmental protection and farmland construction. For 2026, the first batch of the "Two Majors" funding was RMB390bn, still prioritizing transportation and energy infrastructure projects. However, for the second batch of RMB217bn announced in April, AI was explicitly identified as one of the key areas for support, marking a formal shift of the use of CGSBs toward AI-related sectors.

National Venture Capital Guidance Fund backed by ultra-long CGSBs

Launched in December 2025 under the joint promotion of the NDRC and Ministry of

Finance, the National Venture Capital Guidance Fund is funded by ultra-long-term CGSBs, with initial capital of RMB100bn. With a 20-year lifespan, the fund provides stable, long-cycle capital for tech startups. It strategically targets frontier and high-growth sectors, including integrated circuits, AI, biopharmaceuticals, quantum technology and 6G communications, further supplementing state capital support for early-stage AI innovation.

A Bloomberg report on a RMB2.0trn plan funded by ultra-long CGSBs

Recent news reports suggest Beijing might rely more on ultra-long CGSBs to support the AI sectors. For example, on 9 June 2026, Bloomberg reported that the Chinese government is drafting a RMB2.0trn plan to establish a cohesive nationwide network of data centers over the next five years. The network will rely on domestic suppliers for at least 80% of core technology, including AI chips from Huawei, and will be predominantly operated by state telecom giants, including China Mobile and China Telecom. When factoring in associated power grid infrastructure investments, total project spending is likely to reach at least RMB5.0trn. Funding will primarily come from ultra-long central government special bonds and state funds designated for strategic industries, supplemented by bank loans and private capital.

The “new policy financing tools”

To arrest the sharp decline in investment, Beijing introduced “new policy financing tools (NPFT)”, which were launched in September 2025 with an initial quota of **RMB500bn** and an additional RMB800bn in the fiscal budget for this year. Like the previous two similar schemes in 2015-17 and 2022, these new tools are designed to channel equity financing from three policy banks to investment projects. Unlike the previous two rounds that focused on conventional infrastructure projects, the current program prioritizes the digital economy, AI and consumer infrastructure construction. The initial RMB500bn funding quota was divided up as follows: RMB250bn for China Development Bank (CDB), RMB150bn for Agricultural Development Bank of China (ADBC) and RMB100bn for the Export-Import Bank of China (CEXIM). Specifically, CDB allocated 37.5% of its funds to the digital economy and AI sectors, while CEXIM designated 40% of its capital for these fields. Acting as a quasi-fiscal tool, policy bank financing clearly demonstrates the shift of focus of governmental spending toward the AI industries.

Crucially, these funds serve as project equity capital, delivering a substantial investment leverage effect. According to the NDRC, the initial RMB500bn fund is expected to drive over RMB7trn in total project investment, and the leverage effect could be similar to the additional quota of RMB800bn announced this year.

Local government funding for AI sectors has generally been contained

Compared with central government funding, local governments have deployed relatively less of their own funding to promote AI, as the property fallout continues to weigh on local fiscal conditions. In fact, a significant portion of local government bond issuance over the past three years has been allocated to replace local hidden debt or clean up arrears owed to the private sector.

The net financing of local government bonds totaled RMB5.4trn in 2025, including RMB0.8trn in general bonds and RMB4.6trn in special bonds. Nevertheless, only RMB140bn (merely 2.7%) was channelled into new infrastructure and strategic emerging industrial infrastructure. The proportion further declined to 1.0% in Q1 2026, reflecting limited direct local funding for AI investment in general.

That said, some local governments have managed to ramp up their investment significantly to benefit from the global AI boom. For example, amid the unprecedented global memory supercycle, in April 2026, China's central tech hub Wuhan unveiled a funding package of RMB260bn to support memory chips production expansion in 2026, targeting two major companies: YMTC and XMC.

Favorable financing conditions for AI Firms

In addition to direct state capital, China's financial system has also been supportive for the AI sectors. First, corporate financing costs have trended steadily downward. In 2025, according to the PBoC's Q1 2026 MPR, the overall financing cost of AI-related bond-issuing enterprises fell by about 35bp, outperforming the 24bp decline in average corporate loan rates, even though the 10y CGB yield rose by 18bp, reflecting policy-driven financing cost advantages for AI firms. Second, on funding structure, AI enterprises secured around RMB250bn in direct financing in 2025, with a notable expansion in medium- and long-term bond issuance. This provides stable, long-term capital for core technological R&D and production capacity expansion. Third, innovative financing tools

are rapidly expanding. The issuance scale of tech innovation bonds and other specialized instruments surged by over 71% in 2025, effectively diversifying financing channels and easing capital constraints for AI enterprises of various stages.

STAR market and Hong Kong stock market are fueling China's AI ambitions

Amid efforts to revive mainland stock markets and restore capital market confidence, overall IPO activity in China's A-share market has been largely suspended since early 2024. However, a steady stream of tech firms have been allowed to be listed and raise capital on the Shanghai Stock Exchange's STAR Market. Specifically, in the past year, leading domestic GPU designers Moore Threads (RMB8bn) and MetaX (RMB3.9bn), alongside advanced packaging leader SJ Semiconductor (RMB4.8bn) have all completed their IPOs, underscoring institutional support for equity financing of the chips and AI sectors.

In contrast with onshore, Hong Kong has deliberately relaxed its IPO regulations to revitalize its capital market and attract mainland companies, particularly in the technology sector. This policy shift has effectively spurred a wave of listings. Key examples include PCB maker Victory Giant Technology, which raised HKD23bn in April, the largest Hong Kong IPO year to date. Computing chip designer Montage Technology completed a dual listing in Hong Kong with an IPO of HKD8bn, while LLMs firms Zhupu AI and MiniMax raised HKD4.4bn and HKD5.5bn, respectively. Together, the onshore STAR Market and the offshore Hong Kong stock market have strategically channelled substantial capital into Chinese tech companies, supporting the rise of China's chips and AI sectors.

Other industrial incentive policies

Complementing high-profile fiscal and financial instruments, China might have also rolled out other industrial incentive schemes to counter external tech restrictions and enhance supply chain autonomy. For example, in December 2022, Reuters reported a proposed package of five-year, over RMB1trn in subsidies and tax credits to bolster domestic chip R&D and production capacity. In December 2025, Bloomberg disclosed a potential chip incentive program offering up to RMB500bn in subsidies and financial support, aiming to reduce reliance on overseas high-end chips and strengthen technological competitiveness amid US-China tech rivalry.

Private AI spending focuses on cloud services and LLMs

Complementing state-led fiscal and industrial investment, China's private sector also makes contributions to large-scale AI capex, primarily driven by leading cloud service providers (CSPs) and LLM developers. Annual AI capex from major domestic hyperscalers totals approximately RMB500bn, forming a dual-drive investment pattern alongside public funding and fueling the rapid expansion of domestic AI computing capacity.

ByteDance raised its 2026 AI capex plan to over RMB200bn, according to a report from the South China Morning Post in early May, a 25% increase from the RMB160bn preliminary budget discussed at end-2025. Alibaba commits industry-record long-term capital resources to AI and cloud infrastructure. In February 2025, the firm announced a three-year investment plan of over RMB380bn for cloud computing and AI hardware infrastructure, exceeding its total cumulative investment in this sector over the past decade and setting a new benchmark for private sector AI infrastructure spending in China. Importantly, in May 2026, Alibaba further signaled an upward revision of its investment roadmap, saying that its five-year AI infrastructure deployment budget will far surpass the previously announced RMB380bn, reflecting continuous upward adjustment of long-term AI capital deployment.

Other internet giants are also catching up or maintaining their spending trend. Tencent has recently accelerated its AI-focused capital outlays amid booming industrial demand. The company recorded RMB37bn in AI-related capex in Q1 2026, up 16% y-o-y and notably higher than Alibaba's RMB27bn for the same period. Tencent also vowed to boost full-year 2026 AI capital expenditure, according to Reuters, led by a stronger investment push in H2. Baidu maintains consistent long-term investment in indigenous AI innovation. Since the official launch of its Ernie Bot in 2023, Baidu's cumulative capital and R&D investment in the AI sector have exceeded RMB100bn, underpinning its continuous iteration of LLMs, autonomous driving technology and dedicated AI computing infrastructure.

Fig. 45: The decisive role of state capital in driving China's AI capex

Funding schemes	Funding size	Funding allocated to chips or AI-related sectors	Funding sources	Targeted areas
National Integrated Circuit Industry Investment Fund ("Big Fund")	Phase I: RMB139bn (Sep 2014) Phase II: RMB204bn (Oct 2019) Phase III: RMB344bn (May 2024) A sum of RMB687bn	Fully	Ministry of Finance, China Development Bank, six state banks, and leading central SOEs such as China National Tobacco and China Mobile	Phase I: Chip manufacturing, foundries Phase II: more upstream, including chipmaking equipment, and chip design, packaging and testing Phase III: A more full AI supply chain, including memory chips, lithography equipment, LLMs such as DeepSeek
National AI Industry Investment Fund	RMB60bn (Jan 2025)	Fully	"Big Fund" Phase III and Guozhitou (Shanghai) Private Equity Fund Management	AI chips, memory chips, AI applications
National Venture Capital Guidance Fund	RMB100bn (Dec 2025)	Partially	Ultra-long central government special bonds	Frontier sectors: including chips, AI, biopharmaceuticals, quantum technology, and 6G communications
Ultra-long central government special bonds	2024: RMB1.0trn 2025: RMB1.3trn 2026: RMB1.3trn	Partially, under "Two Majors" (major national strategies and security enhancement in major areas)	Issued by central government (Ministry of Finance)	The RMB800bn "Two Majors" in 2025 mainly covered transportation and energy. For the RMB800bn "Two Majors" in 2026, the first batch was RMB390bn, still prioritizing types of projects similar to 2025. However, for the second batch of RMB217bn announced in April 2026, AI was explicitly identified as a key supporting area
"New Policy Financing Tools"	RMB500bn (Sep 2025) RMB800bn (Mar 2026) A sum of RMB1.3trn	Partially	Three policy banks: China Development Bank (CDB), Agricultural Development Bank of China (ADBC), and Export-Import Bank of China (CEXIM)	Digital economy, AI, low-altitude economy, consumption infrastructure, green sectors, the agricultural sector and the rural areas, transportation and logistics, and industrial parks. The initial RMB500bn: RMB250bn for CDB, RMB150bn for ADBC, and RMB100bn for CEXIM, with about 40% allocated to the digital economy and AI sectors. Funds serve as project equity capital, delivering a substantial leverage effect, with the initial RMB500bn expected to drive over RMB7trn in total investment
Local government special bonds	2024: RMB4.0trn+RMB0.4trn 2025: RMB4.4trn+RMB0.5trn 2026: RMB4.4trn	Partially	Issued by local governments	Municipal infrastructure, industrial parks, transportation, environment protection, energy, state purchase of properties Funds could be served as project equity capital, while a large portion of funding in recent years have been used to swap out hidden debt or clean up arrears owed to the private sector, rather than direct investment

Source: Nomura Global Economics.

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China: A property market “K-shape” is materialising

In our recent thematic note (see *China: AI boom, property bust and K-shapes*, 27 May 2026), we stated that, “As the fruits of AI-driven growth are mainly reaped by a few selected ‘smart’ cities, especially the four top-tier ones, a real property market recovery may only take place in those cities, especially as property restrictions there have been lifted.” Recent housing data show an evident geographic divergence and lend support to our view. Housing prices in a handful of “smart” cities show clear signs of stabilization, while price declines in most lower-tier cities have worsened. On net, overall housing prices have fallen at a faster pace, leading to heightened downward pressures on aggregate *domestic demand*. This supports our views that the stabilization across a few large cities cannot fully offset the weakness in other cities, and that the AI boom might not be a cure for China’s economic woes, inflicted largely by the property bust. Beijing still may eventually be impelled to step up policy measures to clean up the bad debt in the property sector and speed up fiscal reform to support those cities that have been left behind.

Clearer signs of price stabilization in “smart” cities, especially those in the top tier

Amid the AI boom, existing home prices in tier-1 cities have shown further signs of stabilization, with three consecutive months of 0.4% m-o-m gains, while a couple of tier-2 cities have improved mildly. Shanghai emerged as the best performer among the NBS 70 surveyed cities, with existing home prices rising by 0.6% m-o-m in May and a cumulative gain of 1.9% from the January lows. Shenzhen reported a 0.6% gain in May, on par with Shanghai, backed by the latest *easing* of home purchase restrictions. Beijing and Guangzhou also posted consecutive mild price upticks. Hangzhou and Hefei are among the few tier-2 cities showing tentative positive market signals. By contrast, housing price declines worsened in most lower-tier cities, leading to a wider decline in national average housing prices again to 0.26% m-o-m in May, after the price decline narrowed over four straight months to a 0.23% decrease in April.

Property sales and investment deteriorated in April-May

Despite signs of stabilization in tier-1 cities, national property indicators have broadly worsened in recent months, pointing to a deeper contraction in Q2. Property investment growth deteriorated markedly to -22.3% y-o-y in April-May from -11.2% in Q1. Growth of new home sales by floor space fell to -11.4% y-o-y in April-May from -10.4% in Q1, while growth of new home sales by value increased to -8.7% from -16.7%, likely reflecting the recent stabilization in tier-1 cities, which account for about 5% of the national total by floor space and about 18% by value. In the first five months of this year, new home sales contracted by 10.8% by floor space and 13.5% by value, respectively, worsening from contractions of 8.7% and 12.6% in 2025, 47.7% and 55.5% below levels seen in January-May 2021. The top 100 developers *fared worse*. Their contract sales dropped by 20.1% y-o-y by floor space and by 15.3% by value in January-May, 84.3% and 77.1% below levels seen in January-May 2021.

Uneven wealth effects from higher stock indices

The AI boom is being reflected in higher stock prices, especially in tech-related sectors, as tech stocks now account for more than 30% of the total market capitalization of China’s A-share market. As financial centers in China, Shanghai and Shenzhen’s housing markets should benefit from the stock market rally through two channels: uneven wealth effects from equity price gains and improved compensation for financial professionals amid surging stock trading volumes. Although the buoyant stock markets have had limited nationwide wealth effects and a minimal overall economic impact, as we *predicted* in September 2025, some wealthy investors likely benefited disproportionately, widening the inequalities within the population.

A geographic “K-shape” across housing markets is in the making

Amid the AI boom, China's housing prices have displayed rising evidence of a geographic divergence (i.e., K-shape). Tier-1 cities have broadly stabilized, while a few tier-2 cities have improved mildly. In May, four tier-1 cities logged an average 0.4% m-o-m gain in existing home prices for three straight months. Shanghai and Shenzhen led with 0.6% monthly rises, backed by increased transaction volumes and shrinking housing inventories; Beijing and Guangzhou also posted consecutive mild price upticks. Private Centaline price indices further corroborate official price data. Hangzhou and Hefei are among the few tier-2 cities showing tentative positive market signals. By contrast, housing price declines worsened in most lower-tier cities, leading to a wider decline in national average housing prices.

Shanghai

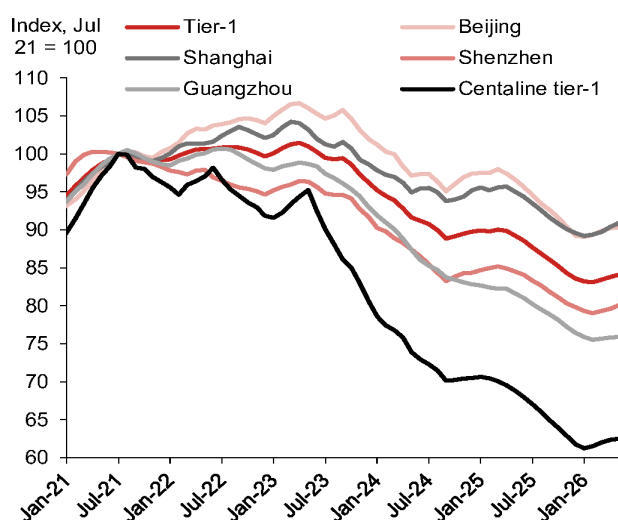
The financial hub Shanghai stands out as the strongest performer among all tier-1 cities, as well as all 70 cities surveyed by NBS. Its existing home prices rose 0.6% m-o-m in May (Figure 46), extending the uptrend to four consecutive months, with a cumulative gain of 1.9% from the low in January. These steady price gains are firmly backed by robust transaction volumes. On a year-on-year basis, secondary home transaction volumes in Shanghai grew by a moderate 1.3% in Q1, before rising notably to 22.7% in April, 30.9% in May, and maintaining a strong 26.1 growth in the first 20 days of June. On 10 May, Shanghai recorded a secondary home transaction volume of 1,664 units, hitting *another* five-year high.

Meanwhile, housing prices are underpinned by the sharp decline in housing listings. As of 31 May, data from *Anjuke* show that Shanghai's active existing home listings have fallen to 309,205 units, which represents nearly a 20% y-o-y drop. Moreover, compared to a few months ago, Shanghai's housing price stabilization was not just supported by small and old existing homes. Statistics from *Lianjia* revealed a noticeable shift: in May, transactions of housing priced between RMB5-8mn jumped by 9.3% m-o-m, while transactions of properties priced below RMB3mn dipped by 2.6% m-o-m.

Shenzhen

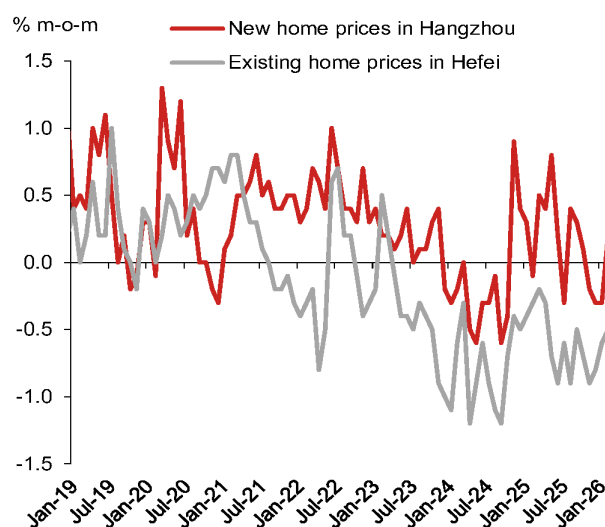
Property markets in Shenzhen, as another financial hub and headquarters to global tech giants like Huawei, also experienced substantial price appreciation in May, with existing home prices climbing by 0.6% m-o-m, on par with Shanghai. This represents three straight months of expansion and amounts to a cumulative gain of 1.3%. Transaction volumes have staged a notable turnaround: after a 15.3% y-o-y decline in Q1, transaction volume growth turned positive, rising to 1.7% in April and then increasing further to 17.2% in May; it has since held steady at 11.4% in the first 20 days of June. This recovery is partly attributable to further relaxation of home purchase restrictions unveiled on *30 April*.

Fig. 46: Existing home prices for tier-1 cities



Note: Existing home prices reported for each tier-1 city are from the NBS.
Source: Centaline, NBS, Wind, Nomura Global Economics.

Fig. 47: Home prices in Hangzhou and Hefei



Source: NBS, Wind, Nomura Global Economics.

Other two tier-1 cities

Housing prices in the remaining two tier-1 cities have also stabilised notably, especially in Beijing. Although Beijing's price change in May stood at a modest gain of 0.1% m-o-m, it has achieved four consecutive months of sequential increases, with a cumulative gain of 1.4%, the second highest among all tier-1 cities. Guangzhou's housing prices have rebounded for three consecutive months, posting a total increase of 0.5%.

Evidence from private data

Official price trends are well corroborated by more volatile independent market indicators. Based on the Centaline Leading Index (CLI), which is compiled based on existing home prices, home prices in Shanghai, Beijing, Shenzhen and Guangzhou have rebounded by 4.5%, 3.0%, 2.3%, and 0.3%, respectively, in May from their January lows, with an average gain of 2.5% for the four tier-1 cities over this period.

Housing markets in a couple of tier-2 cities also improved, but mildly

A small number of second-tier cities have also exhibited tentative positive market signals, including Hangzhou and Hefei.

In Hangzhou, the home of DeepSeek and Alibaba, the decline in existing home prices has been narrowing consistently since last November, and the market finally stabilized in May. Notably, the city's new home market has outperformed remarkably: new home price growth turned positive in February and has since continues to rise, with a 0.5% m-o-m gain in May (Figure 47), ranking first among the 70 major monitored cities by the NBS. Given the absence of a substantial pickup in overall transaction volumes, this outstanding new home price growth is presumably driven mainly by high-end luxury property transactions.

In Hefei, which has secured a vital role in robotics and memory fabrication (e.g., CXMT), existing home prices in March posted their first sequential gain in three years, with a 0.2% m-o-m increase, followed with a 0.1% m-o-m gain in April and flat prices in May, showing initial signs of market stabilization. According to Hefei's housing authority, market sentiment picked up notably in March. Floor space of new and existing home sales jumped by 100.4% m-o-m and 112.9%, respectively, in March, with the year-on-year change of existing home sales at 7.9%.

The overall home price decline widened again in May

Despite steady home price gains of 0.4% in tier-1 cities, average existing home prices for the overall 70 cities declined by 0.26% m-o-m in May (Figure 48), worsening again after price declines narrowed over four straight months to a 0.23% decrease in April. The larger decline was driven by lower-tier cities, as price declines in tier-2 widened to -0.19% m-o-m in May from -0.10% in April, while the declines in tier-3/4 cities remained the deepest and were unchanged at -0.35%.

Among the 70 cities, 10 cities recorded month-on-month increases in existing home prices in May, less than the 12 recorded in April and 13 in March. Although the number of cities reporting year-on-year new home prices gains increased to 16 in May from 14 in March-April and 10 in February, we believe existing home prices might better reflect the home price trends in China, as prices of new home can be distorted by the rising share of luxury housing and regulatory factors.

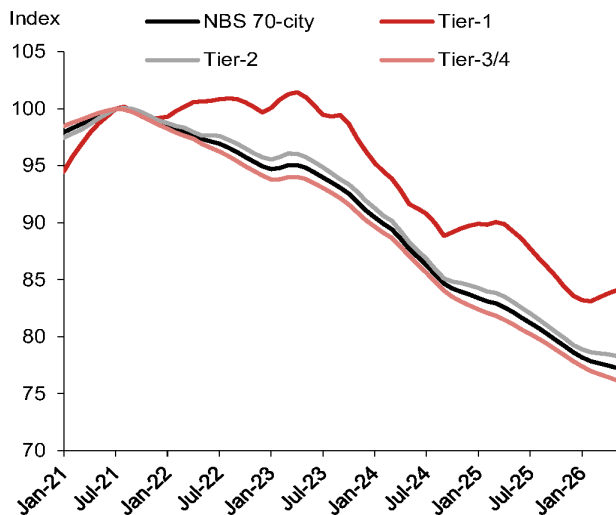
The home price data for May are largely in line with the Iceberg index, a leading indicator based on the lowest listing housing prices, which recorded a 0.3% m-o-m decline in **May**, following a 0.4% decrease in April. As the Iceberg index weekly data indicated a decline of 0.4% m-o-m in the first two weeks of June, we see a limited rebound in June.

Property sales and investment data remained in a steep contraction

As tier-1 cities account for a small portion of national new home sales, especially by floor space, the stabilization in those cities is not sufficient to fully offset the national property downturn.

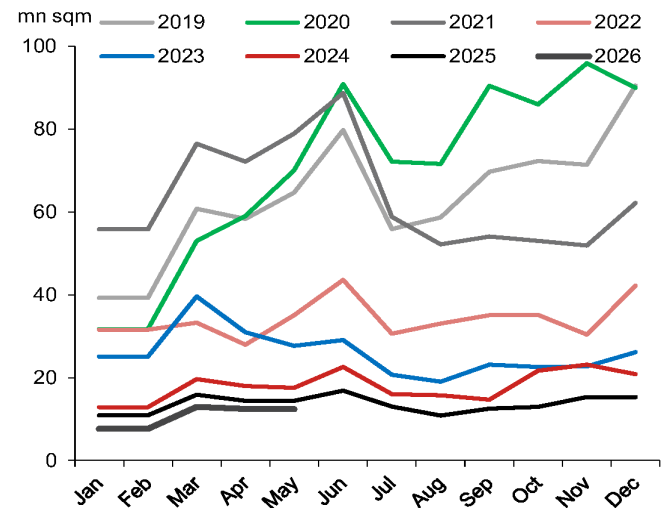
Indeed, property investment growth worsened to -24.3% y-o-y in May from -20.1% in April, below the market consensus forecast of -15.0% but close to our more cautious forecast of -20.0%. New home sales growth fell to -13.1% y-o-y by floor space and to -9.5% by value in May from -9.5% and -7.7%, respectively, in April. For other major property indicators, growth of new home starts, new home completions and funds for property investment reached -24.6% y-o-y, -19.9% and -21.5%, respectively, in May, compared with -26.6%, -18.8% and -21.8% in April.

Fig. 48: Existing home prices: K-shape in the making



Source: NBS, Wind, Nomura Global Economics.

Fig. 49: New home sales volume: CRIC's top 100 developers



Note: January and February data are presented as the same value as an average of these two months to smooth out LNY distortions.
Source: CRIC, Nomura Global Economics.

April-May data point to a likely deterioration in Q2. Growth of property investment worsened markedly to -22.3% y-o-y in April-May from -11.2% in Q1. Growth of new home sales by floor space fell to -11.4% y-o-y in April-May from -10.4% in Q1, while growth of new home sales by value increased to -8.7% from -16.7%, likely due to the recent stabilization in tier-1 cities, which account for about 5% of the national total by floor space and about 18% by value.

In the first five months of this year, new home sales by floor space and new home sales by value contracted by 10.8% and 13.8%, respectively, worsening from -8.7% and -12.6% in 2025, 47.7% and 55.5% below January-May 2021 levels.

Contract sales of the top 100 developers painted a *gloomier* picture. In detail, by floor space, sales growth fell slightly to -13.8% y-o-y in May from -13.5% in April (Figure 49), while by value, sales growth increased markedly to -0.2% y-o-y in May from -8.9% in April, with their year-to-date changes at -20.1% and -15.3%, respectively. Developers' contract sales by floor space and by value are 84.3% and 77.1%, respectively, below January-May 2021 levels.

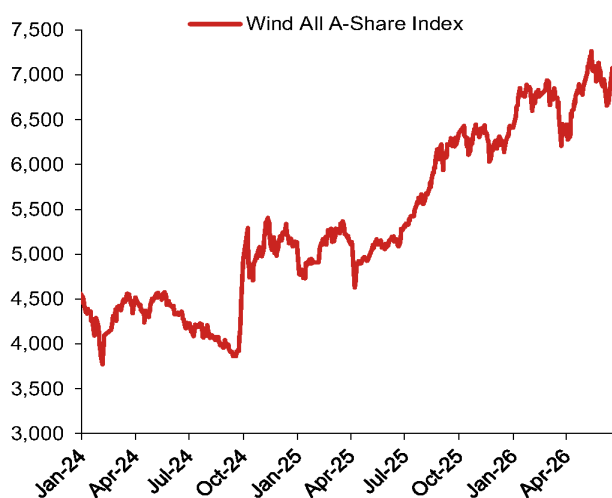
Wealth effects from rising stock indices

The AI boom is resulting in higher stock prices, especially for tech-related sectors. At the 2026 Lujiazui forum on 17 June, Wu Qing, chairman of the China Securities Regulatory Commission, said that tech stocks now account for more than 30% of the total market capitalization of China's A-share market, and tech companies make up 45% of listed firms with a market cap exceeding RMB100bn. As financial centers in China, housing markets in Shanghai and Shenzhen should benefit from the stock market rally through two channels: uneven wealth effects from equity price gains and improved compensation for financial professionals amid surging stock trading volumes.

- On wealth effects, from July 2025 to 18 June 2026, the Wind All-A Index, a holistic benchmark tracking the overall performance of all A-shares listed on the Shanghai, Shenzhen and Beijing stock exchanges, increased by 33.2% (Figure 50), which should have driven some wealth effects. The stock price retreat in March due to the Middle East conflict has already been fully recouped. According to *Bloomberg*, the stock rally was mainly driven by funds from high net-worth individuals, rather than inflows from household savings. Although the stock market rally in H2 2025 resulted in limited nationwide wealth effects and a minimal overall economic impact, as we *predicted* in September 2025, some wealthy investors likely benefited disproportionately.
- The surge in stock trading likely pushed up overall brokerage revenues, even though commission rates have declined over the last decade, and boosted the incomes of

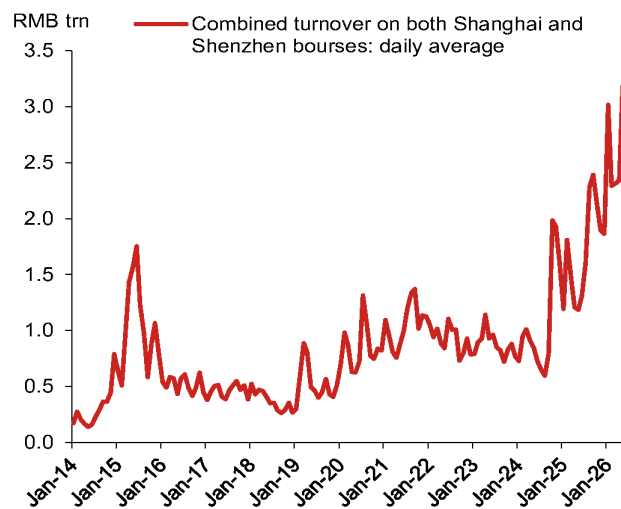
financial professionals. Daily average of stock trading volumes surged to new highs of RMB2.8trn in Q2 (as of 18 June) and RMB2.6trn in Q1 2026 (Figure 51), after jumping to RMB2.0trn in Q4 and RMB2.1trn in Q3 from RMB1.2trn in Q2 2025.

Fig. 50: Rising stock indices



Source: Wind, Nomura Global Economics.

Fig. 51: Surging stock trading volume: monthly average



Source: Wind, Nomura Global Economics.

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India: Decoding the FCNR(B) scheme

We expect the scheme to garner a sizeable USD55bn in 2026, boosting BOP inflows in Q3 and injecting banking liquidity.

- **FCNR(B) scheme:** The RBI announced a “bazooka” FCNR(B) measure to attract USD inflows from the Indian diaspora last week. Operational details have been released, and fresh FCNR(B) deposits made during 8 June–30 September 2026 will be eligible for the RBI swap facility. Banks have published FCNR(B) USD deposit rates in the range of 5.5-7.0%, up from 2.6-4.0%.
- **Nomura's estimate:** We estimate the 2026 FCNR(B) scheme could attract USD55bn in inflows, with the majority of this likely in August-September. Compared to 2013, while USD rates are much higher, the 2026 scheme will also provide leverage to investors, which will boost returns. India's diaspora has risen by 70% since 2013 and thus provides a wider pool of investors. The past four diaspora schemes confirm that the country risk premium demanded by investors of Indian origin tends to be lower.
- **BOP impact:** The BOP impact from the FCNR(B) deposit inflow will be slightly smaller than the headline inflow, as there will be some reallocation from the NRE account (lower) to the FCNR(B) account (higher). However, we expect the net NRI deposit accretion to rise from USD14bn in 2025 to USD58.8bn in 2026. The FCNR(B) inflows will boost banking capital (under the capital account), push BOP into a surplus in Q3 (July-September) and plug India's earlier anticipated BOP deficit.
- **Banking sector:** As banks swap USD deposits with the RBI, this should improve their INR liquidity positions over next four months, reducing their reliance on the higher cost certificates of deposit. Banks can increase lending (if demand exists), invest in government securities (beyond SLR) or deploy in other higher-yielding assets (corporate bonds, commercial paper).

Overall, the FCNR(B) 2026 scheme is well-timed to address two critical macro challenges: plugging the BOP deficit and easing onshore funding constraints.

Fig. 52: India's foreign currency deposit mobilization schemes - past and Nomura estimates for 2026

Scheme	Year	Scheme details						Memo items				
		Amount Raised				Tenure	Coupon offered (USD)	US 2yr yields	INR deposit rates (3-5 y)	Private remittance (annual)	Outstanding NRI deposit	Indian diaspora (NRI+PIO)
		USD bn	% of GDP	% of remittance	% of O/S NRI deposit							
India Development Bond (IDB)	1991	1.6	0.6	48.6		5	9.5	6.5	13.0	3.3		~13-14 (approx)
Resurgent India Bonds (RIB)	1998	4.2	1.0	42.0	30.9	5	7.8	4.7	11.0	10.0	13.6	~15-16 (approx)
India Millennium Deposit (IMD)	2000	5.5	1.2	41.8	36.2	5	8.5	5.7	9.8	13.2	15.2	17.0
Foreign Currency Non-Resident Bank (FCNR(B))	2013	26.0	1.4	40.0	38.3	3+	4.4	0.3	8.9	65.1	67.9	21.9
FCNR(B) - Nomura estimate	2026	55.0	1.4	34.1	33.2	3-5	~6	4.0	6.4	161.1	165.7	37.3

Source: CEIC, World Bank, Bloomberg, MEA, media reports, and Nomura Global Economics.

FCNR(B) details announced

At its 6 June policy meeting, the RBI announced several measures to attract net capital inflows, including the “bazooka” Foreign Currency Non-Resident Bank or the FCNR(B) scheme (see [India: Policy bazooka for managing currency prudently leaves out policy rate](#), 6 June 2026). An FCNR(B) account is a fixed-term deposit for Non-Resident Indians (NRIs) and Persons of Indian Origin (PIOs) that is held in a foreign currency, is protected from exchange rate fluctuations and earns tax-free interest in India. This scheme aims to offer higher interest rate foreign currency deposits to the large Indian diaspora abroad, with the objective of attracting large capital inflows, funding the balance of payments and easing currency depreciation pressures.

The RBI has since [announced](#) more details on the FCNR(B) deposit scheme, and banks

have started revealing their FCNR(B) deposit rates. In this note, we discuss the operational details of the FCNR(B) scheme, our estimate of the total amount that could be deposited and the impact on India's balance of payments and the banking system.

Operational details of the FCNR(B) scheme

The operational details of the FCNR(B) scheme and the RBI swap facility are as follows:

- **Eligibility:** The scheme applies to all fresh FCNR(B) deposits made between 8 June and 30 September 2026.
- **Tenor:** Deposits should have a minimum tenor of 3 years, and a maximum of 5 years (including renewed deposits upon maturity).
- **Currencies:** Deposits can be made in any freely convertible currency, but the RBI swap facility will be available in USD only.
- **Swap mechanism:** Banks will sell USD to the RBI at spot and simultaneously agree to buy back at the same rate (par swap) at maturity. The swap facility will be open until 16 October for deposits made by 30 September.
- **Lock-in period:** Underlying deposits have a 1-year lock-in; premature withdrawal is allowed after 1 year, but RBI swaps cannot be cancelled.
- **Regulatory relief:**
 - RBI will bear the full hedging cost until 30 September 2026.
 - FCNR(B) deposits will be exempt from mandatory reserve ratio requirements (CRR/SLR).
 - Banks can exclude their swap positions when computing their net open position (NOP-INR) limits.
 - Leverage: Provisions under paragraph 402 of RBI credit facilities directions are not applicable. Paragraph 402 states that banks cannot issue a non-fund based facility (guarantee or letter of credit) to any entity assuring redemption. Since this provision is not applicable for FCNR(B), it should enable banks to offer leverage on these deposits.

Nomura's estimate on the likely inflow under FCNR(B) 2026

India has introduced four major diaspora bond schemes in the past:

- **1991:** India Development Bond (IDB)
- **1998:** The Resurgent India Bonds (RIB) scheme
- **2000:** India Millennium Deposit (IMD) scheme
- **2013:** FCNR(B) Swap Window

Box 1 and Figure 52 summarize these past four schemes, the coupons offered on USD deposits, the prevailing USD rates at the time and our estimate of the amount that could be raised via FCNR(B) in 2026.

The 2013 FCNR(B) scheme was a big success, due to low USD rates globally, as well as the leverage provided by banks to NRIs, which increased the annual returns to high teens on the invested amount. Today, USD rates are much higher, but with the RBI assuming the full hedging cost, USD deposits will be attractive to banks, provided they can raise money at a lower rate than INR deposits of a similar maturity. Currently, INR rates for a 3-yr fixed deposits are around 6.4% on average, so most banks are offering a FCNR(B) USD deposit rate of ~6% (Figure 53).

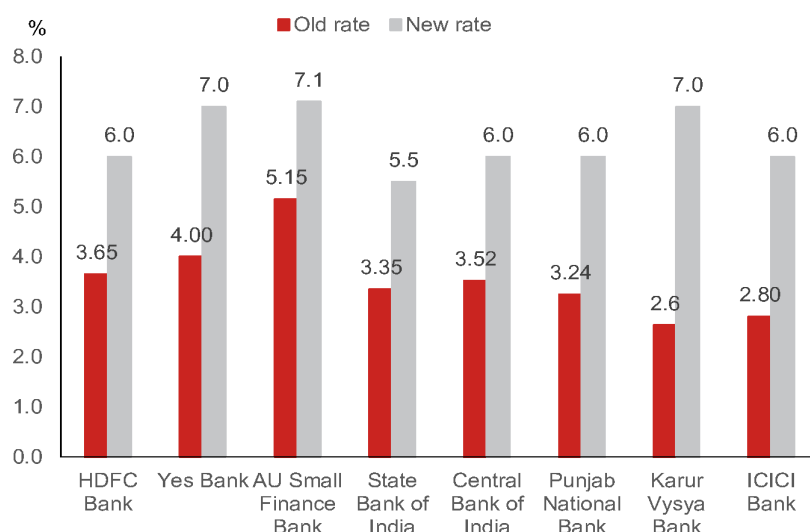
India's largest public sector bank, State Bank of India, has offered a 3-year FCNR(B) USD deposit rate of 5.5% (for deposits over USD1mn), private sector lender HDFC Bank will offer 6% and some smaller private sector banks are offering 7%. Depending on the leverage provided, this should boost returns on FCNR(B) deposits into the teens in 2026, which we believe will make them attractive even in a higher USD rate environment.

India's diaspora has also grown over the years. According to the Ministry of External Affairs, the population of overseas Indians stood at 37.3mn as of January 2026 (17.8mn NRIs and 19.5mn PIOs), up from 21.9mn in May 2012 (10mn NRIs and 11.9mn PIOs).

According to the World Bank's analysis of past diaspora bonds, the Indian diaspora "did not seek as high a country risk premium as markets would have demanded", likely reflecting a lower risk of default assigned by investors of Indian origin (see Development Finance via Diaspora Bonds, S. Ketkar and D. Ratha, *World Bank*, August 2007).

Using the annual private remittance inflow and outstanding NRI deposits as a proxy for India's rising diaspora income, we find that each of the past four diaspora schemes raised at least 40% of the total amount of annual remittance inflow (and 30-38% of outstanding NRI deposits). Considering higher USD rates globally, we believe the 2026 FCNR(B) scheme could conservatively garner ~USD55bn, which equates to 34% of annual remittances, 33% of outstanding NRI deposits and 1.4% of GDP.

Fig. 53: FCNR (B) rates announced by banks (3-year USD deposits)



Note: AU Small Finance Bank is for investment above USD500,000, and for State Bank of India, it is above USD1mn.

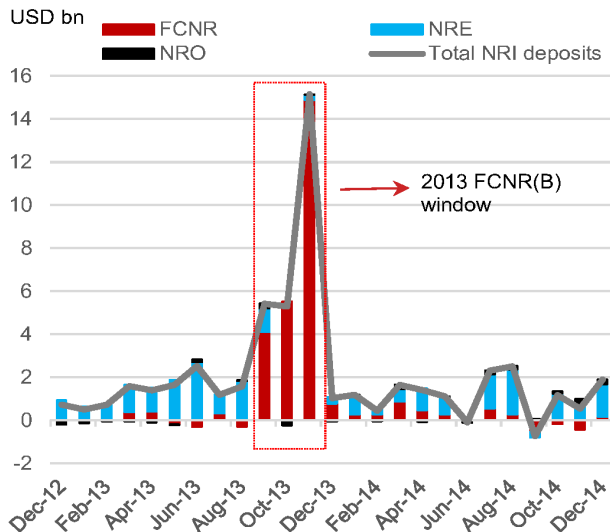
Source: Bank websites, media reports, and Nomura Global Economics.

BOP impact due to the FCNR(B) scheme

The BOP impact of the FCNR(B) scheme has some nuances to consider. Part of the rise in FCNR(B) deposits may simply reflect a reallocation from other NRI accounts (see [Box 2](#) for the three types of NRI deposit accounts). For example, in 2013, while FCNR(B) deposits rose by USD26.2bn, accretion into Non-Resident External Rupee Accounts (NRE) moderated by USD6.3bn, so the net increase in NRI deposits was a smaller but still sizeable USD21.2bn (Figure 54).

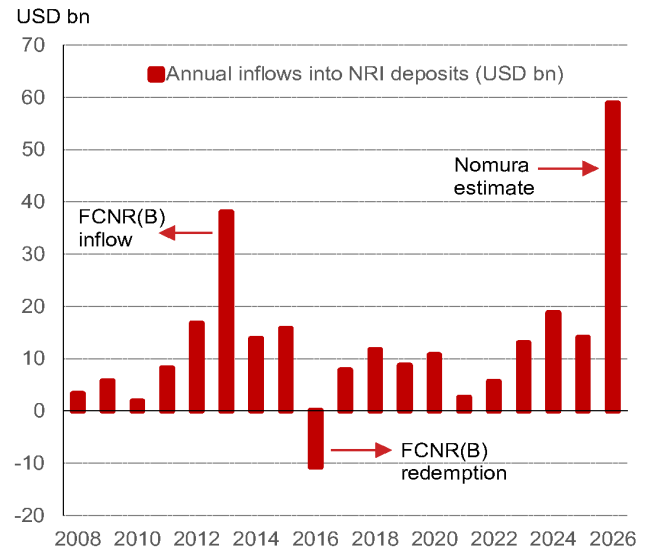
More recently, inflows into the NRE account have been smaller, but the outstanding amount is large and some reallocation is likely. We expect net NRI deposits to rise from USD14bn in 2025 to USD58.8bn in 2026, reflecting higher FCNR(B) inflows, partly offset by lower NRE account flows (Figure 55). These inflows will be frontloaded to take advantage of the RBI's swap window, so the entirety of this flow should occur within the June-September period.

Fig. 54: NRI deposit accretion during the 2013 FCNR(B) scheme



Source: CEIC and Nomura Global Economics.

Fig. 55: Nomura estimate of the likely accretion to NRI deposits in 2026

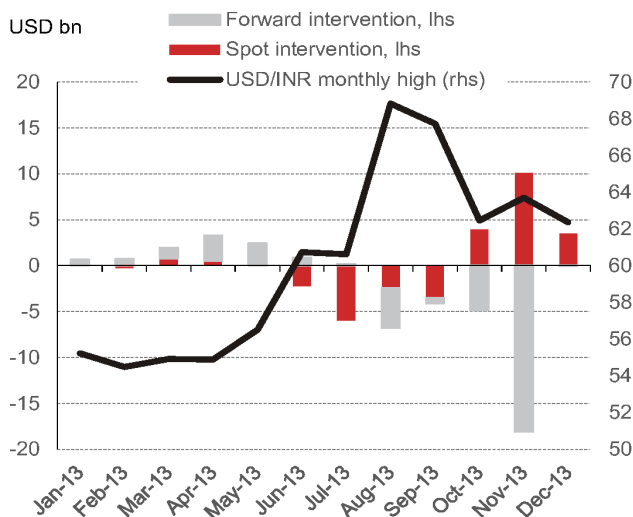


Source: CEIC and Nomura Global Economics.

In 2013, when banks sold the USD received under the scheme to the RBI under the swap window, the RBI net purchased USD in spot and INR appreciated, while the RBI's short USD forward book rose, reflecting the swap transaction (Figure 56). Under the BOP accounting methodology, the rise in FCNR(B) deposits is reflected in higher banking capital inflows under the capital account (Figure 57). In 2013, bank liabilities rose (higher NRI deposits), while their assets declined (as banks gave USD to the RBI).

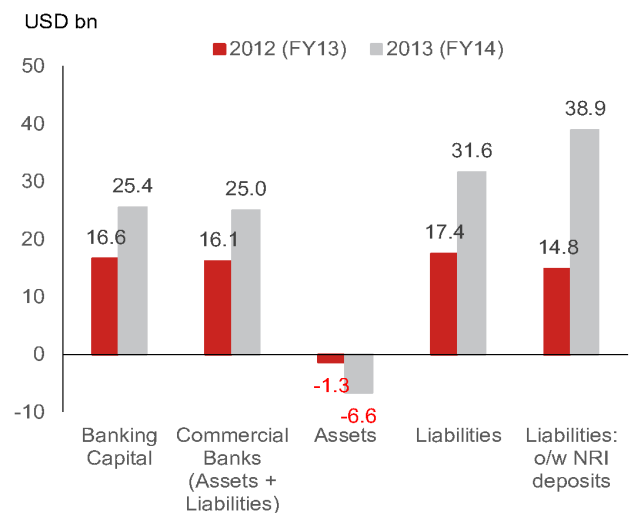
Given the parallels to the 2013 scheme, we expect similar dynamics in 2026. A majority of FCNR(B) inflows will likely come in the final two months (August-September), and the rise in banking capital (under the capital account) will be less than the rise in FCNR(B) deposits. However, this is more an accounting technicality, and USD inflows will likely be substantial over the next four months.

Fig. 56: RBI's spot and forward intervention in 2013



Source: CEIC and Nomura Global Economics.

Fig. 57: Impact of FCNR(B) 2013 on India's banking capital under BOP capital account



Source: CEIC and Nomura Global Economics.

Impact on the banking system

India's banking system has been facing the challenge of an elevated credit-deposit ratio in recent years. As banks swap the FCNR(B) USD deposits with the RBI, their INR liquidity positions will improve over the next four months. Improved liquidity conditions should reduce banks' reliance on higher-cost certificates of deposit for funding. That said, liquidity typically tends to be concentrated in the hands of a few banks, so the impact may be uneven.

With FCNR(B) USD inflow swapped into INR via the RBI's swap facility, banks can: 1) lend more (if credit demand exists), benefiting from CRR/SLR exemptions; 2) invest in government securities (beyond mandatory SLR requirements); 3) deploy in other higher-yielding assets (corporate bonds, commercial paper etc.). In a comfortable liquidity environment, banks would likely prioritize lending and higher-yielding investments rather than parking funds in low-yielding overnight markets.

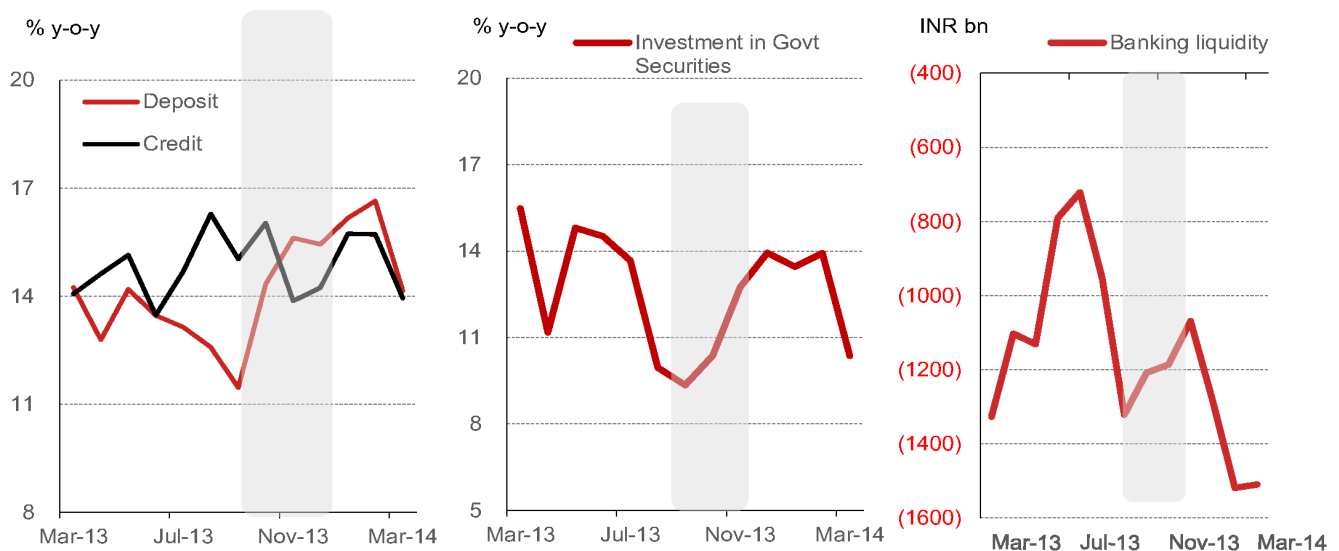
In 2013, after the FCNR(B) scheme was announced, bank deposit growth picked up by 2.9pp between August and December 2013, while credit growth was largely stable, which led to a moderation in the credit-deposit gap (Figure 58). Bank investment in government securities rose sharply by 4pp during the same period. However, despite the liquidity injection via the FCNR(B) swap, banking system liquidity did not improve, reflecting a deliberate policy choice at that time to keep liquidity tight to guard against inflation risks.

Banking conditions are slightly different today (Figure 59). While credit growth is outpacing deposit growth, and growth in bank investment in government securities has moderated over the past year, banking liquidity is already in a surplus. With the quantum of FCNR(B) deposits likely to be much larger in 2026, and recent policy guidance from the RBI to "ensure appropriate liquidity", there should be a more salutary impact on banking liquidity and a possible pickup in bank investment in government securities and other higher-yielding assets.

Conclusion

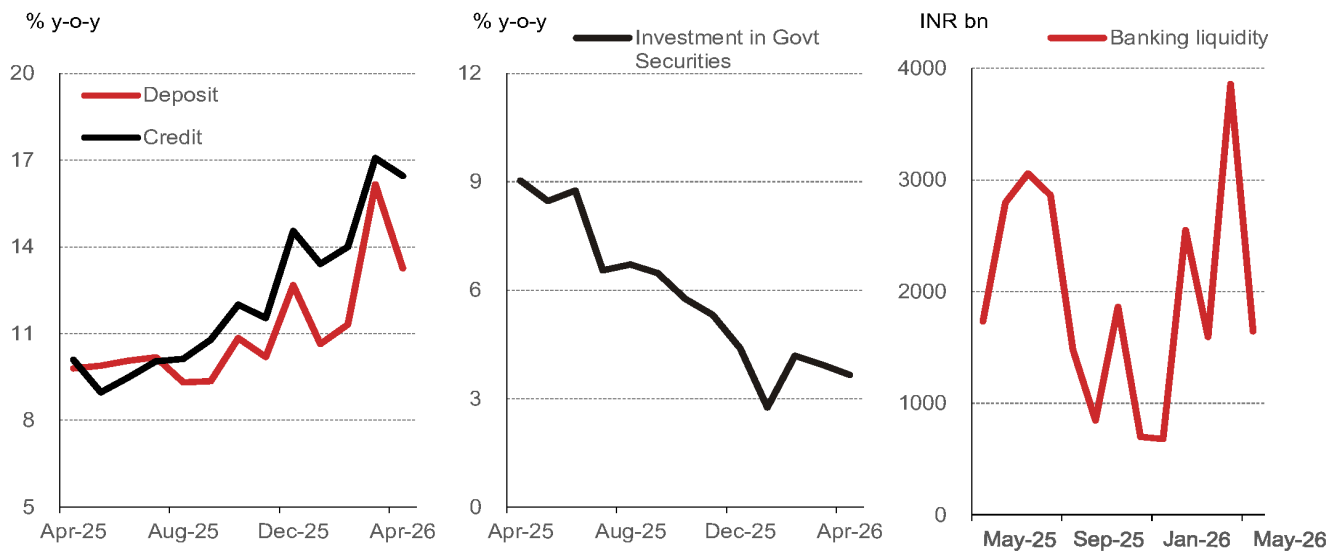
Overall, we expect the FCNR(B) scheme to be a success and, along with other measures to boost net capital inflows, it should help plug a large part of India's balance of payments deficit we had anticipated for this year. Moreover, this scheme should boost banking liquidity and ease onshore funding constraints. Therefore, the FCNR(B) scheme is well-timed and solves two of India's macro problems.

Fig. 58: 2013 FCNR(B) scheme: Impact on bank credit-deposit growth, investment in government securities and banking liquidity



Note: Shaded area shows the period of FCNR(B) inflows.

Source: CEIC, Bloomberg, and Nomura Global Economics.

Fig. 59: Starting conditions for the banking system in 2026: credit-deposit growth, investment in government securities and bank liquidity

Source: CEIC, Bloomberg, and Nomura Global Economics.

Box 1: India's past diaspora bonds

India has introduced four major diaspora bond schemes in the past:

1991: India Development Bond (IDB)

The IDB scheme was launched in July 1991 during India's severe BOP crisis, when FX reserves had dwindled to barely two weeks of import cover. Under the scheme, India's largest public sector bank, State Bank of India, offered 5-year bonds in two currencies (USD and GBP) at attractive interest rates of 0.5% above the prevailing 3-year FCNR deposit rates. The coupon on USD bonds was set at 9.50%. The target investors were NRIs and Overseas Corporate Bodies (OCBs). Around USD1.6bn (~ 0.6% of GDP) was deposited through the scheme, providing critical foreign exchange support during one of India's most challenging economic periods and helping pave the way for the landmark economic reforms that followed.

1998: The Resurgent India Bonds (RIB) scheme

The RIB scheme was launched in August 1998 following India's nuclear tests and subsequent sanctions, and amid regional contagion due to the Asian Financial Crisis. Under the scheme, State Bank of India offered 5-year tax-free bonds in three currencies (USD, GBP and Deutsche Marks) at attractive interest rates of 7.75-8.25%. The target investors were NRIs and PIOs. Around USD4.2bn (1.0% of GDP) was raised through the scheme.

2000: India Millennium Deposit (IMD) scheme

The IMD scheme was launched in October 2000 to capitalize on millennium optimism and NRI sentiment. Under the IMD scheme, foreign-currency deposits in a 5-year tenor were made in USD, GBP and EUR, at interest rates of 6.85-8.50%. The target investors were NRIs and PIOs. Around USD5.5bn (1.2% of GDP) was raised through the scheme.

2013: FCNR(B) Swap Window

The FCNR(B) scheme was launched in September 2013 after the "taper tantrum" crisis, when the rupee hit record lows and FX reserves were under pressure. The scheme was designed to attract long-term dollar deposits from NRIs. The scheme involved a window to the banks to swap fresh FCNR(B) dollar funds, deposited in tenors of three years and over. The RBI had offered a special swap window at a 3.5% cost, significantly below market rates of ~6-7%. Only fresh FCNR(B) deposits made between 6 September 2013 and 30 November 2013 were eligible. The scheme meant an effective cost reduction for banks and offered high returns for NRIs through leveraged structures. The total amount raised was ~USD26bn (1.4% of GDP).

Box 2: Three types of non-resident Indian (NRI) deposits

1. NRE (Non-Resident External) Account: This account is designed for NRIs to deposit foreign earnings in India (converted to INR). Both principal and interest are fully repatriable (can be transferred abroad) without any restrictions. The interest earned is tax-free in India, making it attractive for parking overseas income. However, domestic credits from Indian sources are not permitted in this account.
2. NRO (Non-Resident Ordinary) Account: This account is intended for managing income earned within India, such as rent, dividends, pensions or other domestic earnings. While the account can hold Indian rupees, repatriation is limited to USD1mn per financial year for legitimate purposes, after tax compliance. Interest earned is subject to Tax Deducted at Source (TDS) in India.
3. FCNR (Foreign Currency Non-Resident) Account: This is a fixed deposit account (1-5 year tenor) maintained in foreign currencies (such as USD, GBP, EUR, JPY etc.) rather than in INR. Both principal and interest are fully repatriable, and the interest earned is exempt from Indian taxes. This account protects NRIs from exchange rate fluctuations, since deposits and withdrawals are in the same foreign currency.

These accounts cater to different needs – NRE for foreign earnings, NRO for Indian income and FCNR for foreign currency deposits – each with distinct repatriation and tax implications.

This report was originally published on 11 June 2026.

India: BoP swings – from deficit to surplus

Lower oil prices, gold import restrictions and measures to attract capital inflows could swing the BoP from a deficit to a surplus of over USD40bn in FY27.

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- **Phased policy response to external pressures:** Since May 2026, India has rolled out policy measures in broadly two waves; the first targets the current account (gold/silver import duty hikes, austerity advocacy) and the second bolsters the capital account through FCNR(B) deposit incentives, concessional External Commercial Borrowing (ECB) swaps and tax relief for FPIs investing in government securities. In this note, we explore the Balance of Payments (BoP) implications of these measures.
- **FCNR(B) scheme could attract ~USD55bn:** The RBI is fully absorbing hedging costs for banks raising 3–5 year foreign currency deposits from non-resident Indians (NRIs) who can access leverage, with CRR/SLR exemptions and deposit rates hiked to 6–7%. Based on the growing size and income of the Indian diaspora, inflows could conservatively reach USD55bn (1.4% of GDP), in line with the upper end of past FX mobilisation episodes.
- **ECBs via the public sector may add ~USD20bn:** A concessional forex swap at a fixed 1.5% rate could incentivise public sector companies to borrow abroad. Historical evidence shows a mixed impact on inflows from ECB liberalisation, determined by global conditions and domestic investment appetite.
- **Bond index inclusion focus:** The removal of capital gains and withholding taxes on FPI GSec investments, expanded FAR access to 15/30/40-year tenors and BIS tax exemptions are aimed at meeting Bloomberg's operational criteria. Inclusion could drive ~USD20–25bn of staggered inflows, though likely materialising only in FY28.
- **Gold/silver duty hikes could trim the current account by ~USD20bn:** Based on past experience, we estimate the 9pp increase in gold import duties could reduce gold imports by ~140 tonnes (~USD20bn). Silver import restrictions should lead to a further compression of ~USD1.5–2bn of imports, with the impact more modest, given silver's smaller share of total imports.
- **BoP outlook swings from deficit to surplus:** Taking policy actions into account, we reduce our FY27 current account deficit forecast to 1.9% of GDP from 2.4% and increase our capital account surplus forecast to ~2.3% of GDP (~USD94bn) from ~0.7% (~USD31bn). The net result is a BoP surplus of ~USD15bn in FY27, which marks a reversal from our prior forecast for a deficit of ~USD70bn.
- **BoP surplus with Brent at USD80/bbl:** Given the recent fall in oil prices, the BoP outlook looks even better. Assuming Brent oil prices average at USD80/bbl in the remaining months of FY27, we estimate India's current account deficit will narrow even further to 1.2% of GDP, and the BOP surplus will expand to USD43.6bn.

Since May, there has been a regular drumbeat of measures announced to address India's widening BoP deficit. *The initial measures* – like austerity advocacy and import restrictions and *duty hikes* on gold/silver imports – were primarily aimed at trimming the current account deficit (Figure 60). The second batch of announcements focused on bolstering the capital account (see *India: Policy bazooka for managing currency prudently leaves out policy rate*, 6 June 2026). The highlight has been the RBI fully bearing the hedging costs for banks seeking FCNR(B) deposits from Non-Resident Indians (NRIs) and Persons of Indian Origin (PIOs), who make foreign currency denominated deposits with domestic banks for which the interest is tax-free. A similar, but partial subsidisation of hedging costs has also been extended to public sector companies undertaking external commercial borrowings (ECBs). Additionally, taxes on FPI investment in GSecs have been done away with and their market entry requirements into bond markets has been relaxed. In this note, we discuss the impact of these measures on India's BoP dynamics.

Measures announced to narrow the BOP gap

#1. In pursuit of NRI deposits

Details of the FCNR(B) scheme

Onshore banks are seeking foreign currency deposits in a 3-5 year tenor from 8 June to 30 September, which they will be able to swap at par with the RBI for a lock-in period of at least one year. To further sweeten the deal, the RBI has exempted onshore banks from any reserve requirements, enabling them to deploy the deposits fully. It has temporarily removed the interest rate ceiling on FCNR(B) deposits with 3-5 years maturity – the

overnight alternative reference rate for the currency (or swap rate) plus 350bp. The restriction ensuring that the interest rates on Non Resident External (NRE) deposits (of 3 years and above) doesn't exceed comparable deposit rates on rupee term deposits has also been relaxed.

Banks have already raised their FCNR(B) deposit rates to 6-7% from ~3.50% before the interest rate liberalisation was announced (Figure 61). Importantly, NRIs are also allowed to raise leverage, which should ensure returns in the high teens, even in an environment of lower spreads between the US and Indian rates.

Impact on balance of payments

India has mobilised FX deposits four times in the past: 1991, 1998, 2000 and 2013, where it managed to raise ~0.6-1.4% of GDP worth of deposits (Figure 63). As we recently elaborated in our past report (see *India: Decoding the FCNR(B) scheme*, 11 June 2026), both the size and incomes of the Indian diaspora have increased materially since 2013. Consequently, we believe the 2026 FCNR(B) scheme could conservatively garner ~USD55bn (~1.4% of GDP, Figure 62).

If FCNR(B) deposits pick up, will remittances fall?

Not necessarily. Figure 65 shows generally that non-resident deposits and remittances inflows have been largely correlated historically, which suggests they may have both been impacted by common factors like incomes and the size of the Indian diaspora. However, remittances have surged over the past decade, even as non-resident deposits have lagged. Remittances may be linked more closely to persistent familial necessities, while falling NRI deposits could reflect the narrowing global interest rate differentials with India and NRIs diversifying their investments beyond Indian bank deposits.

To further investigate, we compare periods following the introduction of FX deposit mobilisation schemes to see if the increase in NRI deposits has been accompanied by a fall in remittances. We do not find strong evidence to suggest this hypothesis and, indeed, during these periods, there has been a slight pick-up in remittances (Figure 66). Consequently, we do not expect a drop in remittances in reaction to the FCNR(B) scheme.

#2. Attracting ECBs through public sector companies

Details of the measure

The RBI has offered a concessional forex swap arrangement to incentivise public sector companies to borrow abroad through ECBs for an average maturity of three years. It has also extended this to authorised dealers to access Overseas Foreign Currency Borrowings (OFCBs) for a minimum of three years. The swap tenor will be capped at five years, and the RBI will be undertaking it at a fixed rate of 1.5%.

Impact on balance of payments

In Figure 64, we consider the gross and net change in ECBs across the years for which we assess a major liberalisation has taken place in the regulations. We find that the measures have had a mixed impact, with the impact in some cases materialising with a lag. This reflects the sensitivity of ECB flows to other factors, like the global environment and the domestic investment appetite.

Reports suggest that PSUs could raise ~USD20bn through ECBs, with entities like Power Finance Corporation (PFC), National Thermal Power Corporation Ltd (NTPC), Indian Oil Companies (IOC), Steel Authority of India Ltd (SAIL) and Housing and Urban Development Corporation (HUDCO) evaluating raising of overseas funds (source: *Business Standard*, *Hindu Businessline*).

#3. Reducing market entry barriers into the bond market

Details of the measure

Three important steps were taken by policymakers to make India's bond market more attractive to foreign investors:

1. The government did away with the 12.5% long-term capital gains tax and 20% withholding tax on interest income for FPIs investing in GSecs.
2. Capital gains and interest income from the Bank for International Settlements (BIS) will now additionally be exempt from taxation.
3. The scope of the Fully Accessible Route (FAR) – which is an open-access channel for

foreign investors to trade in GSecs – has now been expanded to include new issuances of 15-, 30- and 40-year tenor GSecs and sovereign green bonds. We note that the overall investment limits of 6% of outstanding stock of central government securities and 2% of state government securities remains unchanged. Also, the existing “General” and “Long term” categories for FPI investments will be combined into a single investment limit.

Impact on balance of payments

FPIs have typically underutilised the investment limits of GSecs, with latest data placing their utilisation at ~17-18%. That said, these reforms seem to be squarely aimed at facilitating India's inclusion into the Bloomberg Global Aggregate Index, which tracks ~USD3trn in global assets (source: *The Economic Times*, *Bloomberg*). So far, Bloomberg has deferred India's inclusion owing to operational and market infrastructure reasons. We note that India is already part of indices like the JPMorgan GBI-EM Index (see *India rates and FX: IGBs are finally set to be included in the JPM GBI-EM indices*, 22 September 2023), the Bloomberg EM Local Currency Government Index and the FTSE Russell Emerging Markets Government Bond Index (EMGBI).

A potential inclusion in the Bloomberg Global Aggregate Index would likely lead to staggered inflows of ~USD20-25bn, assuming ~1% weighting allocated to India, but these flows would most likely not materialise until FY28.

#4. The impact of gold/silver import restrictions

In Figure 67, we examine the impact of higher import duties (15% from 6%) on gold imports (see *India: Gold and silver duty hiked to curb imports*, 13 May 2026). We find that, in previous episodes of import tightening, there has been a fall in gold imports, both in nominal and volume terms. In the past, a 1pp rise in gold import duties has, on average, coincided with a drop of ~USD2.5bn/40 tonnes in gold imports, although there are significant variations within episodes. In FY23, a ~4pp increase in customs duties led to a ~200 tonne fall in gold imports, while in FY20, a 2.5pp increase led to a ~263 tonne fall. In comparison, we conservatively assume a fall of ~140 tonnes this time around (for a 9pp rise in import duties). Based on forward gold prices, this amounts to a ~USD20bn drop in gold imports.

The impact of silver import restrictions is likely to be more muted, as it accounts for ~1.6% of overall imports. Assuming a 10% drop in silver import volume demand in FY27, we see a ~USD1.5-2.0bn fall in silver imports.

Impact on the balance of payments

In the run-up to these measures, we had projected a current account deficit at 2.4% of GDP in FY27. The tepid net FDI and FII flows led us to expect a massive BOP deficit of ~USD70bn.

Based on these dynamics, we reduce our FY27 current account deficit forecast to 1.9% of GDP from 2.4% (Figure 68). We have not changed our remittances forecast for FY27 much, but have pencilled a frugal ~USD21bn drop in gold and silver imports. For now, we have not modified our annual oil price assumption of ~USD95/bbl, but a sustained fall in prices could lead to a lower deficit.

On the capital account, we increase our forecasts significantly to a surplus of around 2.3% of GDP (~USD94bn) from ~0.7% (~USD31bn), driven by ~USD55bn in banking capital (owing to the FCNR (B) deposits), ~USD25bn of loans and incrementally higher FPI and FDI flows. Overall, this should leave India's balance of payments in a small surplus of ~USD15bn, which would represent a significant improvement from our previous forecast for a deficit of USD70bn.

If Brent oil stays at USD80/bbl

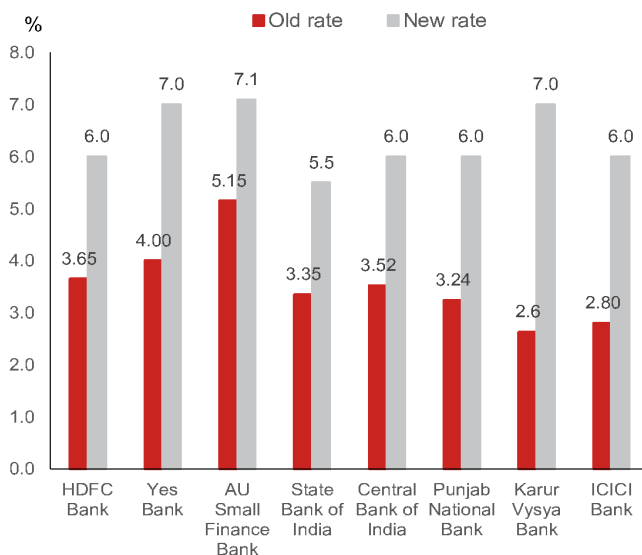
Given the recent fall in oil prices, the BoP outlook looks even better. Assuming Brent oil prices average USD80/bbl over the remaining months of FY27, we estimate India's current account deficit would narrow even further to 1.2% of GDP, and the BOP surplus would expand to USD43.6bn.

Fig. 60: BoP measures announced

Category	Measure	Mechanism
Current account	Higher import duties on gold/silver	Import duty on gold and silver to 15%, up from 6%. This includes a 10% basic customs duty (which was raised from 5%) and a 5% Agriculture Infrastructure and Development Cess (AIDC).
	Restrictions on gold/silver imports	Gold, silver jewellery imports under 'restricted' category, making it more compliance-heavy for importers.
	Increase in petrol/diesel prices	Prices of petrol increased by 7.3% and diesel by 8.2% cumulatively in a staggered manner.
	Austerity measures by government and broader public	PM Modi has appealed to citizens to reduce foreign travel, oil consumption and gold/silver purchases. Government departments have also been instructed to tighten belts.
	Acceleration of ethanol blending	Petrol blended with 85% ethanol (E85) has been rolled out to reduce oil imports.
Capital account	Lowering barriers for market entry for FPIs in the bond market	The government expanded the list of "specified securities" by including all new issuances of 15-, 30- and 40-year tenor G-secs, and sovereign green bonds. Restrictions on short-term investment, limit, concentration limit, and security-wise limits will be relaxed.
	Easier norms for individual investors	The investment limits for "Non Resident Indians (NRI)" and "Overseas Citizenship of India (OCI)" in equity markets have been increased and the facility has been extended to allow for individual "Persons Resident Outside India (PROI)."
	Tax benefits for FPIs	Investment by FPIs in G-secs will be exempted from income tax on any interest or capital gains to "ensure stable systematic inflow of durable, patient foreign capital and long-term investors."
	Encourage more ECBs	A facility of concessional FX swap will be provided to public sector companies to raise External Commercial Borrowing (ECBs) until 30 September.
	FX deposit mobilisation	Banks raising fresh 3-5 year FX deposits through the FCNR (B) window will receive RBI support for the entire hedging costs until 30 September. Governor Malhotra also mentioned that "dispensation" will be given to banks on mandatory reserve ratios, which means that banks will not need to allocate a fraction of these deposits as part of the Cash Reserve Ratio (CRR) and Statutory Liquidity Ratio (SLR) obligations.
	Outward FDI monitoring	RBI has been increasing its scrutiny of outbound FDI by Indian corporates.
Macro-prudential	Tighter Net Open Position (NOP) limits for banks	RBI has capped banks' net open positions in the rupee at USD100mn at the end of each day, limiting exposure to the NDF markets.
	Tighten norms on repatriation of export proceeds	The time for realisation of export proceeds is also to be restored to 9 months from 15 months.

Source: PIB, media reports and Nomura Global Economics

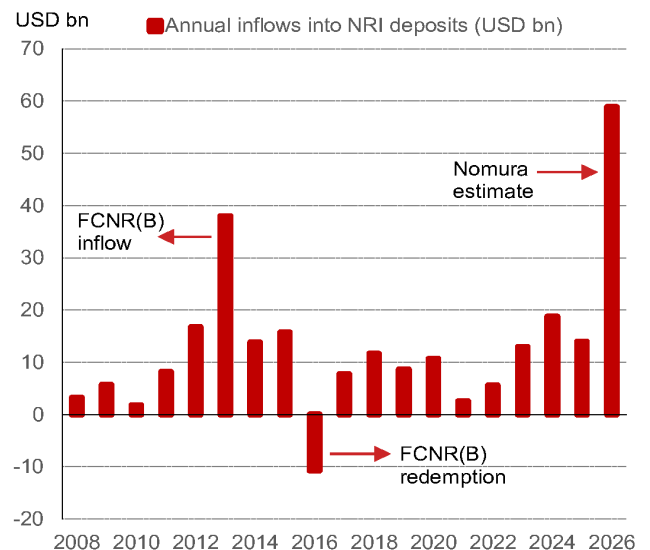
Fig. 61: FCNR (B) rates of banks (3-year USD deposits)



Note: AU Small Finance Bank is for investment above USD500,000, and for State Bank of India, it is above USD1mn.

Source: Bank websites, media reports, and Nomura Global Economics.

Fig. 62: Likely accretion to NRI deposits in 2026



Source: CEIC and Nomura Global Economics.

Fig. 63: India's foreign currency deposit mobilization schemes - past and Nomura estimates for 2026

Scheme	Year	Scheme details						Memo items				
		Amount Raised				Tenure	Coupon offered (USD)	US 2yr yields	INR deposit rates (3-5 y)	Private remittance (annual)	Outstanding NRI deposit	Indian diaspora (NRI+PIO)
		USD bn	% of GDP	% of remittance	% of O/S NRI deposit	years	%	%	%	USD bn	USD bn	mn
India Development Bond (IDB)	1991	1.6	0.6	48.6		5	9.5	6.5	13.0	3.3		~13-14 (approx)
Resurgent India Bonds (RIB)	1998	4.2	1.0	42.0	30.9	5	7.8	4.7	11.0	10.0	13.6	~15-16 (approx)
India Millennium Deposit (IMD)	2000	5.5	1.2	41.8	36.2	5	8.5	5.7	9.8	13.2	15.2	17.0
Foreign Currency Non-Resident Bank (FCNR(B))	2013	26.0	1.4	40.0	38.3	3+	4.4	0.3	8.9	65.1	67.9	21.9
FCNR(B) - Nomura estimate	2026	55.0	1.4	34.1	33.2	3-5	6.0	4.0	6.4	161.1	165.7	37.3

Source: CEIC, World Bank, Bloomberg, MEA, media reports, and Nomura Global Economics.

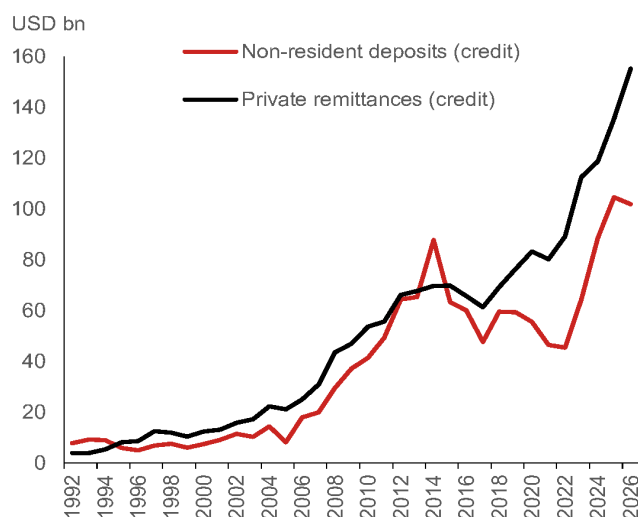
Fig. 64: Trends in External Commercial Borrowing (ECB)

	ECB inflows as per monthly data*	ECB inflows as per BoP data	Net ECB flows as per BoP data	Change in ECB inflows in BoP	Change in net ECB flows in BoP
	USD bn				
FY11	24.5	24.1	12.2		
FY12	34.9	32.6	10.3	8.5	-1.8
FY13	30.6	27.6	8.5	-5.0	-1.9
FY14	32.9	30.1	11.8	2.4	3.3
FY15	27.6	27.8	1.6	-2.2	-10.2
FY16	24.0	24.2	-4.5	-3.7	-6.1
FY17	17.1	22.6	-6.1	-1.6	-1.6
FY18	25.2	38.9	-0.2	16.3	5.9
FY19	41.0	42.2	10.4	3.3	10.6
FY20	51.0	46.1	23.0	4.0	12.5
FY21	34.8	31.4	-0.1	-14.8	-23.1
FY22	38.2	30.1	8.1	-1.3	8.3
FY23	25.3	20.7	-3.8	-9.4	-11.9
FY24	48.6	44.6	0.0	23.9	3.8
FY25	60.7	90.0	15.9	45.3	15.9

Note: *ECB data is released by the RBI on a monthly basis and then separately on a quarterly basis in the BoP data, which are generally directionally consistent. Grey shading denotes years when major liberalisation of ECB norms had taken place.

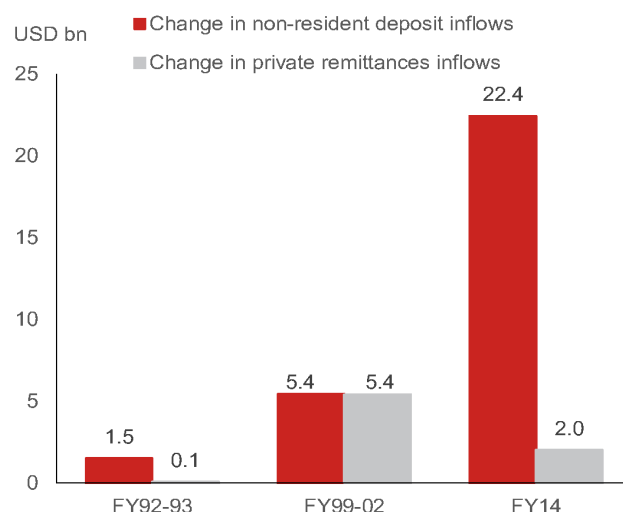
Source: CEIC and Nomura Global Economics

Fig. 65: Non-resident deposits vs remittances



Source: CEIC and Nomura Global Economics

Fig. 66: Do higher NRI deposits lead to lower remittances?



Note: These are years following FX deposit mobilisation scheme introduction.
Source: CEIC and Nomura Global Economics

Fig. 67: Gold imports during periods of import tightening

Year of India's gold import duty change	Gold import duty revision (pp)	Change in gold imports in relevant fiscal year (USD bn)	Change in gold imports in relevant fiscal year (tonne)
FY12	4.0	-2.7	-64.6
FY13-14	6.0	-24.9	-352.0
FY20	2.5	-4.7	-262.8
FY21	-1.8	11.6	227.8
FY23	4.3	-11.1	-200.7
FY25	-9.0	12.5	-38.2
FY27	9.0	-19.9	-140.0

Note: Yellow shading indicate Nomura estimates
Source: CEIC, World Gold Council and Nomura Global Economics

Fig. 68: Nomura's balance of payment projections

USD bn	FY25	FY26	FY27 (old)	FY27 (new)	FY27 (if Brent at USD80/bbl in remaining months)
Current Account	(23.1)	(25.4)	(100.4)	(78.4)	(50.3)
Merchandise trade balance	(286.9)	(337.3)	(433.2)	(412.2)	(384.2)
Exports	442.1	446.1	477.1	477.1	477.1
Imports	729.0	783.4	910.3	889.3	861.2
Invisibles balance	263.9	311.9	332.8	333.8	333.8
Services	188.8	216.6	236.1	238.1	238.1
Transfers	123.4	143.5	147.8	146.8	146.8
Income	(48.3)	(48.2)	(51.1)	(51.1)	(51.1)
Capital Account	16.6	1.9	30.9	93.9	93.9
Foreign Direct Investment (net)	1.0	6.9	8.0	10.0	10.0
Portfolio Investment	3.6	(16.4)	(5.0)	5.0	5.0
Loans	29.3	27.4	20.0	25.0	25.0
Banking Capital	(9.8)	6.4	9.0	55.0	55.0
Rupee Debt Service	(0.1)	(0.1)	(0.1)	(0.1)	(0.1)
Other Capital	(7.4)	(22.5)	(1.0)	(1.0)	(1.0)
Overall Balance	(5.0)	(23.6)	(69.5)	15.5	43.6
Basic BOP (net FDI + CA)	(22.1)	(18.4)	(92.4)	(68.4)	(40.3)
Current account (% of GDP)	(0.6)	(0.6)	(2.4)	(1.9)	(1.2)

Source: CEIC and Nomura estimates.

This report was originally published on 19 June 2026.

Thailand: We now expect the current account to swing to a deficit this year

- The goods trade and current account (CA) balances recorded sizeable deficits in April and May, despite robust export growth.
- We revise our 2026 forecast of the CA balance down to -0.8% of GDP from 1.4%, taking into account the YTD outturns, low electronics value add and still-weak tourism.

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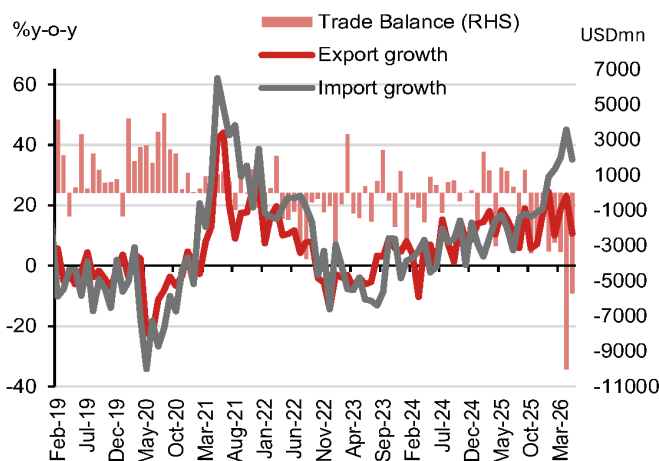
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A still-large goods trade deficit in May

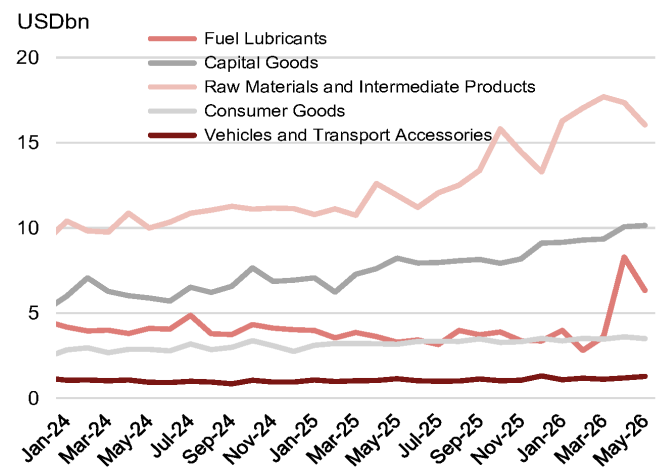
The goods trade deficit remained large at USD5.7bn in May, despite narrowing from the record high USD10.0bn in April (Consensus:5.5bn; Nomura:5.8bn). Export growth moderated to 10.6% y-o-y in May from 23.1% in April, partly due to high base effects (Figure 69), but it was still driven by electronics products, which continue to benefit from the global semiconductor upcycle. Import growth remained high at 35.1%, albeit slowing from 45.0%, with fuel imports surging by 94.6%, reflecting still-elevated crude oil prices (Figure 70).

Fig. 69: Thailand – Export & import growth and trade balance



Source: Ministry of Commerce, Nomura Global Economics

Fig. 70: Thailand – Import by key categories



Source: Ministry of Commerce, Nomura Global Economics

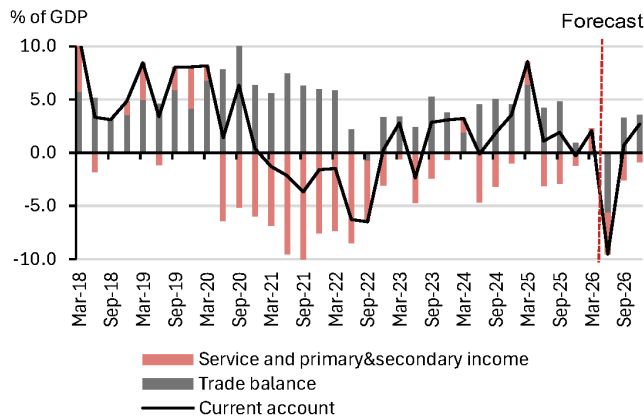
Dividend repatriation also kept the current account deficit large

The current account remained in a large deficit at USD6.4bn in May, narrowing from USD7.8bn in April (Consensus: -3.5bn; Nomura: -5.9bn). The trade balance improved due to a slowdown in energy import volumes. However, the services and primary & secondary income accounts recorded a larger combined deficit of USD3.8bn in May, up from USD1.0bn in April. We note that the largest dividend repatriation outflows typically occur in May (Figure 72), before easing in June. This should lead to a gradual improvement in the services and current accounts in coming months.

Nomura's view: We now expect a current account deficit in 2026

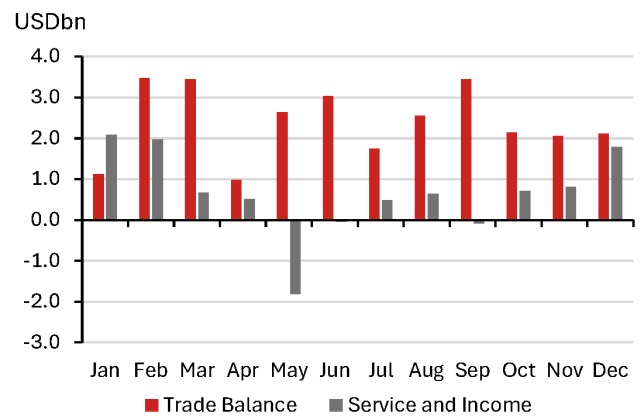
Taking into account these outturns, we substantially revise down our 2026 current account balance forecast to -0.8% of GDP from 1.4%. In terms of the trajectory, we expect the weakest current account performance to occur in Q2 2026 (Figure 71), driven by the dividend repatriation period, which leads to substantially negative primary and secondary income flows in May and June (Figure 72) before a slight improvement in H2, due to our assumption that crude oil prices will moderate towards year-end, particularly as Middle East geopolitical conditions stabilize. Over the longer term, we believe Thailand's current account will face mounting pressures from deteriorating export competitiveness and an increasing reliance on external digital services, such as data center fees, which should lead to larger structural outflows in the services account.

Fig. 71: Thailand – Current account, trade balance and service & income account



Source: BOT, Nomura Global Economics

Fig. 72: Thailand – Average trade balance and service account & primary and secondary income (2015 -2019)

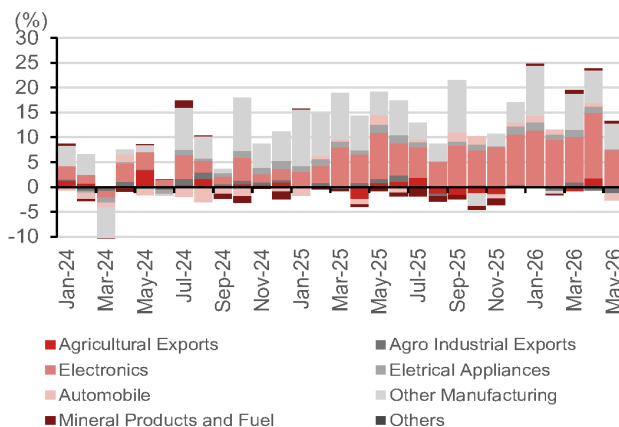


Source: BOT, Nomura Global Economics

The trade balance remained weak, despite strong electronics exports

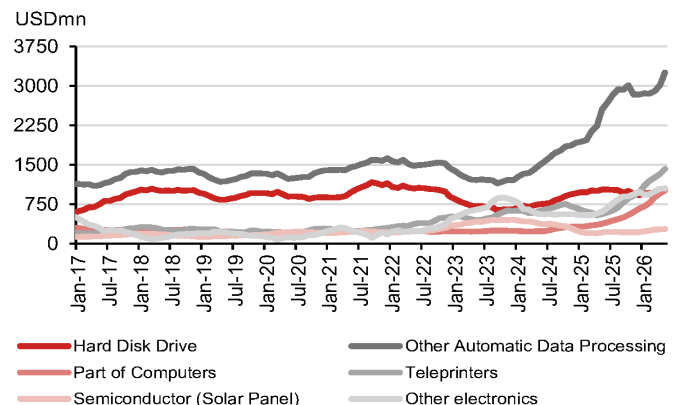
The composition of Thailand's electronics exports has shifted toward products with low domestic value-added content. The recent export surge has been concentrated in new product categories (Figures 73 and 74) that emerged and accelerated sharply during 2024-2025, including teleprinters, WiFi routers, computer components and other automatic data processing machines; these are all products with limited ties to Thai domestic manufacturing. Notably, the export value of these products has already surpassed that of hard disk drives (HDDs), where Thailand serves as the world's second-largest production hub.

Fig. 73: Thailand – Contribution to export growth



Source: Ministry of Commerce, Nomura Global Economics

Fig. 74: Thailand – Electronic exports by key products



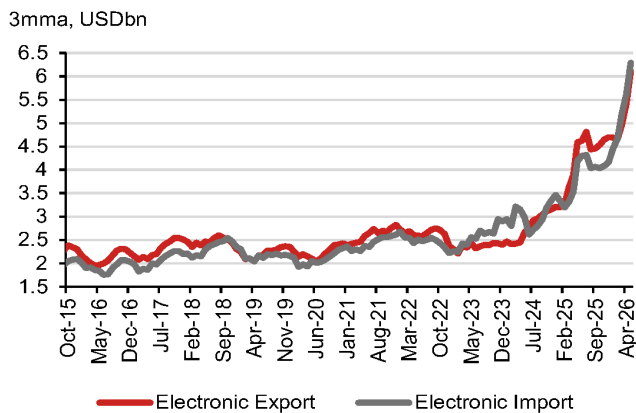
Source: Ministry of Commerce, Nomura Global Economics

Trade re-routing continues

Strong headline export growth also shows re-routing activity, which has a limited impact on the overall trade balance. Thailand's robust export growth has been accompanied by a commensurate import expansion. We attribute this phenomenon to transshipment activity from China to the United States, as evidenced by the strong correlation between

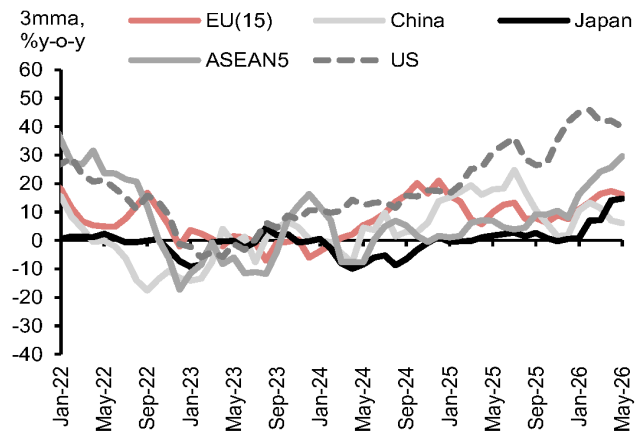
electronics exports and imports in Thailand, which suggests a substantial portion of Thai electronics exports are re-routed through imports from other countries (Figure 75; see *Asia Insights – Thailand: No reprieve from front-loading/re-routing trade*, 29 May 2025). This is further corroborated by disproportionately strong exports to the US market, which have risen by 40.3% year-to-date. (Figure 76)

Fig. 75: Thailand - Electronics exports and imports



Source: Ministry of Commerce, Nomura Global Economics

Fig. 76: Thailand – Exports to major trading partners

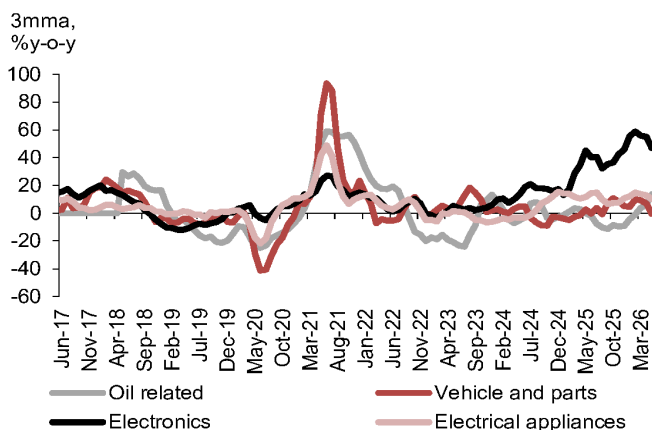


Source: Ministry of Commerce, Nomura Global Economics

... while growth in other products remains lacklustre

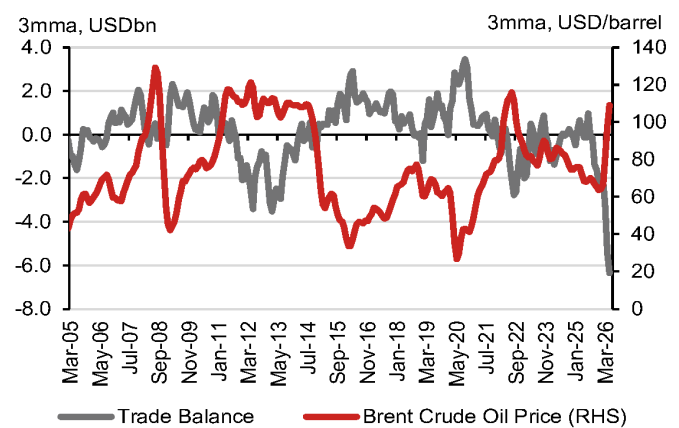
Exports of other product categories have continued to slow, consistent with still-anemic growth in the output of key manufacturing segments (Figure 77). We view this as a structural headwind to Thailand's export competitiveness that is unlikely to reverse in the near term. These competitiveness issues are being exacerbated by intense competition from low-cost Chinese products (see *Asia rewired – Coping with China shock 2.0*, 29 May 2026). Thailand continues to cede market share in vehicle exports and electrical appliances to Chinese competitors. Without structural reforms, we do not foresee a clear path toward a more broad-based and sustainable recovery across Thailand's goods exports and manufacturing output.

Fig. 77: Thailand – Exports of key products



Source: Ministry of Commerce, Nomura Global Economics

Fig. 78: Thailand – Trade balance vs crude oil price



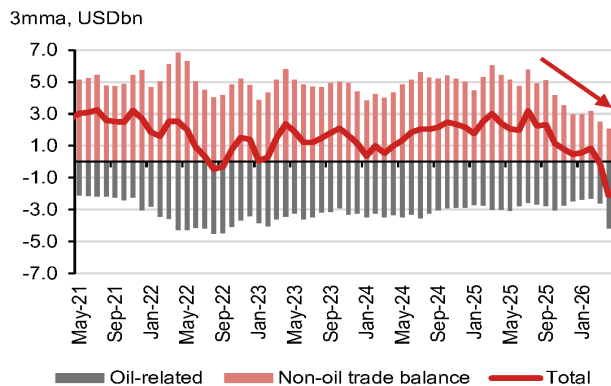
Source: Ministry of Commerce, CEIC, Nomura Global Economics

Other sources of drag

Elevated oil prices are set to constrain trade balance performance throughout 2026, although recent declines imply an easing negative terms-of-trade shock (see *Asia Insights - US-Iran deal: A welcome relief for Asia*, 15 June 2026). We noted that the trade balance deterioration in April and May (Figure 78) is mainly the result of a worsening of the oil-related trade deficit. Negative pressures are also emerging from lower prices across Thailand's major agricultural exports. However, despite recent improvements in rice and cassava prices, larger volume declines have kept exports in negative territory, with rice exports down 15.8% y-o-y and cassava exports down 22.9% y-o-y in May.

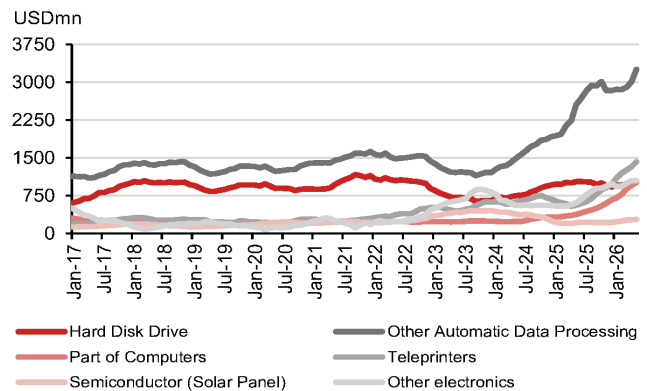
Thailand's trade balance deterioration stems not only from the deficit in oil-related products, but also from an emerging deceleration in other trade balance components (Figure 79), driven by strong import growth. We attribute this primarily to import requirements supporting domestic foreign direct investment, as reflected in the sharp rise in electrical machinery and computer and parts imports, particularly from Taiwan (Figure 80). These imports are likely being used to support large-scale data center development.

Fig. 79: Thailand – Oil and non-oil trade balance



Source: BOT, Nomura Global Economics

Fig. 80: Thailand – Imports of capital goods



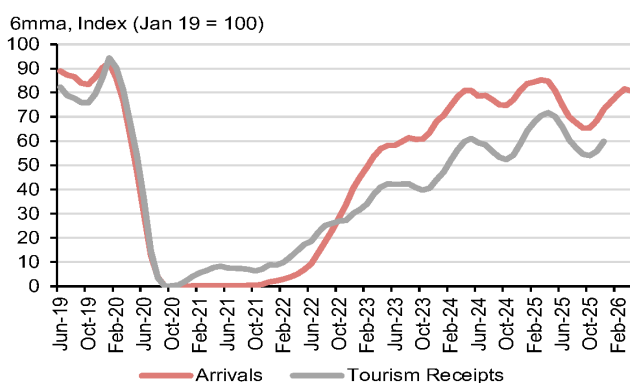
Source: Ministry of Commerce, Nomura Global Economics

Tourism revenue is expected to be flat

Our current account forecast also pencils in subdued tourist arrivals, which we continue to forecast at 31.5mn in 2026, down from 33.0mn in 2025 and below the BOT's forecast of 33.0mn. We estimate the drop in arrival numbers in 2026 will keep tourism receipts flat year-over-year, despite tourism spending per head approaching pre-COVID levels in late 2025. During the post-COVID period, the recovery in Thai tourist receipts lagged behind arrival numbers because of a slow improvement in spending per head (Figure 81). The tourism structure began shifting more clearly in 2025 toward long-haul tourists from Europe, who typically spend more per head. This compositional shift has started to support a faster recovery in receipts.

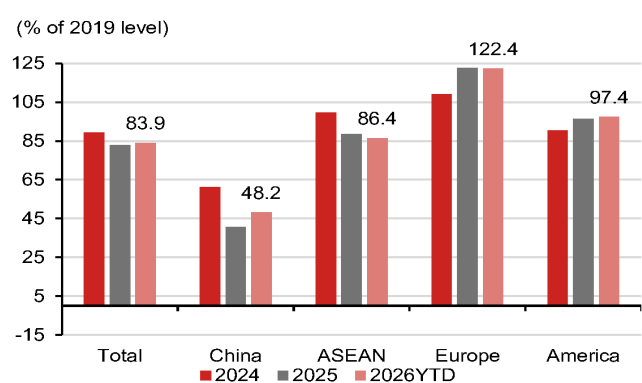
We expect weaker tourist arrivals to remain a key drag on the sector in 2026. We attribute our weak tourism forecast to the slow recovery in Chinese tourism since COVID-19 (Figure 82), driven by several factors: a weak Chinese economy and subdued demand, Chinese government policies promoting domestic tourism and safety concerns regarding Thailand. We also expect geopolitical tensions in the Middle East and elevated jet fuel prices to negatively affect travel demand. (see *Asia Insights – ASEAN: Clear signs the war in Iran is impacting tourism in the region*, 29 May 2025). We note that long-haul tourist arrivals started to show some signs of improvement in May, while a reduction in the supply of low-cost short-haul flights continued to affect weak tourist arrivals from ASEAN.

Fig. 81: Thailand – Tourist arrivals and tourism receipts



Source: Tourist Authority of Thailand, Nomura Global Economics

Fig. 82: Thailand – Tourist arrivals by key markets



Source: Tourism Authority of Thailand, BOT, Nomura Global Economics

This report was originally published on 30 June 2026.

Thailand: Hitting fiscal limits

- The fiscal deficit is tracking at the statutory maximum of 4.5% of GDP. The government is now drawing on the THB400bn (2.0% of GDP) emergency decree.
- We maintain our fiscal deficit forecasts of 5.8% of GDP in FY26 and 4.7% in FY27, well above the MTF targets, with half of the decree allocated to cash transfers.
- But we reiterate our forecast for sub-potential GDP growth at 1.8% in 2026 and 2.0% in 2027, given our analysis showing low multiplier effects from these transfers.
- We also continue to expect a one-notch rating downgrade by Fitch later this year, as the public debt to GDP ratio risks exceeding the ceiling of 70% in 2027.

Taking stock of recent measures

Since April, the Thai government has responded to the energy price shock via a broad set of measures (see Appendix table). These span the use of both demand and supply management tools, such as work-from-home guidance to curb fuel consumption and coordination with the private sector to accelerate fuel imports. Subsidies on electricity bills and retail fuel prices were also largely retained, which helped to keep headline inflation relatively contained (see *Thailand: A sharp rise in headline inflation in April but not in core*, 6 May 2026).

As a result, the available fiscal space based on existing fiscal rules has now been almost fully utilized. The fiscal deficit is tracking the full-year FY26 budget projection of around 4.5% of GDP, which is the maximum allowed under the deficit-limit rule in the Budgetary Procedures Act. The government issued a relatively large emergency borrowing decree of THB400bn (2.0% of GDP) as an additional response to the impact of the war in Iran. We believe fiscal policy is now being run at its statutory limit.

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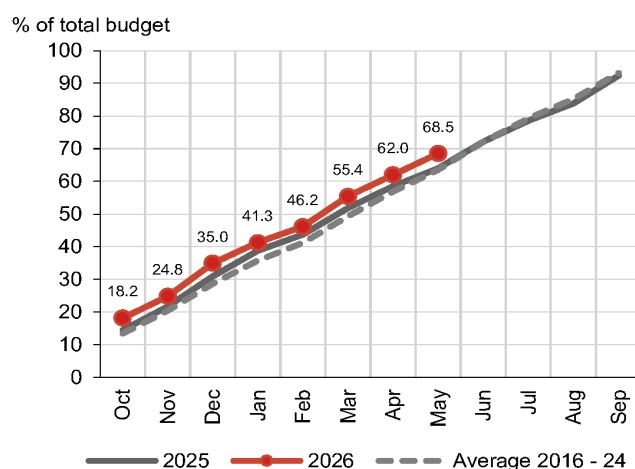
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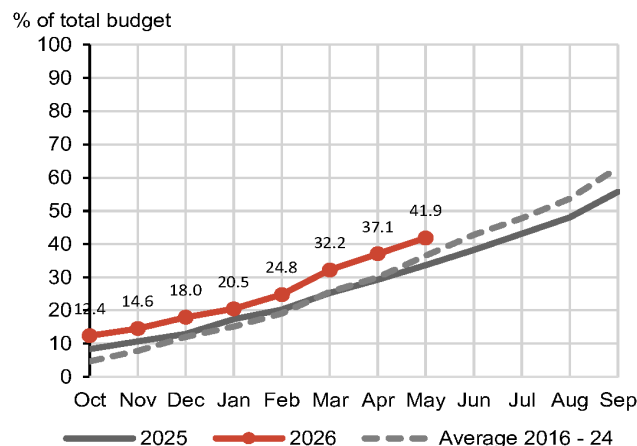
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Fig. 83: Thailand – Cumulative total disbursement rate



Source: Comptroller General's Department, Nomura Global Economics

Fig. 84: Thailand – Cumulative investment disbursement rate



Source: Comptroller General's Department, Nomura Global Economics

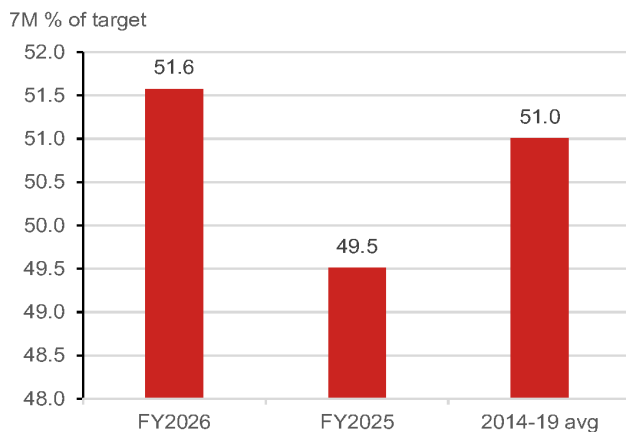
FY26 budget disbursements are running above average

Since the start of BJT-led government, budget disbursements have accelerated, running ahead of its usual pace (Figure 83). As of May 2026, the total government disbursement rate stood at 68.5%, up from both 63.9% over the same period in 2025 and the 2016-2024 average of 63.5%. This reflects a higher capex disbursement rate, which came in at 41.9%, up from 33.7% in 2025 and the 2016-2024 average of 36.5% (Figure 84). This improving pace of overall budget disbursement, in our view, reflects the new government's push to implement the budget and support growth, underpinned by a more stable political environment with the BJT-led administration (see *Thailand: Election Watch #4 - A decisive win by the incumbents*, 9 February 2026).

Government revenue collection has also run slightly above trend over the first seven months of FY2026 (October 2025-April 2026). Net revenue increased by 5.4% y-o-y, reaching 51.6% of the full-year target (Figure 85), ahead of 49.5% at the same point last

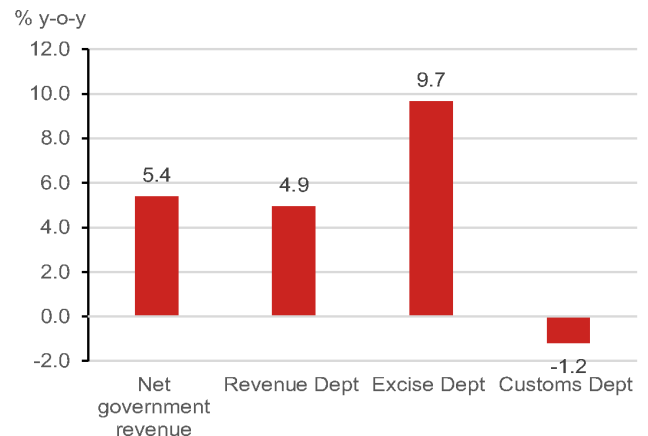
year and the 51.0% pre-COVID (FY2014-19) average. The upside was led by indirect taxes and remittances: excise tax collections were helped by firmer oil, liquor and vehicle taxes (Oil tax +14% y-o-y), while the VAT rose on stronger domestic consumption (Figure 86). We believe revenue collections over the final five months of the fiscal year may soften, as the impact of the war in Iran becomes evident. Government revenues remain subdued overall relative to pre-pandemic levels, when measured as a share of GDP. Current data indicate revenue of approximately 15% of GDP for this year, below the pre-COVID average of 15.7%, reflecting persistent weakness in the domestic economy. The fiscal deficit is tracking at 4.0% of GDP year-to-date (April), slightly below the 4.5% target outlined in the MTFF.

Fig. 85: Thailand – 7M net revenue % of full-year target



Source: Fiscal Policy Office, Nomura Global Economics

Fig. 86: Thailand's government revenue by sources

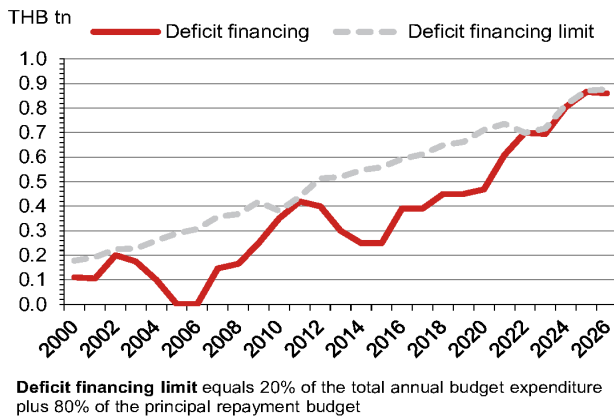


Source: Fiscal Policy Office, Nomura Global Economics

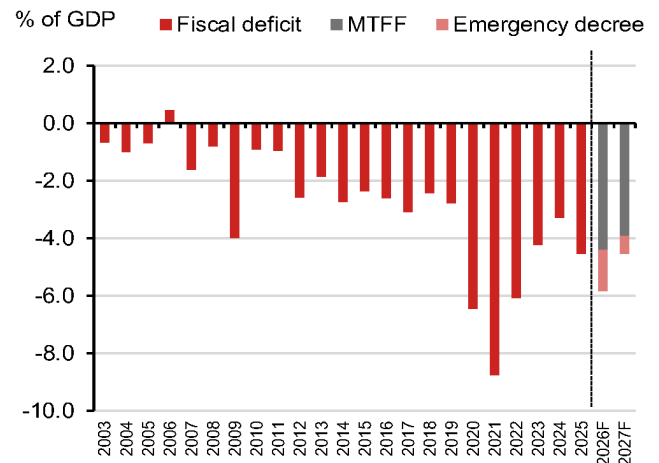
The THB400bn emergency decree

With deficit financing through normal channels hitting the Budgetary Procedures Act ceiling (Figure 87), the government issued a relatively large THB400bn (2% of GDP) emergency decree, aimed at easing the burden on households and implementing measures to reduce Thailand's vulnerability to energy prices at a time when the economy was showing signs of renewed weakness (see *Thailand: Growth loses significant momentum in Q1*, 18 May 2026). Under the current plan, the stimulus is likely distributed across this year and next year, increasing the deficit beyond the already-elevated levels outlined in the MTFF (Figure 88). All borrowing must be completed by 30 September 2027.

The emergency borrowing decree will be implemented in two tranches. The first tranche, already announced at THB176bn (around 0.9% of GDP), will fund a cash-transfer program similar to the previous government's "half-half" co-payment scheme (the so-called Thai help Thai Plus). However, the contribution split was raised to 60% from government and 40% paid by consumers. In the first 14 days, 26mn people have been registered and the program has generated THB30.4bn from contributions from both the government and consumers, according to the officials.

Fig. 87: Thailand – Deficit financing vs deficit financing limit

Source: Ministry of Finance, Nomura Global Economics

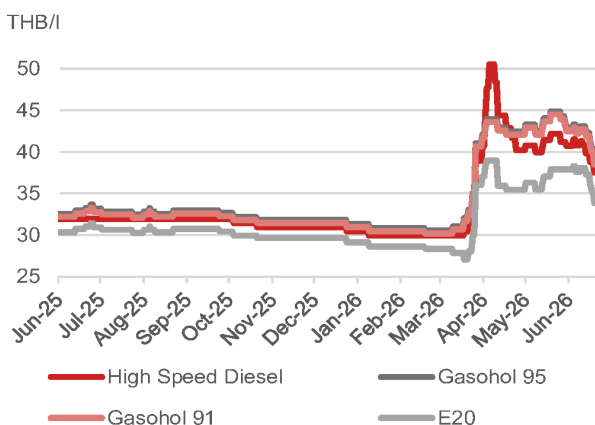
Fig. 88: Thailand – Fiscal deficit and emergency decree

Source: Ministry of Finance, Nomura Global Economics

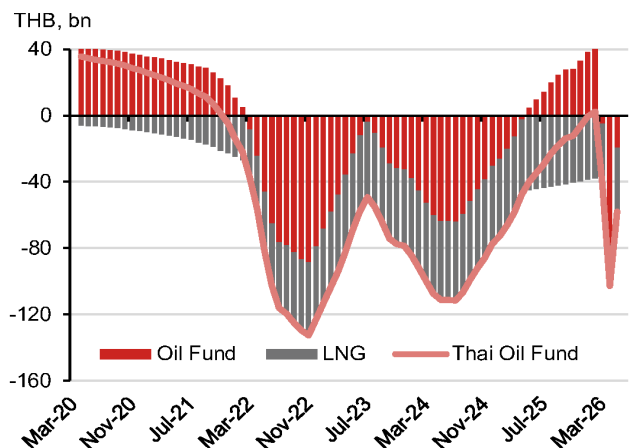
The second tranche will implement an energy transition plan to reduce Thailand's vulnerability to energy shocks. However, this faces a risk of delay, as it is the specific target of a legal challenge and, unlike the Thai help Thai Plus scheme, it has not yet begun disbursing funds. A group of 133 opposition MPs petitioned the Constitutional Court to void the decree under Section 172, arguing the energy-transition portion is too vague to count as an emergency and should run through the normal FY2027 budget. However, the implementation remains unaffected in the interim, as the court declined to suspend the borrowing. With the petition accepted on 18 May and first deliberated by the full nine-judge bench on 4 June, the statutory 60 days ruling window requires a ruling by around mid-July 2026.

Fuel prices and the Oil Fund

With limited fiscal space, the government cannot sustain the oil price subsidy through the Oil Fuel Fund due to the high fiscal cost of about THB40bn per month at its peak, and started to phase out the broad-based subsidy on diesel oil prices. The subsidy level, which stood at around THB20/litre in April, has since been reduced to THB1.04/litre. As a result, diesel prices, which were historically maintained at THB30-35/litre, surged to THB50/litre in early April 2026, although they have since declined to 37.5/litre as of 22 June (Figure 89). We believe the government tried to phase out broad-based subsidies in favour of more targeted cash support. The current Oil Fund deficit is positioned at THB58.5bn as of June (Figure 90).

Fig. 89: Thailand – Daily retail fuel prices

Source: PTT, Nomura Global Economics

Fig. 90: Thailand – Oil Fuel Fund Position

Source: Oil Fuel Fund Office, Nomura Global Economics

That said, with the THB20bn loan for the Oil Fund already approved, the government can still run targeted subsidies for specific groups, such as pick-up truck users, to delay any sharp, immediate price pressures. We think a return to a broad-based subsidy is unlikely, with the government being explicit that retail fuel prices should reflect real costs and that the Oil fund is being steered back toward being debt-free by 2029. The recent decline in crude oil prices due to the US-Iran interim deal should also lend some support to reducing the deficit, assuming it holds (see *US-Iran deal: A welcome relief for Asia*, 15 June 2026).

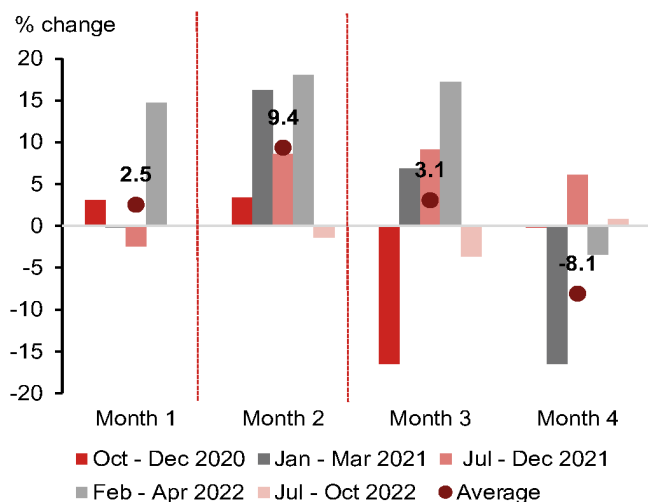
Nomura's views: We still expect large fiscal deficits in FY26 and FY27

We maintain our fiscal deficit forecasts of 5.8% of GDP in 2026 and 4.7% in 2027, well above the MTFF targets of 4.3% and 3.6%, respectively. Our forecasts factor in additional spending from the emergency decree with a front-loaded assumption: 60% of the total THB400bn to be disbursed this year and 40% next year. This is consistent with our long-held view that, despite level of high public debt and the threat of rating downgrades (more below), PM Anutin's coalition government will likely push these populist measures, which were key campaign pledges and have high fiscal costs (see *Thailand: Election Watch #2 - More of the same in campaign pledges of political parties*, 28 January 2026). In our base case, the emergency borrowing decree survives the petitions in the Constitutional Court, although the second tranche on energy transition measures likely proceeds at a slower, project-by-project basis, pushing most of its impact to FY27.

...but GDP growth remains lacklustre with only a short-term impact from cash transfers

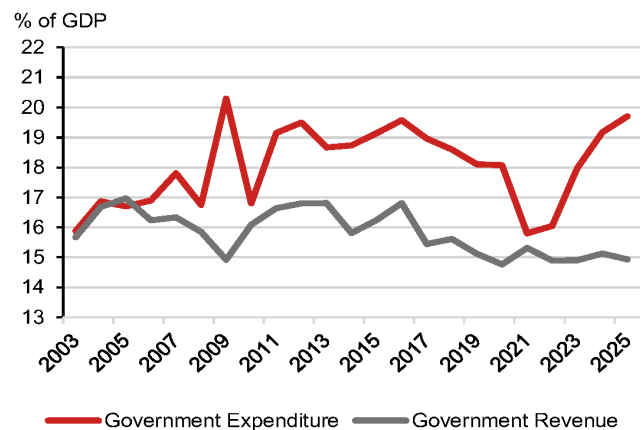
We reiterate our forecast for GDP growth to slow to 1.8% in 2026 and 2.0% in 2027, both well below our potential growth estimate of around 2.4%. While higher fiscal spending helps to mitigate the impact of the energy price shock, past episodes suggest only a short-lived impact from the co-payment program. We examined the six rounds of fiscal support between 2020 and 2022, tracking the private consumption index at each launch. On average, consumption rose by 2.5% in the first month and by 9.4% in the second month, relative to the pre-program baseline, as households pulled spending forward to use the subsidy (Figure 91). The lift, however, was not sustained: by the fourth month, consumption had given back those gains and fell by 8.1% on average versus the baseline. This pattern is consistent across the various rounds of implementation and confirms that schemes such as this deliver only a temporary boost.

Fig. 91: Thailand – Private Consumption Index change relative to the period before half-half program started



Source: BoT, Nomura Global Economics

Fig. 92: Thailand – Government Expenditure and Revenue (% of GDP)



Source: Ministry of Finance, NESDDC, Nomura Global Economics

... and low multiplier effects

The fiscal multiplier is also low at around 0.3, based on our estimates of the impulse response of private consumption, which implies a limited impact on GDP growth. Our estimates are based on the average growth in private consumption relative to its usual pace during the six months following the start of "half-half programs" between 2020 and 2022. These estimates are consistent with BOT's assessment that cash-transfer policies generate lower multiplier effects than direct government spending and investment. We note, however, that our estimate is even lower than the estimate of the Office of the Prime Minister at 0.9.

In our view, the low fiscal multiplier likely reflects high household debt and weak sentiment, particularly among lower-income groups, so the transfers are used for debt servicing rather than new spending. Tight financial conditions, with banks raising credit standards, also provide counteracting pressure, generating a vicious cycle of credit risks, negative loan growth and an economic downturn, similar to the implementation of the Digital Wallet scheme in late 2024 (see *Thailand: A vicious cycle between credit risks, credit contraction and an economic downturn*, 12 June 2025).

We still expect a one-notch rating downgrade by Fitch in late 2026

We continue to expect Fitch to lower Thailand's credit rating by one-notch to BBB from BBB+ later in the year. Fitch has had a "negative" rating outlook in place since September 2025. Market participants may have become less concerned about credit rating pressures after Moody's restored its rating outlook to "stable" in April, citing lower uncertainty from US tariffs (see *Thailand: Moody's unexpectedly restores its rating outlook to "stable"*, 22 April 2026). However, with the current debt trajectory, we expect this issue to resurface later in the year. The public debt to GDP ratio stands at 66.4% of GDP as of March, and we see a risk this could exceed the ceiling of 70% of GDP by 2027. Over the longer term, Thailand faces a structural fiscal challenges, with its revenue-to-GDP ratio continuing to decline (Figure 92), highlighting the needed for a comprehensive tax system reform.

Appendix 1

Fig. 93: Thailand's policy responses to the energy price shock from the Iran war

	Key Measures	Note
Fuel price stabilization	Diesel and gasoline price smoothing. Partial cap via oil fuel fund.	- Started to phase out from the broad-based price subsidy due to high fiscal cost. - The Thai Cabinet recently approved an emergency THB 20bn (0.1% of GDP) loan for the Fund. - The fund faced a deficit of approximately THB 53bn (0.27% of GDP)
Request to reduce refinery margin	Coordination to reduce refining spread	
Electricity price subsidy	Temporary reduction / smoothing of Fuel Adjustment Charge (a variable fee on utility or transportation bills)	- FT suppression in 2026 is lower than the 2022-2023. - May-August rate of B3.95 per unit will require TBH9bn (0.05% of GDP) in subsidies.
Demand management	Thai Cabinet mandates direct state agencies to adopt work-from-home arrangements and suspend non-essential international travel	
Supply management	Government coordination requesting private sector to accelerate fuel imports to prevent shortages	Overall national oil reserves have been significantly expanded, bridging the buffer 117 days of usage.
	The government temporarily ordered the suspension of crude oil and petroleum product exports to ensure local capacity remains steady.	
	Thailand purchases of crude oil from the United States and West African partners	
Cost-of-living relief: THB 200bn emergency decree	Cash transfer 60% paid by government and 40% paid by consumers at registered merchants	- Size announced is THB175bn (0.9% of GDP). - Spending began 1 June and benefits usable through 30 Sep 2026
Energy Transition: THB 200bn emergency decree	Eco-friendly vehicle infrastructure (e.g., EV charging stations),	- THB 200bn (1.0% of GDP) supports the shift away from fossil fuels. - These are the list of proposals, and no details has been announced yet Borrowing must complete by 30 Sep 2027
	Expanding the clean energy supply and upgrading power grids to accommodate distributed renewable resources like solar and wind.	
	Soft Loan Proposals: facilitate favorable financing to support clean energy transitions for businesses and transport operators. (e.g. support for rooftop solar panel installation)	

Source: Nomura Global Economics

This report was originally published on 22 June 2026.

Indonesia: Discussing the implications of the new state export agency (DSI)

Earlier this week, we hosted a MacroBrew@Nomura with an expert on trade and industrial policy from one of Indonesia's leading think-tanks to discuss the newly established PT Danantara Sumerdaya Indonesia (DSI). In this report, we summarize his thoughts in a Q&A format. Overall, the takeaways from this discussion support our view that the creation of DSI could raise investor concerns about greater state control, increase policy uncertainty and contribute to downward pressure on credit ratings and the currency (see [First Insights - Indonesia: Our initial thoughts on new policies for the government to control commodity exports](#), 20 May 2026).

1. Can you provide us with some basics on the DSI?

On 20 May 2026, President Prabowo announced in parliament that the DSI is being created to centralize exports of strategic commodities, starting with coal, palm oil (CPO) and ferro-alloys, but all other products could be included over time. The DSI will be operated by Danantara and full implementation is targeted by 1 January 2027, when the DSI will have responsibility and authority over export management of these commodities, including the handling of transactions and contracts with overseas buyers. The next few months will be a transition period. The President said that the main rationale for creating the DSI is to address problems of under-invoicing and transfer pricing, as well as to improve repatriation of export receipts. However, we also believe the decision to establish the DSI likely reflects the government's objective to increase state participation in strategic sectors while advancing Indonesia's downstream industrialisation agenda.

2. Is this easy to implement across all three sectors?

Implementation challenges are significant and could come from various aspects across CPO, coal and ferro-alloys (nickel) due to their distinct physical characteristics and sector structures:

- The CPO sector will be most challenging to centralize. This is because of the nature of palm oil production —fresh fruit bunches (FFB) deteriorate rapidly after harvesting, meaning farmers and refineries cannot hold inventory while awaiting administrative clearance. Fragmentation across the sector compounds this issue, with nearly three million smallholders and hundreds of refineries affected by the new arrangements. Additionally, current trading companies provide sophisticated market risk management services, hedging CPO prices through various mechanisms that the DSI may struggle to replicate in the near term.
- The coal industry operates on long-term contractual relationships, with producers entering multi-year agreements with utilities and industrial users that use price formulas, quality specifications and buyer credit terms. These existing contracts may require renegotiation under the new arrangements, potentially causing export delays and increasing logistical costs, while adding complexity to an already heavily regulated sector with multiple layers of state control.
- Ferro-alloys are most directly tied to Indonesia's downstreaming policy, with over 90% of nickel production destined for China and most nickel processing plants owned by Chinese companies. This high buyer concentration potentially creates a double-edged sword: it may enhance Indonesia's negotiating leverage and simultaneously exposes the sector to significant risk owing to the extreme dependency on a single export destination.

3. Have there been similar policies in the past? If so what were the key lessons?

Yes, similar policies have been implemented in the past, with notable commodities affected including rice, cloves and plywood during the 1970s and 1990s (Figure 94). The evidence is that initiatives created a monopsony, which caused significant market distortions. Specifically, the domestic prices of commodities in question declined, prompting producers to reduce output, while international prices rose. This dynamic temporarily enhanced Indonesia's export pricing power. However, in the longer run, the policy was also undermined the competitiveness of domestic industries and fostered political patronage. Over time, international buyers adapted by diversifying their supply chains and seeking alternative sources, ultimately eroding Indonesia's pricing advantage and reduced exports.

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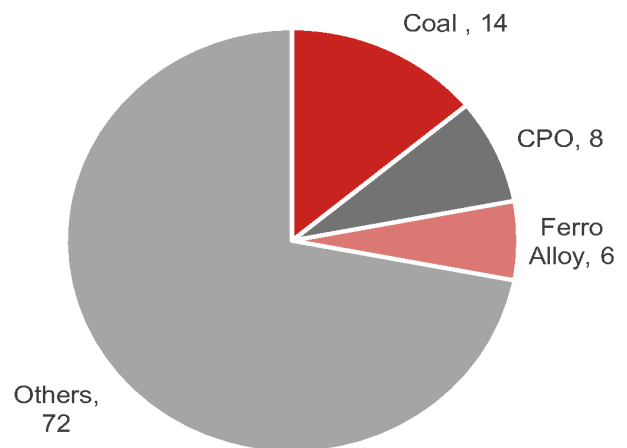
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Fig. 94: Indonesia: Similar policies implemented historically, impacting different exports

Period	Commodity	Institution	Mechanism
1970-1990s	Rice	BULOG	Procurement and import monopoly
1991-1998	Cloves	BPPC	Monopsony and market monopoly
1980-1990s	Plywood	APKINDO	Export cartel and centralised marketing
Various periods	Energy and food	State agencies	Export and import controls

Source: CSIS, Nomura Global Economics.

Fig. 95: Indonesia: Export shares of key traded commodities (2023-25)

Source: CSIS, Nomura Global Economics

4. Despite these lessons, why do you think President Prabowo is pushing for the creation of the DSI, and will it succeed this time?

Prabowo places significant emphasis on state involvement, not just in policy formulation but also in macroeconomic management and business activity. The president has continued to push the view that Indonesia is resource-rich with great potential. The creation of the DSI appears to be in line with his broader policy agenda, and he likely believes it will be successful.

It is unclear whether this idea came from him or his advisors. However, if you examine his writings on economics and governance, he has long advocated greater state control. This suggests he genuinely prefers such policies to prevent leakages from malpractices such as under-invoicing and safeguard national resources.

5. Because of his track record of pushing strongly his priority programs, do you think this will be implemented despite the challenges (similar to MBG)?

The critical question here are: what are Danantara's actual objectives and mandates? It is difficult to assess whether this policy will feature strong governance. However, we expect significant difficulties with implementation, particularly in two sectors – CPO and coal – which are already feeling the impact. The challenge is not only merely administrative but also managing the political backlash.

6. What can the DSI realistically achieve by January 2027?

The DSI could help curb problems of under-invoicing and transfer pricing but consolidating the exportation of commodities is not the best solution because of the complexities involved, as discussed above. During the transition period leading to 1 January 2027, we are likely to see the DSI focusing more on monitoring and establishing better contractual arrangements with more favorable procedures for the specified commodities. But the DSI is unlikely to be fully ready by January to function as the comprehensive export agency envisioned by the president.

7. Will this cause disruptions in exports at a time when the IDR is under pressure?

The timing of this policy is problematic. Indonesia currently needs robust exports to build up foreign exchange reserves and support the currency. Based on our calculations, 30% of Indonesia's exports are at risk due to this policy (Figure 95). Based on discussions with businesses in the coal and palm oil sectors, concerns about this policy are widespread. Some may even reduce production if the direction of policy remains uncertain. In the CPO sector, domestic FFB prices have already dropped by 15-20% since the announcement of the DSI, while international palm oil prices have increased significantly.

8. On the under-invoicing issue, is this a more effective approach?

The fundamental problem is enforcement, not policy. Indonesia already has extensive regulations governing export and import controls. For example, in the past customs

procedures were outsourced rather than managed by the customs office, eventually leading to some monitoring issues. Digital technology may address these issues without establishing new mechanisms that might introduce additional risks.

9. What response do you expect from Indonesia's main trading partners?

There are three potential categories of responses: (1) the business and commercial response – Indonesia's main trading partners will seek alternatives and diversify supply away from Indonesia; (2) the legal response – countries could approach the WTO for mediation if they believe their national interests have been significantly harmed; and (3) retaliatory measures – we might see similar policies implemented by Indonesia's main trading partners to counterbalance the DSI, and/or anti-dumping measures against Indonesian exports of other products. The first measure would be the most probable, at least in the initial stages.

10. How about China's response, particularly on processed nickel exports?

Last month, it was surprising that China's Chamber of Commerce in Indonesia issued an open letter to President Prabowo complaining about various business difficulties, including policies related to mining and resource-intensive manufacturing. This complaint is highly unusual for Chinese businesses and therefore demonstrates the seriousness of their concerns. On this specific policy, Chinese firms will likely react negatively to these new restrictions but they may also try to negotiate exemptions.

11. What is the ultimate impact on Indonesian export prices and volumes for these commodities?

In the past, domestic prices have declined in the short-run while international prices have increased, though this has typically been temporary, with international prices eventually adjusting. Buyers will likely diversify their supply sources and seek alternative products. Meanwhile, domestic production constraints cause difficulties for producers that cannot be quickly overcome, even after market normalization. They lose competitiveness, as demonstrated in the case of the plywood export restrictions in the 1990s. Similarly, with nickel, Indonesia's export restrictions caused international prices to spike, but eventually slumped as buyers found alternatives. Technology and markets adjust, making it increasingly challenging for Indonesia to exercise market power effectively.

This report was originally published on 11 June 2026.

Malaysia: Election Watch #2 – Getting some sense of approval ratings and election timing

- A survey by Merdeka Center shows that PM Anwar leads in approval ratings at 52%, but is closely followed by UMNO's Khairy Jamaluddin at 50%.
- Based on our discussions in KL this week, a large majority of local clients believe a general election will not be held until next year, in line with our assumption.

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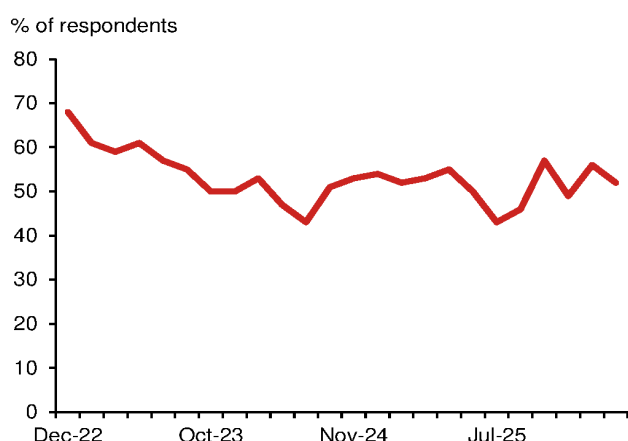
The latest survey shows PM Anwar's approval rating at 52%

On 25 June, Merdeka Center for Opinion Research published the results from a national public opinion survey conducted between 12 March and 9 April. The survey shows that the overall approval rating for Prime Minister (PM) Anwar was the highest among seven political leaders at 52%, though it has moderated since he took office in late-2022 (Figure 96). PM Anwar garnered a 59% satisfaction rating from non-Malay respondents versus 45% among Malay respondents.

Khairy Jamaluddin, who is the ex-chief of UMNO Youth and recently returned after a three-year political exile, came in a close second with an approval rating of 50% (Figure 97), and has the strongest support among Malay respondents. In contrast, UMNO president and Deputy PM Ahmad Zahid Hamidi was ranked last at 24%.

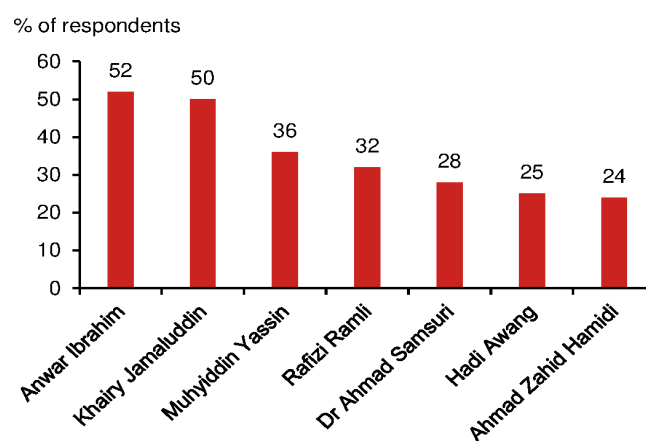
Among the opposition figures, Muhyiddin Yassin, who is Bersatu president and former PM, took the lead, with an approval rating of 36%. Perikatan Nasional (PN) chairman Ahmad Samsuri follows next with 28% and then PAS president Hadi Awang with 25%. The approval rating for Rafizi Ramli, the former Minister of Economy and currently Bersama leader, was 32%.

Fig. 96: Malaysia: PM Anwar's approval ratings



Note: Respondents were asked "How satisfied or dissatisfied are you with the performance of [Anwar Ibrahim as 10th Prime Minister of Malaysia]?"
Source: Merdeka Center for Opinion Research, Nomura Global Economics.

Fig. 97: Malaysia: Latest approval ratings by political leader



Note: Respondents were asked "How satisfied or dissatisfied are you with the performance of ... ?"
Source: Merdeka Center for Opinion Research, Nomura Global Economics.

High cost of living is the top concern

50% of respondents were satisfied on the overall performance of the federal government (versus 48% who were dissatisfied). This marks a drop from the start of government's term at around 60%, but is an improvement from lows of 40-45% amid elevated uncertainty and risks from US tariffs in June-August 2025.

The high cost of living and high oil prices are among the top concerns, despite Ron95 petrol still being subsidized by the government and tranches of cash handouts for all Malaysian adults. Labour market issues, i.e. minimum income and unemployment, were also key concerns.

A large majority of local clients expect a general election next year

During our visit to Kuala Lumpur this week, we asked local clients whether they expect a general election (due by 17 February 2028) to be held this year or next year, owing to recent developments. A large majority (around 80%) of local clients at our meetings believe a general election will NOT be held until next year (most likely after the budget

announcement but before the year-end monsoon season), consistent with our baseline scenario. The most common rationale appears to be that PM Anwar requires time to increase his approval ratings, as well as focus on dealing with the fallout from the US-Iran conflict. That said, a few in this camp acknowledge that the two state elections to be held in Johor on 11 July and Negeri Sembilan on 1 August could be a deciding factor.

Only a small minority of local clients that we met expect an early general election to be called this year, citing rising pressures from Barisan Nasional (BN) and other parties (e.g. Rafizi's Bersama), as well as some infighting within PM Anwar's Pakatan Harapan (PH). If BN wins decisively in Johor, that could put some pressure on PH. In that scenario, some thought that a window for BN to form a coalition with other parties such as PAS could open up, and possibly force PM Anwar to call an early election. That said, our sense from the discussions is that local clients do not view the recent policy changes to the diesel subsidy as a big concern and/or a sign of an early election soon, partly because of the relatively small share of diesel in household fuel consumption.

We continue to see limited economic implications

We still believe political headlines do not pose significant risks to the near-term economic outlook. We continue to forecast 2026 GDP growth of 5.2%, driven by multiple growth engines (see *Asia Insights - Malaysia: GDP growth continues to hold up in Q1*, 15 May 2026). Even if the election is called this year, it is likely to be after the budget in October, keeping the 2026 growth trajectory relatively intact. The upcoming state elections will likely be seen as a barometer for PM Anwar's unity government but are unlikely to affect economic activity. In terms of monetary policy, we reiterate our forecast for BNM to hike its overnight policy rate (OPR) by 25bp to 3.00% in Q4 2026, even if a general election is held this year, because OPR decisions are assessed by evolving economic conditions, in our view.

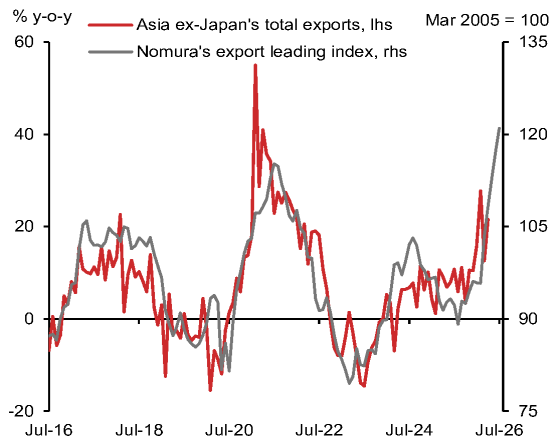
This report was originally published on 26 June 2026.

Chart alerts

Nomura's leading index of Asian exports

NELI surges to a 16-year high, signaling a boom in Asian export growth.

Fig. 98: Nomura's leading index of Asian exports



- Nomura's leading index of Asia ex-Japan's aggregate exports, or NELI for short, comprises nine components and has a three-month lead time. NELI has correctly predicted past major turning points and is less distorted by base effects than official export data, making it a good momentum leading indicator of Asia's underlying export growth.
- NELI extended its rising streak, surging to 121 in July and marking the highest reading in 16 years. This suggests Asia's super export growth upcycle will continue into Q3. NELI's rise is becoming a bit more broad-based, driven by a strong upswing in tech-related indicators, but also signs of improvement in overall manufacturing and China demand.
- The AI tech upcycle has been the main engine driving Asian exports. However, with the Strait of Hormuz set to reopen, this should ease supply-chain pressures (though the *normalization process* will likely take several months), reduce economic uncertainty and bolster global aggregate demand, especially for capital goods, supporting a further broadening of Asia's export upcycle beyond the tech sector.

Note: Nomura's export leading index can be found on Bloomberg (see ticker: NMEIXLI). Asia ex-Japan's aggregate (nominal) exports include those of China, Hong Kong, India, Indonesia, South Korea, Malaysia, the Philippines, Singapore, Taiwan and Thailand. China's exports to Hong Kong are excluded due to outsized swings on some occasions that seem unrelated to trade activity. Nomura's export leading index is a weighted (inverse of mean-squared errors) sum of the following Z-score standardized variables: Shanghai Shipping Exchange Containerized Freight Index, China's imports, China's imports from Asia, global semiconductor sales, US manufacturing ISM, S&P EM manufacturing PMI, China RatingDog (formerly Caixin) manufacturing PMI, South Korea's semiconductor exports and Philadelphia Semiconductor index. (For more details on its construction, see *Re-calibrating our Asia export leading index*, 16 August 2022).

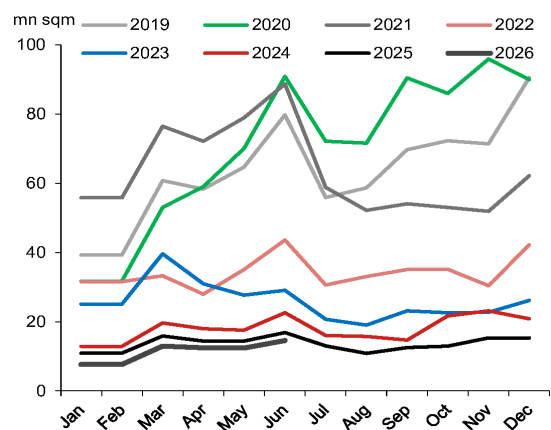
Source: IHS Markit, CEIC, Bloomberg and Nomura Global Economics.

Authors: Rob Subbaraman and Si Ying Toh, originally published on 19 June 2026.

China: The decline in developers' contract sales value widened again in June

High-frequency data point to a larger decline in home prices in June.

Fig. 99: New home sales volume: CRIC's top 100 developers



- The fall in contract sales value of the top 100 developers worsened again in June, following three straight months of moderation in declines. Sales growth by value weakened to -9.6% y-o-y from -0.2% in May, while by floor space, sales growth was -13.7% y-o-y in June, little changed from -13.8% in May. On a quarterly basis, sales growth rose to -6.4% y-o-y by value and to -13.7% by floor space, respectively, in Q2 from -23.9% and -25.0% in Q1, with their H1 growth at -14.1% y-o-y and -18.8%, versus -19.3% and -24.2% in 2025.
- On city-level data, growth in new home sales by floor space in 20 major cities fell to -5.8% y-o-y in June from 0.0% in May, while existing home sales volume growth in 18 major cities fell to 11.1% y-o-y in June from 17.5% in May.
- Amid *the AI boom*, existing home prices in tier-1 cities have shown some *signs* of stabilization, especially in Shanghai, but housing price falls worsened in most other cities. As the Iceberg index, a leading indicator based on the lowest listed housing prices, indicated a 0.4% m-o-m fall in June, worsening from -0.3% in May, we see growing downward pressure on national average housing prices in June.

Note: January and February data are presented as the same value as an average of these two months to smooth out LNY distortions.

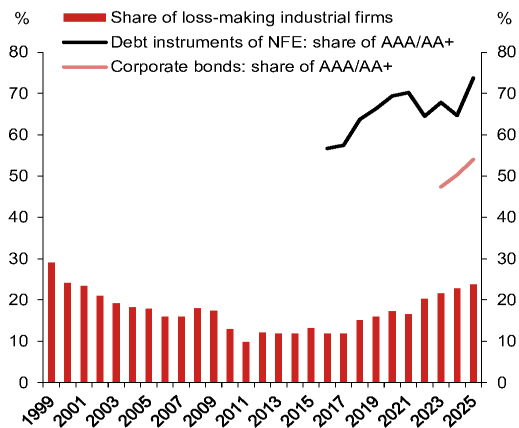
Source: CRIC, Nomura Global Economics.

Authors: Jing Wang and Ting Lu, originally published on 30 June 2026.

China: The inflated rating system is challenged by a rising share of loss-making firms

An overhaul of the rating system is needed to better inform investors and policymakers.

Fig. 100: China's domestic rating system fails to reflect corporate financial health



- According to *Bloomberg*, Chinese regulators, including the PBoC, have requested domestic rating agencies revamp their rating systems to more accurately reflect the credits risks of local firms. In Q1 2026, a striking 59% of issuers were rated as AAA/AA+, while major international rating agencies award such high grades far less commonly, even in developed bond markets. Even more striking, the share of AAA/AA+ rated debt financing instruments of non-financial enterprises has increased to 74.6%.
- This proliferation of top-tier ratings is directly contradicted by worsening corporate financial health, casting doubt on the credibility of China's credit rating system. According to the NBS, the share of loss-making industrial companies climbed to 23.8% in 2025, the highest level since 2000, from 11.8% in 2017, and this share reached 32.4% in the first four months of this year, up from 31.7% a year earlier, pointing to a worse situation in 2026.
- Despite *the AI boom*, China's economy is still being battered by the unprecedented property bust, which has continued to drive up the credit risks of both corporates and households. In this fragile economic environment, a flawed domestic rating system might mask underlying default vulnerabilities and send misleading signals to investors and policymakers.

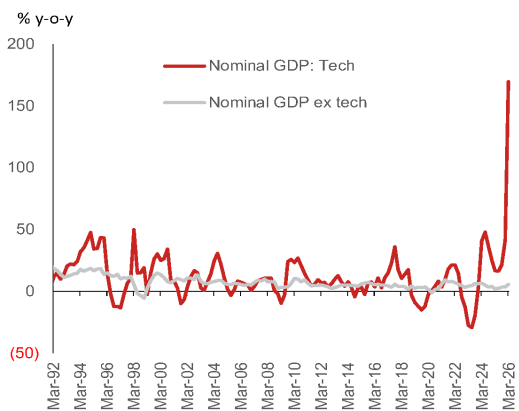
Note: The overall rating data that covers all corporate financing instruments are only available since 2025. It covers debt financing instruments of non-financial enterprises (NFE), corporate bonds, and financial bonds. Debt financing instruments of DFE include super short-term commercial paper (SCP), commercial paper (CP) and medium-term notes (MTN). Source: National Association of Financial Market Institutional Investors (NAFMII), Securities Association of China (SAC), NBS, Wind, Nomura Global Economics.

Authors: Jing Wang and Ting Lu, originally published on 26 June 2026.

Korea: Strong nominal GDP growth shows there are marked imbalances

As we believe tech-led nominal growth has few spillovers, we maintain our below-consensus 2026 GDP growth forecast of 2.4%.

Fig. 101: Nominal GDP: Tech versus non-tech sector growth



- Nominal GDP growth jumped to 17.1% y-o-y in Q1 2026 from 6.3% in Q4, the highest growth since Q3 1995. However, the composition of growth shows there are marked imbalances between the growth in the tech and non-tech sectors rather than broad-based strength.
- Indeed, tech industry growth surged to 169.5% y-o-y in Q1 2026 from 41.1% in Q4, whereas non-tech industry growth remained more modest at 5.5%. As a result, the tech industry's share of nominal GDP rose substantially to 17.5% in Q1 2026 from 9% in 2025, widening the imbalance between the tech and non-tech sectors.
- More importantly, the 169.5% nominal growth in the tech sector was mostly driven by price increases (118.5%), suggesting the transmission of tech cycles is likely to have a smaller impact than previous tech cycles suggest.
- The tech industry is known for having few spillover effects on domestic consumption, as it is capital-intensive, and depends heavily on imports for capex. Thus, despite the tech-led strong nominal growth, as we only expect a modest recovery in domestic demand, we maintain our below-consensus 2026 GDP growth forecast of 2.4%.

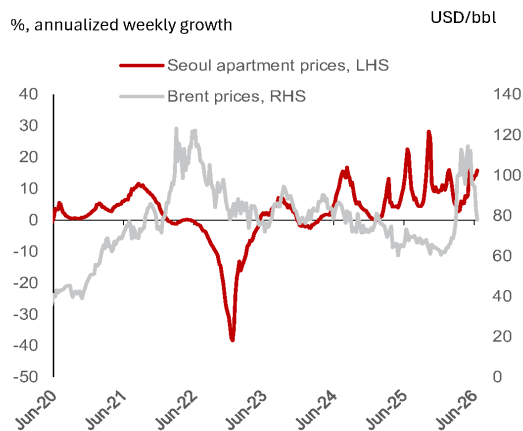
Note: Tech sector includes key sectors such as semiconductors, computers and smartphones. Source: BOK, CEIC, Nomura Global Economics

Author: Jeong Woo Park, originally published on 2 July 2026.

Korea: Housing inflation concerns now outweigh fading inflation pressures

Deepening financial stability concerns are likely to support the BOK's hawkish stance, despite easing inflation pressures.

Fig. 102: Seoul apartment and oil prices



- Inflation risks are fading. Brent has retraced close to its pre-conflict level since the US-Iran ceasefire, unwinding much of the energy premium embedded in the BOK's H2 2026 inflation outlook. The BOK's latest projections were conditioned on Brent averaging around USD95/bbl, leaving the July MPC meeting with a growing downside risk to the inflation forecast. Unless oil prices reverse sharply higher, the inflation pillar supporting front-loaded tightening (i.e., back-to-back hikes) has weakened considerably.
- Housing has become the primary policy driver. Seoul apartment prices rose at a 15.8% annualized pace in the final week of June, marking an eighth consecutive week of double-digit annualized gains. These persistence of price gains highlight housing prices as an increasingly important financial stability concern.
- We continue to expect 25bp hikes in July, October and January (terminal rate: 3.25%). The focus, however, is likely to shift toward financial stability from inflation. Thus, following a highly likely July hike, subsequent hikes are likely to proceed at a measured pace, allowing the BOK to balance financial stability risks against moderating inflation and only a gradual improvement in domestic demand.

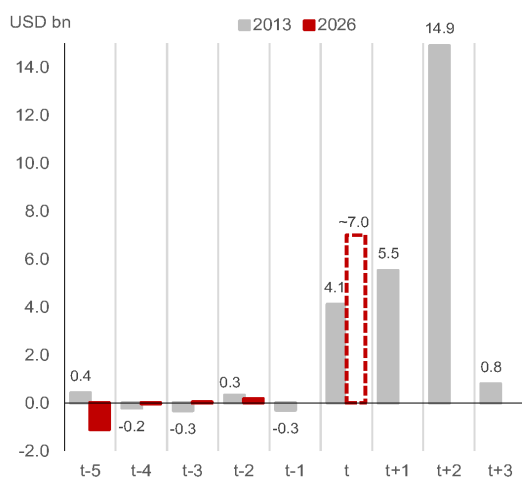
Note: Seoul apartment prices are based on the Real Estate Boards' weekly survey.
Source: CEIC, Nomura Global Economics

Author: Jeong Woo Park, originally published on 26 June 2026.

India: FCNR(B) inflows are off to a healthy start

In our baseline forecast, inflows reach USD55bn in 2026, boosting the balance of payment surplus in Q3 and injecting banking liquidity.

Fig. 103: FCNR(B) monthly flows: 2013 versus 2026



- To bolster India's external sector, the RBI announced a bazooka "*Foreign Currency Non-Resident Bank [FCNR(B)] scheme*" to subsidise the hedging costs of banks seeking foreign currency deposits from non-resident Indians, on which they are allowed to provide leverage.
- The official data, available only until April, show limited flows. However, *Moneycontrol* reported that banks have booked USD7bn of deposits in June, the first month of the scheme, which lasts until 30 September.
- Back in 2013, when a similar scheme was announced, India received ~USD4bn of deposits in the first month, USD5.5bn in the second month and flows peaked at ~USD15bn by the third month.
- This time, bankers are expecting deposits to cross USD50bn in 45 days, well before the deadline. According to *Business Standard*, the Middle East, Singapore and Hong Kong are reported to be top sources, while initial flows from the US and London could be muted due to buoyant US equity markets and tax disadvantages, respectively.
- We continue to expect the FCNR(B) scheme to garner a sizeable USD55bn in 2026, boosting BOP inflows in Q3. With oil prices also much lower, the *BoP will likely swing* from a deficit to a surplus of over USD40bn in FY27.

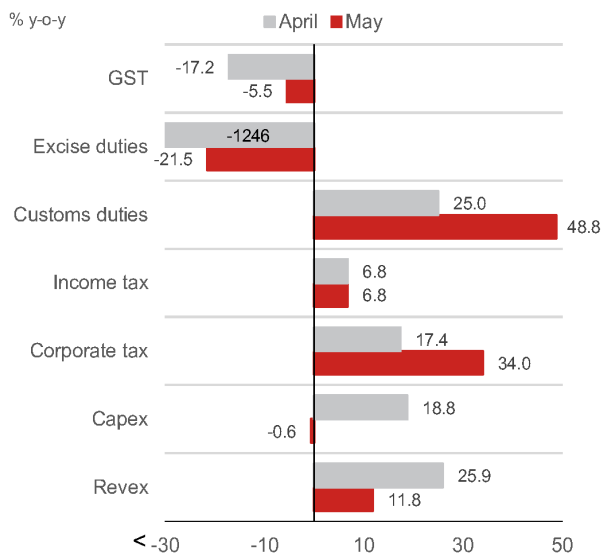
Note: For 2026, t = June 2026, while for 2013, t = September 2013. Latest monthly data are available only until April 2026. June 2026 are estimates based on Moneycontrol.
Source: CEIC and Nomura Global Economics

Authors: Sonal Varma and Aurodeep Nandi, originally published on 3 July 2026.

India: Fiscal improvement in May

Led by lower spending and higher revenue growth. We expect the fiscal deficit in FY27 to slip by 0.3pp to 4.6% of GDP, but risks have fallen.

Fig. 104: Fiscal dynamics in FY27 ytd



- The fiscal deficit in the first two months of FY27 stood at 9.6% of the full-year budget, worse than the ~2.0% in FY25-26 ytd, but a welcome improvement from the alarming 21.4% of the budget registered in **April**.
- Despite higher subsidies, revex (recurrent spend) growth eased to 11.8% y-o-y in May from ~26% in April, while capex growth fell sharply to -0.6% from ~19%, tracking a similar run-rate as last year.
- Corporate taxes and customs duty collections improved, reflecting resilient **corporate earnings** and **robust import growth**, respectively. Excise duties continued to contract on a y-o-y basis, reflecting the sharp **cut in fuel duties**, but have picked up from April levels. Similarly, GST revenue growth (central government) remained weak, but picked up pace (-5.5% in May from -17.2% in April).
- The ebbing of fiscal pressures is important in the backdrop of the sharp decline in oil and fertiliser prices, which should reduce pressure on subsidies, while **stronger growth** should support tax collection. Our baseline forecast for the FY27 fiscal deficit is 0.3pp slippage to 4.6% of GDP, but risks have fallen.

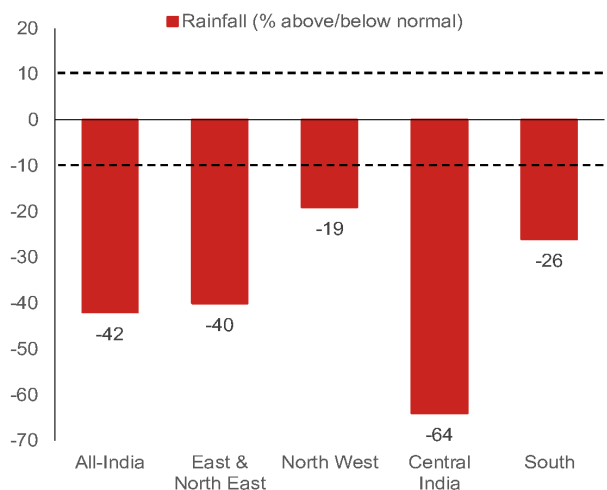
Source: CEIC and Nomura Global Economics

Authors: Sonal Varma and Aurodeep Nandi, originally published on 30 June 2026.

India: Parched in June

Deficient rains so far, but July rains will be key when most summer crop sowing happens. Greater risk to food production than food inflation.

Fig. 105: India: Region-wise rainfall



- India's crucial Southwest Monsoons (June-September) are off to a rough start at a massive 42% below normal (deficient: below 10%). The deficiency has been fairly broad-based, with Central India worst hit at -64%. Overall, the government forecasts rains at 10% below normal, with a 60% chance of a sharper drop.
- With much of the Kharif crop sowing in July, the quantum/ spread of rains next month will be more relevant. So far, sowing is up 1.7% y-o-y, stronger for cereals (38.4%) and pulses (12.8%), but weaker for oilseeds (-10.7%), cotton (-24.9%) and sugarcane (1.2%). Prices of cereals, pulses, oilseeds and vegetables are rising in June, the latter in line with seasonal trends.
- Our analysis of the **impact of El Niño and weak monsoons on the Indian economy** show that the impact on food production is more direct, but the relationship with food inflation is more patchy, as it depends on various other factors (e.g. buffer stocks, **minimum support prices**, trade policy, among others). While the rural economy is at risk, in the past, rural indicators have been resilient to poor rains.

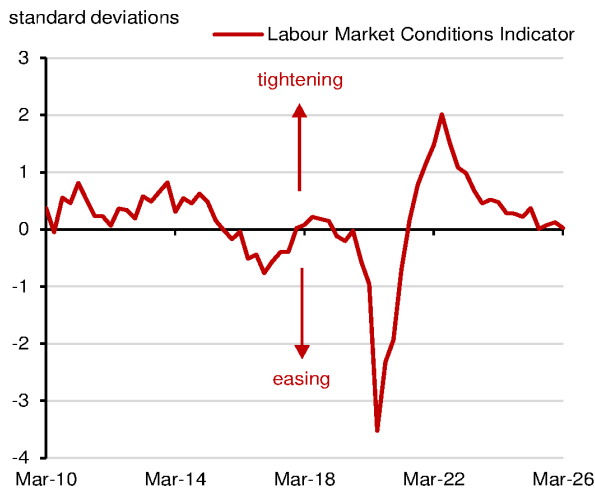
Note: Data from 1-June to 23-June. The dotted lines denote the range for 'normal' monsoons.
Source: IMD and Nomura Global Economics

Authors: Aurodeep Nandi and Sonal Varma, originally published on 24 June 2026.

Singapore: Steady Q1 labour market conditions

... around the neutral zone, despite rising external uncertainty.

Fig. 106: Singapore: Nomura Labour Market Conditions Indicator (LMCI)



- In our view, the labor market is more robust than headlines suggest (e.g., “Singapore Layoffs Are Near Three-Year High as Firms Restructure,” *Bloomberg*) and has been resilient to external shocks, including US tariff policy uncertainty and the Iran war. The Nomura LMCI reading in Q1 is stable in the neutral zone, broadly unchanged from recent quarters.
- Although retrenchments increased, this was driven by non-residents, according to the Ministry of Manpower (MOM), including in the construction sector. The ratio of job vacancies to unemployed persons fell marginally to 1.46 from 1.58 but remains high, suggesting *easing mismatches* and still-robust labor demand.
- Notably, the MOM’s survey shows AI adoption is rising among firms, but signs of AI-related job displacement remain limited. The unemployment rate remained at 2.0%, below the pre-pandemic level of 2.2%.
- We maintain our 2026 unemployment rate forecast of 2.1%, in line with our above-consensus GDP growth forecast of 4.6%, boosted by *multiple engines*. We still expect core inflation to rise sharply in coming months, likely lifting *domestic interest rates* with it, given the positive output gap and stable labor market conditions.

Note: Our Nomura Labour Market Conditions Indicator (LMCI) is based on a principal component analysis of 11 labour market indicators. Average monthly earnings data were discontinued at end-2024 and therefore replaced by mean gross monthly income.

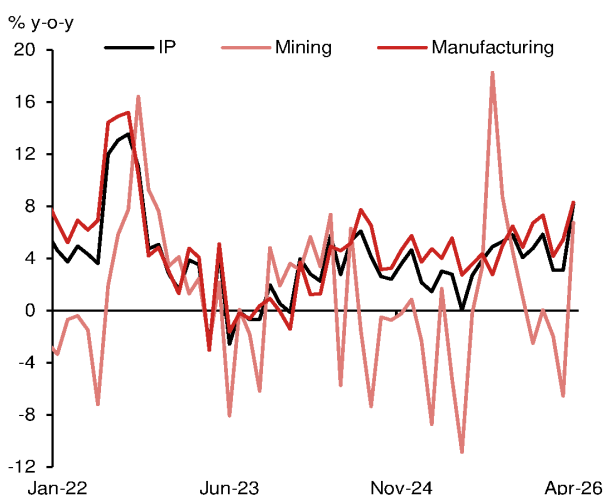
Source: CEIC, Nomura Global Economics.

Authors: Euben Paracuelles and Yiru Chen, originally published on 17 June 2026.

Malaysia: Industrial production growth surged in April

... which points to sustained strength in GDP growth momentum into Q2, despite the war in Iran.

Fig. 107: Malaysia: IP growth by sector



- Industrial production (IP) growth picked up sharply to 8.2% y-o-y in April from 3.1% in March (Q1: 4.0%), overshooting expectations. In sequential terms, this implies a sharp rise to 5.5% m-o-m sa from 1.1%, which suggests GDP growth held up in Q2.
- The increase was broad-based. Manufacturing output growth rose to 8.3% y-o-y from 5.5%, with electronics output growth still in double digits, amid a broadening of AI-related demand. Petroleum and chemicals also improved, suggesting a limited impact from feedstock supply disruptions due to the Iran war.
- Mining output growth bounced back to 6.8% from -6.5%, led by surging LNG production, likely driven by the government’s initiative to increase gas production to cushion the impact from global oil crisis (source: *The Star*), as well as rising demand for gas-fired power generation (source: *Reuters*).
- We maintain our above-consensus 2026 *GDP growth* forecast of 5.2% (Consensus: 4.5%), driven by multiple growth engines, which will likely remain intact despite the Iran war. Along with signs of a buildup of financial imbalance risks, the resilient growth outlook supports our forecast for a 25bp *BNM hike* in Q4.

Source: CEIC, Nomura Global Economics.

Authors: Euben Paracuelles and Yiru Chen, originally published on 12 June 2026.

Asia dashboard

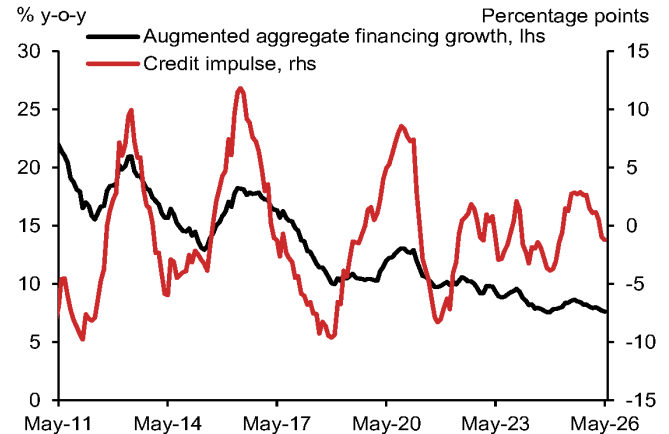
Major economic leading indicators

Fig. 108: Nomura's leading index of Asia ex-Japan exports



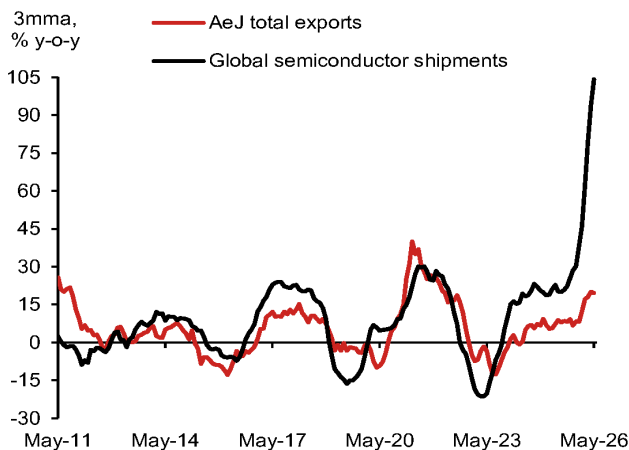
Note: Nomura's export leading index can be found on Bloomberg. Asia ex-Japan's aggregate (nominal) exports include those of China, Hong Kong, India, Indonesia, South Korea, Malaysia, the Philippines, Singapore, Taiwan and Thailand. China's exports to Hong Kong are excluded due to distortions caused by over-invoicing. For details on its construction, see [Re-calibrating our Asia export leading index](#), 16 August 2022. Source: IHS Markit, CEIC, Bloomberg and Nomura.

Fig. 109: China: Augmented aggregate financing vs credit impulse



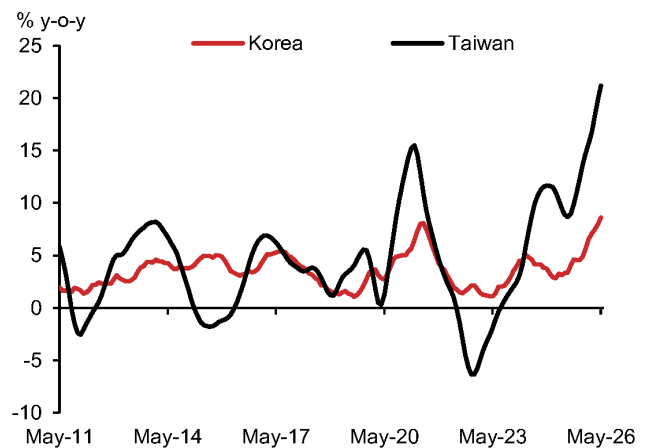
Note: We augment the revised official aggregate financing outstanding by including several obscure financing channels including special construction bonds, offshore dollar bonds, share pledge financing and P2P loans. Our credit impulse is calculated by taking the 12-month change in the ratio of the 12-month change in outstanding augmented aggregate financing to the 4-quarter rolling sum of nominal GDP. Source: WIND, CEIC and Nomura.

Fig. 110: AeJ total exports vs global semi shipments



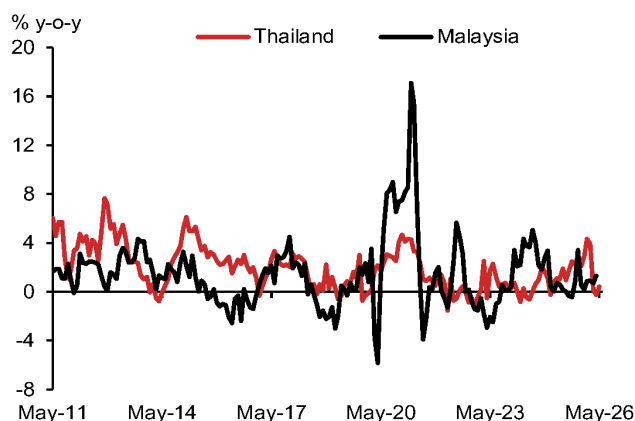
Note: Global semiconductor shipments refer to shipments from US semiconductor companies to the world. Source: CEIC and Nomura.

Fig. 111: Leading economic index



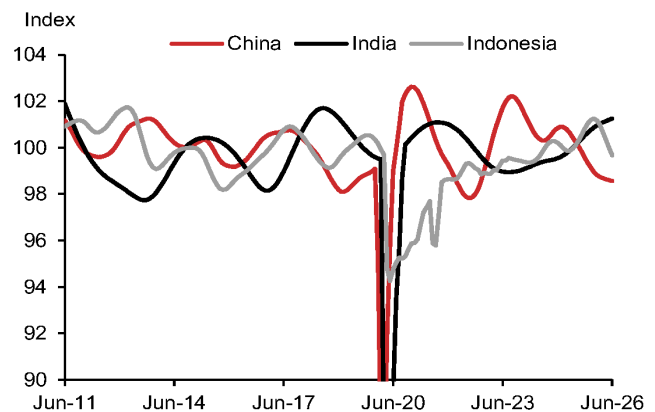
Source: CEIC and Nomura.

Fig. 112: : Leading economic index



Source: CEIC and Nomura.

Fig. 113: Leading economic index



Source: CEIC and Nomura.

Major economic indicator dashboards

Fig. 114: Industrial Production

% y-o-y (3mma)	2021		2022		2023		2024		2025				2026		
	H1	H2	H1	H2	H1	H2	H1	H2	Q1	Q2	Q3	Q4	Q1	Apr	May
China	18.5	4.4	3.6	3.8	3.7	5.1	6.0	5.3	6.5	6.2	5.8	5.0	6.1	5.4	4.8
India	32.6	5.8	7.4	2.2	5.2	9.0	7.9	5.4	5.0	3.5	5.4	4.3	3.9	4.1	4.3
Indonesia	8.7	8.1	1.9	6.0	2.8	2.3	3.0	2.4	1.3	0.7	2.7	3.9	5.8	-	-
Malaysia	14.9	2.8	5.6	8.4	1.4	0.2	3.8	3.9	2.2	1.8	4.7	4.9	4.0	4.8	6.6
Philippines	118.2	210.5	80.1	12.5	8.6	4.2	1.3	-1.0	0.0	-0.4	0.3	0.5	4.5	10.7	13.7
Singapore	15.7	12.3	6.5	-0.7	-6.9	-1.6	-0.6	8.7	8.5	10.5	4.7	11.4	8.0	10.3	12.4
Korea	9.7	7.5	5.9	-3.4	-7.1	2.3	5.2	3.2	3.0	3.1	7.8	-2.0	2.7	1.0	1.5
Taiwan	16.7	13.0	4.1	-7.0	-17.4	-6.8	10.5	12.7	12.7	23.5	17.9	19.1	23.5	19.2	17.6
Thailand	13.6	5.1	1.7	2.3	-3.5	-3.8	-0.6	-0.3	-0.9	1.4	-1.9	-0.2	0.9	0.1	-0.1
Asia ex-Japan	23.5	9.8	6.4	3.0	2.7	5.1	6.1	5.1	5.7	5.6	5.7	4.7	5.7	5.2	5.1

Note: Asia ex-Japan is aggregated using PPP - adjusted share of world GDP. The semi-annual and quarterly variables are a simple average of the monthly data in that period, and the monthly variables refer to 3-month rolling average of monthly data. For each country, we shade the cell green if the economic indicators are showing improvement across the period listed, meaning higher growth of industrial production, retail/motor vehicle sales, exports/imports, housing price and bank loans, higher current account balance, and lower inventory to shipment ratio, CPI inflation and unemployment rate. Source: CEIC and Nomura.

Fig. 115: Inventory to shipment ratio (sa)

Unit	2021		2022		2023		2024		2025				2026		
	H1	H2	H1	H2	H1	H2	H1	H2	Q1	Q2	Q3	Q4	Q1	Apr	May
Korea	0.92	0.98	1.00	1.08	1.14	1.11	1.05	1.04	1.00	0.96	0.95	0.98	0.97	0.98	1.02
Taiwan	0.94	1.05	1.11	1.27	1.36	1.27	1.26	1.24	1.24	1.16	1.19	1.15	1.09	1.13	-
Thailand	0.98	1.02	0.97	0.99	1.04	1.04	1.05	1.04	1.03	1.05	1.08	1.09	1.08	1.10	1.16

Note: The semi-annual and quarterly variables are a simple average of the monthly data in that period. Source: CEIC and Nomura.

Fig. 116: Retail sales

% y-o-y (3mma)	2021		2022		2023		2024		2025				2026		
	H1	H2	H1	H2	H1	H2	H1	H2	Q1	Q2	Q3	Q4	Q1	Apr	May
China	22.9	-1.5	-	-	-	-	-	-	-	-	-	-	-	-	-
Hong Kong	10.2	5.5	-5.7	-1.1	20.2	9.2	-8.3	-9.7	-8.3	-0.6	3.0	4.9	10.3	11.3	7.0
Indonesia	-2.7	4.0	8.8	3.5	1.6	1.5	3.2	3.2	2.7	0.9	4.0	4.7	5.2	2.1	-1.2
Malaysia	14.0	-2.3	14.6	24.5	9.8	3.2	4.7	4.2	5.2	3.7	4.3	4.6	4.8	4.8	-
Singapore	28.3	2.5	6.8	5.9	1.0	0.4	1.3	-0.4	-0.6	0.8	3.6	3.1	3.2	4.2	1.5
Korea	5.7	6.0	1.2	-1.6	-0.8	-1.9	-2.3	-1.5	-0.8	-0.1	1.5	0.8	3.2	3.6	2.8
Taiwan	5.5	-1.9	3.5	6.3	6.5	2.0	1.4	0.2	-1.5	-2.8	-2.3	1.1	2.4	5.0	3.4
Thailand	12.6	0.7	18.3	18.2	2.0	7.5	12.6	20.0	22.0	33.5	17.7	43.7	48.2	11.0	-

Note: The retail sales data are in real (i.e. volume) terms. The semi-annual and quarterly variables are a simple average of the monthly data in that period, and the monthly variables refer to 3-month rolling average of monthly data. Source: CEIC and Nomura.

Fig. 117: Motor vehicle sales

% y-o-y (3mma)	2021		2022		2023		2024		2025				2026			
	H1	H2	H1	H2	H1	H2	H1	H2	Q1	Q2	Q3	Q4	Q1	Apr	May	June
China	78.2	-11.5	-4.5	13.3	17.4	13.6	7.7	2.9	14.0	11.6	15.3	2.0	-6.3	-6.1	-1.7	-2.6
Hong Kong	18.7	3.7	-17.7	27.4	40.7	-8.6	-1.9	-31.1	-49.7	-20.0	-9.8	-5.7	46.5	55.9	44.2	-
India	85.2	-8.0	30.3	31.4	19.4	23.5	15.6	1.5	2.4	-1.4	-1.5	20.9	13.1	17.3	22.9	-
Indonesia	460.1	90.8	24.0	16.9	10.6	-12.6	-18.5	-8.7	-4.5	-10.0	-17.4	4.4	1.9	17.8	18.4	-
Malaysia	3151.3	-27.2	3601.7	375.7	23.8	8.5	10.6	-3.3	-15.1	-2.6	-0.3	-0.7	-10.0	-3.9	-1.9	-
Philippines	2299.3	-2.3	18.7	48.8	31.2	15.9	12.5	6.0	6.9	-2.6	-4.7	-2.2	-9.8	-12.6	-15.0	-
Singapore	120.4	-14.3	-18.5	-20.9	-5.0	7.6	13.5	17.7	13.5	11.6	11.3	10.3	2.9	0.3	2.8	-
Korea	13.8	-10.6	-3.3	17.4	25.1	4.8	-1.4	-1.5	-0.3	-2.6	7.6	-6.1	3.1	-4.8	-1.9	-1.6
Taiwan	17.5	-0.2	-5.9	6.9	16.4	5.2	2.9	-9.5	-15.7	-18.0	-11.4	-7.7	-5.0	-10.6	-7.9	-
Thailand	23.3	-17.2	15.1	14.3	-4.8	-12.1	-23.9	-28.6	-6.5	3.6	11.8	13.4	19.6	2.6	6.8	-

Note: The semi-annual and quarterly variables are a simple average of the monthly data in that period, and the monthly variables refer to 3-month rolling average of monthly data. For India, domestic passenger vehicle sales is used. Source: CEIC and Nomura.

Fig. 118: Exports

	2021		2022		2023		2024		2025				2026			
% y-o-y (3mma)	H1	H2	H1	H2	H1	H2	H1	H2	Q1	Q2	Q3	Q4	Q1	Apr	May	June
China	50.0	23.4	12.4	0.3	-2.8	-5.6	3.9	8.0	4.9	6.1	6.5	3.7	17.4	18.7	12.0	-
Hong Kong	30.4	23.4	0.6	-16.0	-14.5	0.3	12.5	5.8	11.3	14.0	15.0	20.8	31.4	34.4	39.8	-
India	64.6	40.1	28.1	3.1	-7.8	-1.0	7.4	-1.8	-4.2	-2.1	8.3	2.4	-2.6	2.0	8.3	-
Indonesia	36.7	48.7	36.7	18.1	-6.8	-13.4	-2.1	8.2	6.8	8.8	9.0	0.9	0.4	6.6	4.4	-
Malaysia	32.0	22.7	25.5	25.5	-3.6	-11.0	4.2	7.7	4.3	3.7	6.9	11.0	12.9	18.8	30.3	-
Philippines	25.3	9.2	8.3	5.1	-9.3	-5.3	5.0	-3.8	10.5	16.7	13.2	21.9	12.8	12.3	11.9	-
Singapore	9.8	14.6	10.3	-3.3	-14.9	-10.4	-3.9	5.8	3.6	7.1	-3.1	12.9	9.5	14.6	26.0	-
Korea	27.2	25.9	15.8	-2.1	-12.3	-1.9	9.3	7.4	-2.3	2.1	6.4	8.2	37.9	42.6	50.5	57.4
Taiwan	30.9	28.1	19.8	-2.6	-18.1	-0.6	11.5	8.6	18.1	34.1	36.6	49.0	50.8	40.5	50.8	43.7
Thailand	17.4	19.3	12.6	-0.7	-4.6	3.3	2.4	9.3	15.5	14.7	11.9	9.8	17.7	17.2	17.5	-
Asia ex-Japan	34.9	24.8	14.1	-0.4	-7.4	-4.6	4.9	7.3	5.9	8.7	10.0	9.8	20.7	22.6	22.7	-

Note: Figures for Singapore are for non-oil domestic exports. The semi-annual and quarterly variables are a simple average of the monthly data in that period, and the monthly variables refer to 3-month rolling average of monthly data. Source: CEIC and Nomura.

Fig. 119: Imports

	2021		2022		2023		2024		2025				2026			
% y-o-y (3mma)	H1	H2	H1	H2	H1	H2	H1	H2	Q1	Q2	Q3	Q4	Q1	Apr	May	June
China	36.7	24.7	5.9	-3.3	-6.7	-3.8	2.2	0.3	-6.4	-0.8	4.6	3.4	22.9	22.5	27.0	-
Hong Kong	26.8	22.4	2.3	-14.9	-12.6	2.1	7.9	4.7	9.7	15.3	13.9	22.3	36.4	38.5	42.6	-
India	67.0	57.2	37.9	17.5	-7.7	-5.5	5.0	8.9	3.2	5.1	5.7	8.9	12.3	9.2	8.0	-
Indonesia	32.0	48.8	27.9	17.2	-5.9	-6.4	2.5	10.6	1.1	9.9	-1.7	3.4	10.2	11.6	15.4	-
Malaysia	22.4	25.4	30.1	33.0	-3.6	-7.4	13.8	13.0	2.9	9.2	0.6	11.8	7.8	12.9	14.9	-
Philippines	45.1	29.2	26.8	10.0	-7.8	-7.7	-1.6	4.5	10.5	4.1	3.6	3.9	10.9	20.3	22.1	-
Singapore	12.0	18.4	20.6	10.2	-13.3	-10.0	8.9	11.2	9.7	7.3	11.6	21.4	29.6	33.3	39.9	-
Korea	25.2	38.6	26.7	13.0	-7.5	-16.1	-6.2	3.5	-1.2	-1.5	1.6	1.4	10.7	12.4	16.9	22.5
Taiwan	29.0	37.9	25.6	1.2	-19.9	-15.0	8.1	16.8	19.6	24.9	25.0	24.8	36.2	24.8	40.8	45.3
Thailand	28.3	35.0	18.9	7.4	-4.1	-3.3	2.5	9.7	6.5	14.8	12.7	17.6	32.3	37.5	38.6	-
Asia ex-Japan	32.7	34.7	14.6	2.1	-8.7	-6.2	2.8	5.4	0.9	5.8	7.3	9.8	23.1	23.3	27.6	-

Note: Figures for Singapore are for non-oil domestic imports. The semi-annual and quarterly variables are a simple average of the monthly data in that period, and the monthly variables refer to 3-month rolling average of monthly data. Source: CEIC and Nomura.

Fig. 120: Current account balance

% GDP, 4q rolling sum	2021		2022		2023		2024		2025				2026	
	H1	H2	H1	H2	H1	H2	H1	H2	Q1	Q2	Q3	Q4	Q1	Q1
China	2.0	1.7	1.8	2.2	2.1	1.5	1.3	2.2	3.0	3.3	3.5	3.8	3.8	3.8
Hong Kong	9.9	10.9	11.4	10.8	8.9	8.4	11.1	12.4	13.7	13.5	12.9	12.3	9.5	9.5
India	0.7	-0.8	-1.6	-2.5	-1.8	-1.0	-0.6	-0.8	-0.6	-0.5	-0.4	-0.5	-0.6	-0.6
Indonesia	-0.2	0.3	0.7	0.9	0.9	0.0	-0.6	-0.6	-0.4	-0.4	0.0	-0.1	-0.4	-0.4
Malaysia	4.5	4.0	3.0	2.8	3.2	1.8	1.4	1.2	1.5	1.4	2.0	1.6	1.7	1.7
Philippines	2.2	-0.6	-3.3	-5.0	-4.1	-2.8	-2.5	-3.6	-4.4	-4.2	-3.9	-3.3	-3.6	-3.6
Singapore	18.6	19.0	19.7	19.3	18.1	16.6	16.4	16.9	16.9	16.9	16.0	16.7	17.5	17.5
Korea	5.0	4.7	3.8	1.8	-0.3	1.1	3.9	5.1	5.5	5.7	6.2	6.5	9.1	9.1
Taiwan	15.3	14.9	15.2	13.7	11.9	13.4	14.9	14.2	13.8	14.9	16.6	19.5	21.9	21.9
Thailand	1.2	-1.9	-2.7	-3.6	-1.8	1.3	2.0	2.1	3.6	3.8	3.8	2.7	1.2	1.2

Source: CEIC and Nomura.

Fig. 121: Visitor arrivals

	2021		2022		2023		2024		2025				2026		
% y-o-y 3mma	H1	H2	H1	H2	H1	H2	H1	H2	Q1	Q2	Q3	Q4	Q1	Apr	May
Hong Kong	-57.2	44.4	122.4	822.2	46985.9	4590.1	155.1	10.7	9.3	14.9	11.7	12.9	18.6	21.3	11.0
India	532.7	339.4	736.7	388.6	134.5	19.8	8.4	0.8	-10.2	-18.3	-10.4	-1.7	3.2	-3.4	-
Indonesia	-52.5	-10.7	98.5	434.8	339.4	46.8	22.3	16.9	5.1	13.8	11.5	12.4	8.9	10.4	7.8
Malaysia	-33.5	19.8	4490.6	11987.6	2318.3	40.6	29.3	21.0	10.7	8.7	5.6	3.4	3.8	7.0	-0.8
Philippines	178.3	52.7	-	1665.5	-	51.6	12.1	6.5	-0.5	-1.7	-5.6	0.9	10.9	11.2	5.9
Singapore	820.2	148.5	1663.5	3069.3	690.3	54.2	31.4	14.1	0.2	3.9	2.7	2.6	3.7	4.6	-1.6
Korea	32.0	43.8	89.4	335.8	474.5	193.2	80.0	31.4	21.0	15.3	18.6	15.2	17.4	23.8	21.6
Taiwan	82.2	-45.8	250.8	1118.4	2187.5	577.0	51.6	6.1	4.7	17.1	7.4	9.3	4.7	1.3	4.0
Thailand	-	-	5411.4	5711.3	813.7	73.3	35.2	19.3	2.2	-12.3	-13.3	-6.2	-1.7	-0.1	-0.5

Note: The semi-annual and quarterly variables are a simple average of the monthly data in that period, and the monthly variables refer to 3-month rolling average of monthly data. Source: CEIC and Nomura.

Fig. 122: Unemployment (s.a.)

	2021		2022		2023		2024		2025				2026			
%	H1	H2	H1	H2	H1	H2	H1	H2	Q1	Q2	Q3	Q4	Q1	Apr	May	June
China	3.9	3.9	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Hong Kong	6.5	4.4	4.8	3.9	3.1	2.9	3.0	3.1	3.2	3.5	3.8	3.8	3.8	3.7	3.7	-
India	8.1	7.5	7.5	7.6	7.9	8.4	7.9	8.0	7.9	7.2	6.6	7.0	6.7	6.7	6.9	6.6
Indonesia	6.4	6.1	5.9	5.6	5.4	5.0	4.9	4.8	4.8	4.9	4.8	4.7	4.7	-	-	-
Malaysia	4.7	4.5	4.0	3.6	3.5	3.4	3.3	3.2	3.1	3.0	3.0	2.9	2.9	3.0	-	-
Philippines	-	7.4	6.1	4.8	4.6	4.1	3.9	3.8	4.0	3.9	4.3	4.6	5.3	4.7	4.8	-
Singapore	2.8	2.5	2.2	2.1	1.9	2.0	2.0	1.9	2.0	2.0	2.0	2.0	2.0	-	-	-
Korea	4.0	3.2	2.9	2.9	2.6	2.8	2.8	2.8	2.8	2.7	2.7	2.9	2.9	2.8	2.8	-
Taiwan	4.0	3.9	3.7	3.6	3.5	3.4	3.4	3.4	3.4	3.3	3.3	3.4	3.3	3.3	3.3	-
Thailand	-	-	1.5	1.2	1.1	0.9	1.0	0.9	0.9	0.9	0.7	0.7	0.9	0.9	1.0	-

Note: Unemployment rates for Hong Kong, Singapore, Korea, Taiwan are seasonally adjusted while the rest of the countries are not seasonally adjusted. The semi-annual and quarterly variables are a simple average of the monthly data in that period. For countries where only quarterly or semi- /annual data are available – China, Indonesia and Singapore – we apply the same number to each month in that period. Source: CMIE, CEIC and Nomura.

Fig. 123: Housing prices

	2021		2022		2023		2024		2025				2026			
% y-o-y (3mma)	H1	H2	H1	H2	H1	H2	H1	H2	Q1	Q2	Q3	Q4	Q1	Apr	May	June
China	4.2	3.0	0.2	-2.2	-1.2	-0.6	-3.1	-5.8	-5.2	-4.1	-3.0	-2.8	-3.5	-	-	-
Hong Kong	2.4	3.7	-1.1	-10.5	-9.5	-7.9	-12.1	-10.6	-6.5	-6.3	-0.8	2.5	7.9	9.6	11.1	-
India	2.3	2.8	2.6	5.6	4.0	2.8	7.3	6.9	3.8	3.6	3.5	3.6	4.2	-	-	-
Indonesia	1.0	1.1	1.6	2.0	1.9	1.8	1.8	1.4	1.1	0.9	0.8	0.8	0.6	-	-	-
Malaysia	0.9	1.5	2.5	4.5	4.6	3.6	3.8	4.4	3.5	3.0	2.3	2.5	1.7	-	-	-
Philippines	3.2	5.7	9.4	13.4	10.3	5.3	7.7	8.7	7.6	7.5	1.9	1.6	4.5	-	-	-
Singapore	6.9	9.0	9.2	11.1	9.5	5.6	5.4	4.2	3.3	3.4	5.1	3.3	3.4	2.9	2.9	2.9
Korea	11.6	15.4	11.0	2.6	-5.6	-6.5	-1.9	-0.2	-0.2	0.1	0.4	0.7	1.8	2.1	2.3	2.5
Taiwan	10.6	12.4	14.4	11.6	5.1	5.8	11.2	11.5	6.0	-0.1	0.1	-3.7	-0.5	-	-	-
Thailand	0.1	1.4	3.2	3.8	4.1	1.9	-0.1	2.1	3.5	4.1	0.5	-0.6	-1.1	-	-	-

Note: The semi-annual and quarterly variables are a simple average of the monthly data in that period, and the monthly variables refer to 3-month rolling average of monthly data. For countries where only quarterly data are available, we apply the same number to each month in that quarter. Source: CEIC, BIS and Nomura.

Fig. 124: CPI inflation

	2021		2022		2023		2024		2025				2026			
% y-o-y	H1	H2	H1	H2	H1	H2	H1	H2	Q1	Q2	Q3	Q4	Q1	Apr	May	June
China	0.5	1.3	1.7	2.3	0.7	-0.2	0.1	0.3	-0.1	0.0	-0.2	0.6	0.8	1.2	1.2	1.0
Hong Kong	1.0	2.2	1.5	2.3	2.0	2.2	1.6	1.9	1.6	1.8	1.1	1.3	1.6	1.8	2.0	-
India	5.2	5.1	6.8	6.6	5.4	5.9	5.0	5.0	3.7	2.9	1.7	0.6	3.1	3.5	3.9	-
Indonesia	1.5	1.7	3.0	5.3	4.6	2.9	2.8	1.8	0.6	1.8	2.4	2.8	3.9	2.4	3.1	3.3
Malaysia	2.3	2.6	2.5	4.2	3.2	1.8	1.8	1.9	1.5	1.3	1.3	1.4	1.6	1.9	2.0	-
Philippines	4.0	3.8	4.4	7.2	7.2	4.8	3.6	2.9	2.2	1.4	1.4	1.7	2.8	7.2	6.8	6.4
Singapore	1.5	3.1	5.3	7.0	5.6	4.1	3.0	1.8	1.0	0.8	0.6	1.2	1.5	1.8	1.8	-
Korea	2.0	3.0	4.6	5.5	3.9	3.3	2.8	1.8	2.1	2.1	2.0	2.4	2.1	2.6	3.1	3.2
Taiwan	1.5	2.5	3.1	2.8	2.3	2.7	2.3	2.1	2.2	1.6	1.5	1.3	1.2	1.7	2.2	2.6
Thailand	0.9	1.6	5.6	6.5	2.5	0.0	0.0	0.8	1.1	-0.3	-0.7	-0.5	-0.5	2.9	2.8	2.4

Note: The semi-annual and quarterly variables are a simple average of the monthly data in that period. Source: CEIC and Nomura.

Fig. 125: Outstanding bank loans

	2021		2022		2023		2024		2025				2026			
% y-o-y	H1	H2	H1	H2	H1	H2	H1	H2	Q1	Q2	Q3	Q4	Q1	Apr	May	June
China	12.5	11.7	11.2	11.0	11.9	11.3	9.6	8.1	7.4	7.1	6.8	6.4	5.9	5.6	5.5	-
Hong Kong	3.8	1.9	-0.3	-2.0	-3.5	-4.4	-5.5	-3.7	-1.6	0.8	1.1	1.6	4.3	5.4	6.0	-
India	5.9	8.2	9.5	15.1	16.1	20.0	19.7	12.5	11.1	9.6	10.2	12.9	15.7	16.6	17.7	16.6
Indonesia	-0.7	4.1	7.2	9.9	9.9	10.0	10.8	10.4	8.8	8.5	6.8	8.0	10.1	10.1	10.8	-
Malaysia	3.8	3.7	4.9	6.2	5.0	4.5	6.0	5.9	5.4	5.2	5.4	5.1	5.0	5.6	5.7	-
Philippines	-2.5	3.3	6.6	10.5	10.3	9.3	10.6	11.0	12.9	10.7	10.2	11.0	9.6	13.0	12.6	-
Singapore	0.5	19.8	20.6	3.0	-4.1	-4.7	0.3	3.0	5.0	5.5	6.5	6.4	6.3	7.9	8.7	-
Korea	10.7	8.7	7.0	5.4	4.0	4.6	5.9	5.6	4.5	4.1	3.3	3.2	3.4	3.4	3.5	-
Taiwan	7.7	8.4	8.7	8.6	6.0	4.6	6.8	9.3	9.2	7.9	6.7	6.0	6.9	8.0	9.1	-
Thailand	7.3	6.2	4.5	3.6	2.1	0.5	-1.2	-0.6	0.2	0.5	0.5	-1.2	-1.3	-0.3	-	-

Source: The semi-annual and quarterly variables are a simple average of the monthly data in that period. Source: CEIC, Bank Indonesia and Nomura.

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